

Alibaba Group Holding Limited

Closing the China Discount with AI Growth

Alibaba, a leading e-commerce and cloud computing company, is repositioning itself around AI as a long-term growth engine. The company holds a leading position in China's AI and cloud infrastructure market and has deployed its large language model (LLM) across cloud services and enterprise applications, supporting corporate adoption. In contrast, elevated capital expenditure requirements associated with large-scale artificial intelligence investments contribute to near-term uncertainty around cash flow generation. Nonetheless, Alibaba has meaningful advantages in scale, infrastructure, and distribution across China's digital economy. If management executes, the company should see improving earnings over time, with a clearer path to sustained value creation.

Investment Summary

We issue a **BUY** recommendation for Alibaba Group Holding Limited (9988/BABA) with a 12-month price target of RMB 175 (USD 200), implying a 37% upside from the closing price of December 31st, 2025. This price target was derived from the intrinsic valuation method, supported by relative valuation and Monte Carlo-based valuation. This recommendation is anchored to the expected revenue growth and margin improvement driven by intercompany synergies and CapEx investments into Cloud. Alibaba is expected to remain a market leader in e-commerce and cloud computing, relying on its competitive advantages, centred on cost advantages and a vertically integrated business model.

Investment Drivers

Brand, scale, and intercompany synergies as structural competitive advantages. Alibaba Group Holding Limited shows its success in its ability to create synergies between its businesses. This gives them cost advantages that are extremely hard for competitors to replicate. Alibaba's unique ability to integrate AI across e-commerce, cloud, and logistics creates a self-reinforcing ecosystem that creates cross-segment efficiencies.

Multiple rerating to a growth stock. Alibaba's Cloud and E-commerce divisions are returning to growth after multiple years of stagnation due to a Chinese economic slowdown. Given current growth expectations and future margin expansion, this calls for a higher price multiple. As well as a narrowing of the China discount compared to US securities.

Cross-border logistics leadership through Choice and Cainiao's 5-day network. Alibaba's integrated Choice fulfillment program and Cainiao's 5-day global delivery network enable competitive cross-border shipping speeds against Temu/Shein, driving 10% YoY revenue growth in international commerce last quarter while reducing delivery friction in key Western markets. This infrastructure powers AliExpress Choice, a consolidated fulfillment program that bundles cross-border orders into single shipments with guaranteed delivery timelines.

RMB in millions	2022A	2023A	2024A	2025A	2026E	2027E	2028E
Revenue	853,062	868,687	941,168	996,347	1,038,231	1,182,745	1,328,643
% Change YoY		1.8%	8.3%	5.9%	4.2%	13.9%	12.3%
Gross Profit	313,612	318,992	354,845	398,062	418,297	470,961	516,789
EBITDA	109,093	141,654	161,582	176,501	107,890	173,900	198,549
EPS	2.84	3.43	3.91	6.70	2.80	5.43	6.53
P/E	45.65x	25.35x	20.31x	19.43x	62.46x	34.58x	30.88x
EV/EBITDA	25.45x	12.70x	9.43x	14.35x	32.70x	21.87x	20.20x
P/OCF	19.79x	9.19x	8.85x	17.89x	26.12x	20.48x	17.44x

Exhibit 3 – Key Financials

Source: Company Filings, LSEG Data Analytics, AMSA Research

TMT - Consumer Discretionary

Hong Kong Stock Exchange (HKEX)
New York Stock Exchange (NYSE)

Stock Rating	BUY
Industry View	MODERATELY BULLISH
12-Month Price Target	RMB 175 (USD 200)

Price (31 December 2025)	RMB 128.10
Potential Upside/Downside	+36.6%
Tickers	9988 (HKD)
	89988 (RMB)
	BABA (USD)

Market Cap (tn)	RMB 2.45
Shares Outstanding (mn)	19,168
Free Float	94.9%
52 Wk Avg Daily Volume (mn)	113.23
Dividend Yield	0.74%
Return on Equity (MRQ)	10.9%
Book Value per Share (MRQ)	RMB 58.00
5Y Monthly Beta (MSCI Wrld)	0.58x
1M VWAP	RMB 136.11

Price-Performance	Exchange-HKEX
52 Week Range	RMB 74.41 – RMB 169.30

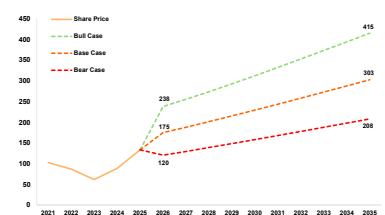


Exhibit 1 – Price Target (RMB)

Source: LSEG Data & Analytics, AMSA Research

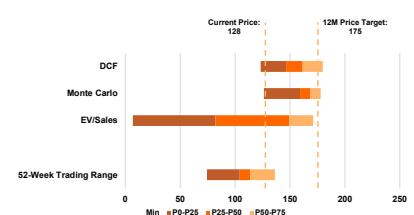


Exhibit 2 – Valuation Summary (Base Case) (RMB)
Source: LSEG Data & Analytics, AMSA Research

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Business Description

Overview

Alibaba Group Holding Limited, headquartered in Hangzhou, China, is a **multinational technology company** operating a diversified digital commerce and cloud computing ecosystem (Exhibit 4). The group primarily **generates revenue through online marketplaces, merchant services, logistics-enabled commerce, and cloud infrastructure**, with a core focus on the **Chinese consumer and small business economy**. As of today, Alibaba has a market capitalization of approximately RMB 2.6 trillion (USD 370 billion).

The company operates digital platforms that connect consumers, merchants, brands, and service providers, enabling transactions, marketing activities, fulfilment, and enterprise digitalization across its ecosystem. This interconnected ecosystem **empowers small business owners** and **creates synergy benefits** non-comparable to competitors.

Business Segments

In FY26E, Alibaba simplified its segment reporting, reducing it from 7 to 4. The four reportable segments are: **China E-commerce, International Digital Commerce, Cloud Intelligence, and All Others**. China E-commerce remains the group's primary earnings engine, accounting for 51.9% (Exhibit 5) of total revenues, driven by platforms such as Taobao and Tmall, which monetize through merchant advertising, commissions, and value-added services. International Digital Commerce, led by Lazada, AliExpress, and Daraz, contributes 13.3% of revenues and represents Alibaba's main long-term growth driver outside China, albeit with continued profitability pressure.

Alibaba China E-commerce Group

The largest revenue segment of Alibaba, with a revenue of RMB 449.8 billion (USD 64.3 billion) in FY25A. The segment can be split up into three groups: **e-commerce, quick commerce, and China commerce wholesale**.

E-commerce is split up into 2 sub-segments: Customer management and Direct sales, logistics, and others.

The **customer management** sub-segment is the **biggest revenue driver of all segments**; this is the largest retail commerce business in the world based on Gross Merchandise Value (GMV) (Exhibit 7). Representing RMB 322.3 billion (USD 46.1 billion) or 30.3% of FY25A total revenue.

In FY25A, the **Direct sales, logistics, and others** sub-segment generated RMB 103.2 billion (USD 14.8 billion) in revenue. This represents the direct sales businesses of Tmall Supermarket, Tmall Global, and other businesses.

In FY26E, the Quick Commerce group was added. This part of the ecosystem represents businesses such as **Taobao Instant Commerce and the Ele.me app**. On these platforms, customers can purchase on-demand food, groceries, convenience retail, pharmacies, and local merchants. Last quarter, Quick Commerce grew 60% YoY, making it the fastest-growing part of the business with RMB 37.7 billion (USD 5.4 billion) in revenue last quarter.

The **China commerce wholesale** is also known as the **1688.com marketplace**. Being the **largest integrated domestic wholesale market**, it generated RMB 24.3 billion (USD 3.5 billion) in FY25A. The platform connects wholesale buyers and sellers from different product categories.

Alibaba International Digital Commerce Group (AIDC)

The international e-commerce division of Alibaba generated total revenue of RMB 132.3 billion (USD 18.9 billion), growing 28.9% year-over-year. This segment consists of two subsegments: **International Commerce Retail Business** and **International Commerce Wholesale Business**.



Exhibit 4 – Alibaba Brands Overview
Source: Company Filings

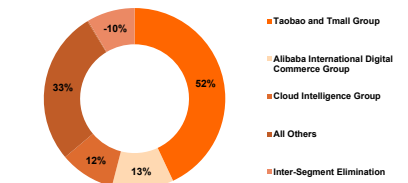


Exhibit 5 – Segment Revenue Breakdown FY25A
Source: Company Filings

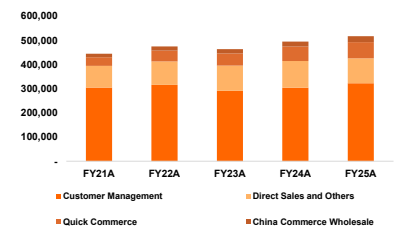


Exhibit 6 – China E-commerce Sub-Group Revenue Split 2021-2025 (RMB mn)
Source: Company Filings

The **International Commerce Retail Business** accounts for most of this segment's revenue. With famous brands such as AliExpress, Trendyol, and Lazada, this subsegment mainly generates revenue through **customer management services, logistics services, and direct sales**.

With over **100 million monthly active users in Europe** only and **activity in over 190 countries**, AliExpress is one of the most famous e-commerce platforms globally. On the platform, businesses can sell their product to international online customers, supporting small Chinese businesses. Together with **Cainiao**, they offer **Global 5-Day Delivery in 14 countries** and are rapidly expanding that. This enables monetization through customer management services, logistics services, and direct sales.

Trendyol is Alibaba's e-commerce marketplace in **Turkey**, being the biggest e-commerce platform in GMV, orders, users, and revenue (Exhibit 8).

Complementary to its retail business, Alibaba operates the International Commerce Wholesale Business through Alibaba.com, which is China's largest internationally integrated wholesale marketplace. The company boasted 49 million buyers in 190 countries with over 240,000 (Exhibit 9) verified and paying sellers.

Looking ahead, the strategy is to improve their 2025 AI-enabled business-to-business search engine to enhance the experience and enable more effective engagement in global trade.

Cloud Intelligence Group

Alibaba's Cloud Intelligence Group has emerged as the company's most powerful growth engine, driven by its **leadership in AI infrastructure and cloud services**. As the **world's fourth largest and Asia's largest AI infrastructure provider** (Exhibit 10) with FY25A revenue of RMB 104.9 billion (USD 14.5 billion), growing 34% last quarter, Alibaba Cloud offers a fully vertically integrated AI stack, from chips to models to enterprise applications. This end-to-end capability creates a significant competitive moat, **enabling seamless performance optimization and cost efficiency** unmatched by peers.

A key enabler is **T-Head Semiconductor**, Alibaba's in-house chip unit. T-head has developed a new AI processor for training and inference that performs on par with NVIDIA's H20 GPU and surpasses the A800, verified by CCTV and the U.S. outlet *The Information*. The chip has been used in small-scale LLM training within Alibaba and is now in **high demand across the Chinese market**, with industry sources indicating it leads domestic rivals in shipment volume.

At the model layer, **Alibaba's Qwen** remains one of China's most influential open-source LLM families. Strategically, Alibaba has also secured a landmark **partnership with Apple** to support AI services for iPhones in China, a move that validates Alibaba Cloud's technical credibility and positions it at the heart of China's AI ecosystem. This reiterates its dominance in the chat assistant market.

All Others

The All Others segment comprises several subsidiaries, including Cainiao, Hujing Digital Media & Entertainment Group, Freshippo, Amap, Quark, Lingxi Games, DingTalk, Alibaba Health, and other businesses.

Cainiao, Alibaba's smart logistics arm offering global delivery, provides services to both Alibaba's e-commerce businesses and third parties. With RMB 101.3 billion (USD 14.5 billion) in revenue, it represents 10.2% of total revenue. Mainly **driven by domestic and cross-border parcel volume growth** (Exhibit 11), this segment is a pivotal point in Alibaba's e-commerce strategy. With its Global 5-Day Delivery program, they are boosting the AliExpress Choice platform's express service. **This program promises delivery from Asia to selected countries**, including the UK, Spain, the Netherlands, South Korea, and several others, within 5 working days.

The **Hujing Digital Media & Entertainment Group** consists of Youku and Damai Entertainment. **Youku** is an **online movie and anime platform** in China, providing users

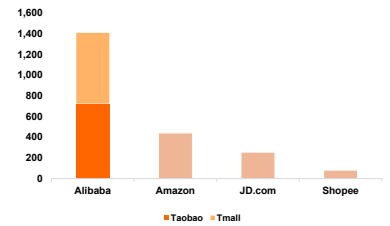


Exhibit 7 – Top Online Marketplaces in 2024 by GMV (USD bn)
Source: Company Filings

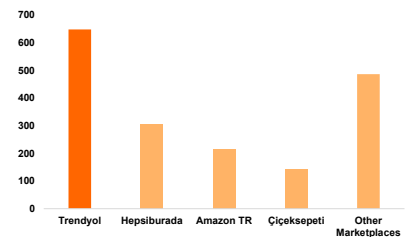


Exhibit 8 – Turkey Retail E-commerce Market Share by Revenue (TL bn)
Source: Dijitera

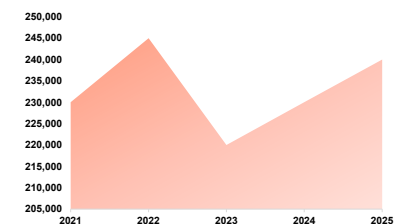


Exhibit 9 – Verified Alibaba.com Wholesale Sellers
Source: Company Filings

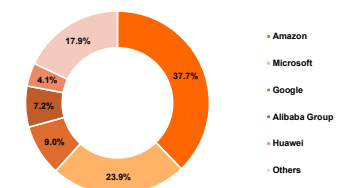


Exhibit 10 – Worldwide IaaS Public Cloud Services Market Share
Source: Gartner

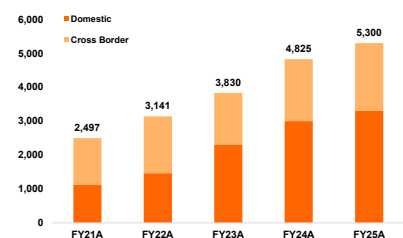


Exhibit 11 – Cainiao Parcel Volume Growth (mn)
Source: Company Filings

the ability to capture online media and create interactive experiences while promoting the application of AI technologies in the media industry. **Damai Entertainment** is a **tech-driven entertainment company**, specializing in live events, films, television, and ticketing.

Freshippo is Alibaba's **grocery chain** that combines online and offline retail, offering **fresh food and 30-minute local deliveries** by using stores as fulfillment centers, generating a GMV of approximately RMB 75.0 billion (USD 10.7 billion) in FY25A (Exhibit 12). By using direct sourcing and a strong logistics network, Freshippo ensures the freshness of its products. Despite reported gross margins of 25 and 30%, the business has historically operated with limited profitability due to **high store operating, labor, and last-mile delivery costs**.

Alibaba Health, publicly listed on the Hong Kong stock exchange, is an investment holding company that engages in **pharmaceutical sales** through direct sales, e-commerce (such as Tmall, Taobao, and Ele.me), and healthcare in mainland China and Hong Kong. With its Pharmaceutical direct sales business representing 85.4% of its revenue, and 11.7% of sales coming from its e-commerce platform business (Exhibit 13). With total revenue of RMB 30.6 billion (USD 4.4 billion), it is a smaller subsidiary that reflects the horizontal integration of Alibaba's total product offering.

Alibaba also owns other businesses and holds a significant minority stake in **Ant Group**, which is known for its **Alipay service**. Since the other businesses are not a material part of revenue, an in-depth discussion is not provided in this report.

Industry

Overview

Alibaba is a Chinese market leader, holding a 40% market share in e-commerce GMV, while developing strong positions in international commerce, cloud, and AI. Over the past two decades, the industry has undergone transformative structural changes, evolving from basic online storefronts to sophisticated ecosystem platforms that integrate commerce, logistics, payments, and AI agents to deliver personalized customer experience. The global e-commerce market (both retail and wholesale) is growing fast, reaching \$36.21 trillion by the end of 2025 and forecasted to grow to USD 77.58 trillion by 2030, representing a CAGR of 16.46% (Exhibit 14). Meanwhile, the cloud AI and cloud computing industries are expected to see explosive growth in the coming years, reaching USD 454.02 billion and USD 2.65 trillion by the end of 2030, implying CAGRs of 31.1% and 20.65%, respectively, from today's market (Exhibit 15).

Market Growth and Drivers

Given the breadth and diversity of Alibaba Group's operations, this initiation coverage report focuses on key growth drivers across the industries where its most prominent business units compete, most notably Cloud & AI, local (China) e-commerce, and global e-commerce. These structural drivers and trends form the basis for our forward-looking assumptions embedded into our segment-level forecasts and consolidated financial model.

Cloud Computing and AI

The Generative AI Revolution in China. Generative AI is transforming every layer of the digital economy. In China, the user base for generative AI reached 515 million by mid-2025, reflecting a 36.5% adoption rate. The proliferation of open-source models has democratized access to advanced AI, allowing startups and small and medium-sized enterprises (SMEs) to build custom applications without incurring high licensing fees. Due to this rapid adoption of AI models in the Chinese economy, the Cloud AI market in China is forecasted to grow at an outstanding 43.4% CAGR from 2025 to 2033, reaching USD 252.9 billion (Exhibit 16). This explosive growth is further supported by the state-encouraged "AI Plus" plan, an initiative aimed at embedding AI systems across all sectors of the economy through state-led investment in infrastructure, regulations that promote domestic innovation, and the establishment of governance frameworks to ensure widespread AI deployment by 2035.

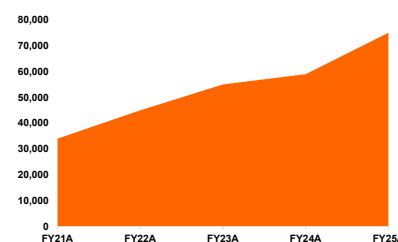


Exhibit 12 – Freshippo GMV Growth (RMB mn)
Source: Company Filings

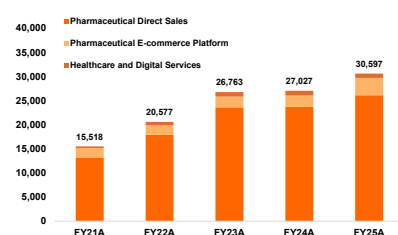


Exhibit 13 – Alibaba Health Revenue Breakdown (RMB mn)
Source: Company Filings

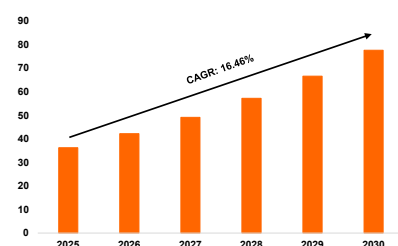


Exhibit 14 – Global E-commerce Industry Forecasts (USD tn)
Source: Mordor Intelligence

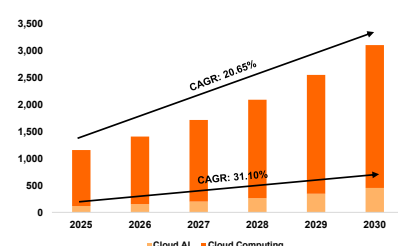


Exhibit 15 – Global Cloud AI and Cloud Computing Industry Forecasts (USD bn)
Source: Mordor Intelligence

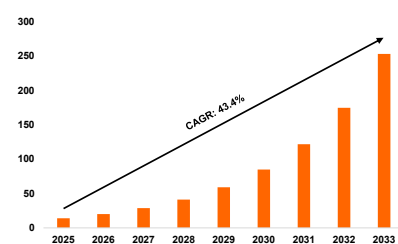


Exhibit 16 – China Cloud AI Industry Forecasts (USD bn)
Source: Grand View Research

A shift in cloud product mix: from IaaS to PaaS. While Infrastructure-as-a-Service (IaaS) is still the largest segment of the cloud computing market, Platform-as-a-Service (PaaS) is the fastest-growing category, with a projected CAGR of 21.8% globally and 26% in China (Exhibit 17). This shift is driven by demand for "AI Model Studios" and other low-code development tools that enable clients to quickly build and deploy gen AI applications to market. These value-added services typically carry gross margins of 65-75% compared to 50-60% for infrastructure services, naturally improving the economics of cloud operations.

Local E-commerce (China)

Increased competition and market maturity. The Chinese e-commerce market is the world's largest, with a projected market size reaching USD 2.64 trillion by 2030, reflecting a CAGR of 9.46% from 2025 (Exhibit 18). However, the market has entered a mature phase characterized by hyper-competition among existing and new platforms, leading to diminishing marginal returns. This is particularly true in China, where Chinese consumers have a marked preference for value-driven products, which has favored platforms that focus on cost leadership and unbranded offerings, such as Pinduoduo (PDD).

A shift towards lower-tier cities and social commerce tactics. Growth opportunities within the Chinese e-commerce industry have shifted from the saturated Tier 1 and 2 metropolises to Tier 3 through 5 cities. This change is underpinned by a significant growth in digital infrastructure, which has established over 158,000 rural logistics service points to bridge the last-mile gap. Notably, per capita disposable income growth in these lower-tier regions is now outstripping urban centers (5.7% vs. 4.4%) (Exhibit 19), creating a massive cohort of underserved buyers with rising discretionary power. To capture this demographic, platforms have abandoned traditional search-based retail in favor of social commerce tactics that leverage deep community trust and algorithmic discovery, such as the use of short-form content and Key Opinion Consumers (KOCs).

International E-commerce

Cross-border e-commerce ecosystems and localized growth opportunities. International e-commerce represents one of the fastest-growing segments within the broader digital commerce industry, driven by rising purchasing power in emerging markets and improved cross-border logistics infrastructure. The global cross-border e-commerce market is now valued at approximately USD 1.47 trillion in 2025, and is projected to reach USD 4.81 trillion by 2032, expanding at a CAGR of 18.4% (Exhibit 20). Southeast Asia in particular presents compelling growth dynamics, with e-commerce's share of all retail sales representing only 20% compared to 47% in China, yet demonstrating rapid adoption rates at 40% year-over-year growth. Latin America shows similar potential, where e-commerce sales are projected to grow at a 9.43% CAGR through 2029, while online retail spending represents just about 12 to 15% of total spending (Exhibit 21). Thanks to the development of new logistics solutions, digital payment methods, and mobile-friendly shopping platforms, modern retailers are able to overcome traditional barriers of trust, delivery reliability, and payment security that previously limited cross-border commerce.

Competitive Positioning

Cloud Computing and AI

Chinese market dominance. As of the first half of 2025, Alibaba Cloud continues to hold the largest share of the Chinese cloud infrastructure market, maintaining a significant advantage over its closest rivals: Huawei Cloud, Tencent Cloud, and Baidu AI Cloud. In Q2 of 2025, Alibaba Cloud held a 34% market share, followed by Huawei Cloud at 17%, Tencent Cloud at 10%, and Baidu AI Cloud at 6% (Exhibit 22).

Vertical integration cost advantages. Alibaba Cloud's competitive positioning in AI is characterized by a vertically integrated, full-stack architecture spanning the entire value chain, from proprietary semiconductors (T-Head) to cloud infrastructure and foundation models (Qwen). This integration generates three key advantages: (1) the elimination of intermediaries margins, which greatly reduce the total cost structure compared to competitors assembling third-party components; (2) great product efficiency, as co-optimizing in-house chips with proprietary models reduces power consumption and lowers

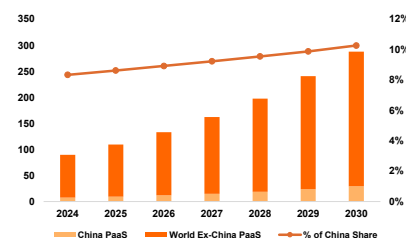


Exhibit 17 – PaaS Industry Forecasts, China VS World (USD bn)

Source: Grand View Research

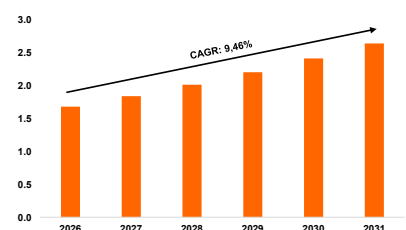


Exhibit 18 – China E-commerce Market Size Forecast (USD tn)

Source: Mordor Intelligence

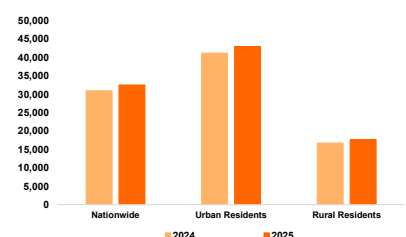


Exhibit 19 – Per Capita Disposable Income of Urban and Rural Residents, China (RMB)

Source: National Bureau of Statistics of China

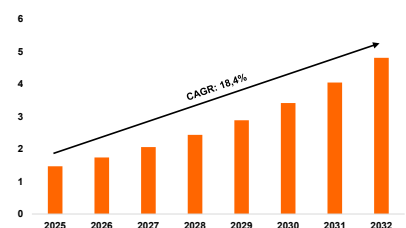


Exhibit 20 – Global Cross-Border E-commerce Market Size Forecast (USD tn)

Source: Coherent Market Insights

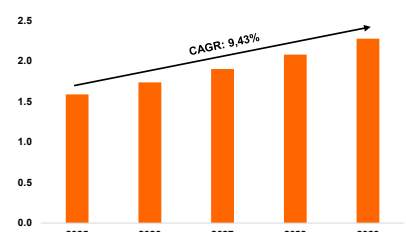


Exhibit 21 – Latin America E-commerce Sales Forecast (USD tn)

Source: Antom

unit compute costs; and (3) broad infrastructure cost amortization across Alibaba's e-commerce and logistics operations, helping achieve unmatched economies of scale. This "AI + Cloud" value proposition has resulted in triple-digit revenue growth for AI-related products for nine consecutive quarters as of September 2025 (Q2 FY26E).

Cloud value-added services. Finally, the shift from cloud IaaS to PaaS has significant effects on Alibaba Cloud's long-term margin profile. Considering PaaS is growing faster than IaaS, and that value-added services within PaaS carry much higher gross margins, Alibaba has shifted its commercial efforts toward acquiring new contracts for these services and exiting the low-margin, project-based infrastructure work that previously made up most of its portfolio. This shift in product mix is expected to drive EBITA expansion for the Cloud Intelligence Group as it scales. To support this growth, Alibaba has committed to massive investments in AI infrastructure, with plans to spend RMB 380 billion (USD 52.9 billion) over the next three years.

Local E-commerce (China)

Alibaba's "User First" Strategy Amidst Rising Competition. In the Chinese e-commerce space, Alibaba maintains its leadership with around 44% of market share, leveraging an integrated ecosystem that combines its core retail supply chain with local services to capture a larger portion of consumers' daily lives. JD.com occupies the second position in the market with a 24% share, and PDD Holdings (Pinduoduo) holds the third place with 19% (Exhibit 23). This last competitor, being the newest of the three, has successfully challenged Alibaba's dominance by focusing on cost leadership and unbranded products, gaining market share at the expense of the already established players. To counter this, Alibaba has moved Taobao and Tmall Group (TTG) toward a "user first" strategy, focusing on price competitiveness and enhancing the consumer experience through AI-driven personalization. During the 2025 11.11 Shopping Festival, Alibaba recorded its strongest GMV growth in four years, signaling that its investments in customer engagement and merchant tools are beginning to yield results. The 88VIP membership base, now exceeding 53 million, represents a high-spending defensive moat, with daily active buyers in this group increasing 31% year-over-year during the festival.

International E-commerce

AliExpress Counters the "Temu Effect" via Logistics and "Choice". Alibaba's main international brand, AliExpress, faces strong competition from "low-price" newcomers like Temu (PDD Holdings) and Shein. Temu, in particular, has been a major threat to Alibaba's plans for international expansion, as its share of cross-border e-commerce sales jumped from less than 1% in 2022 to 24% in 2025, largely at the expense of established players. As a result, AliExpress's share of global cross-border sales declined by 33% between 2018 and 2025. However, Alibaba is repositioning AliExpress through its "Choice" service, which leverages Cainiao's logistics infrastructure to offer a domestic-like shopping experience with predictable delivery times and easy returns. This move toward "standardized" cross-border retail is essential for competing in mature markets like Europe, where AliExpress has a leadership position, and in high-growth markets such as Latin America, where the company is growing rapidly. In Brazil, for example, despite new taxes on cross-border orders, the market is expected to grow at a 19% CAGR up to 2027 (Exhibit 24), and AliExpress remains just outside of the top five players by traffic, far ahead of its direct Chinese competitor Shein (Exhibit 25)

Winning the "Trust Premium": Lazada's Path to Profitability in Southeast Asia. In Southeast Asia, the world's fastest-growing e-commerce market, Alibaba is exceptionally well-positioned to capitalize on this rapid expansion. Through its Lazada brand, Alibaba is the second largest player in the region, behind Shopee, and followed by TikTok Shop. Lazada's focus on its LazMall ecosystem (a trusted environment for authentic brand goods) has proven very effective, as according to a 2025 report, 90% of Southeast Asian shoppers were willing to pay more for brand goods in a trusted environment, with many willing to pay a "trust premium" of 10-30%. This strategy allowed Lazada to achieve its first monthly profit back in July 2024 while recording a 70% growth in Average Revenue Per User (ARPU) in Q2 FY26A.

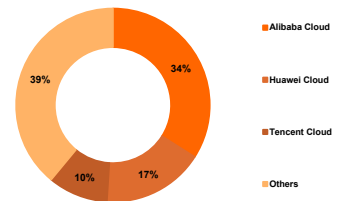


Exhibit 22 – China Cloud Infrastructure Services Spend by Vendor (Q2 2025)
Source: Omdia

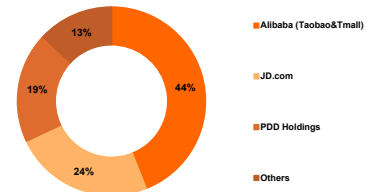


Exhibit 23 – China E-commerce Market, Split by Platform
Source: Department of Commerce, USA

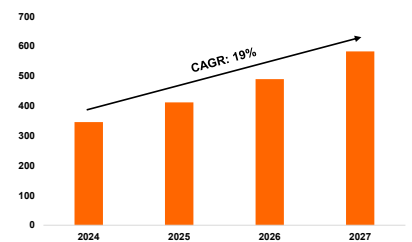


Exhibit 24 – Brazil E-commerce Market Size Outlook (USD bn)
Source: Payments & Commerce Market Intelligence

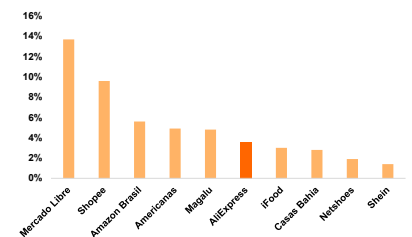


Exhibit 25 – The 10 Largest E-commerce Companies by Market Share in Brazil
Source: Conversion

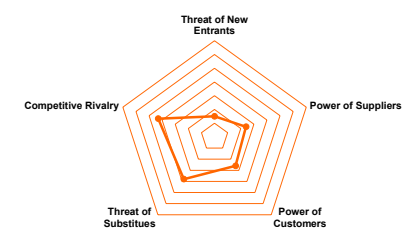


Exhibit 26 – Porter's Five Forces
Source: AMSA Research

Financial Analysis

Revenue

The **Alibaba Group** has enjoyed **healthy revenue growth** over the **past 5 years**, with a 6.8% CAGR, reaching close to RMB 1 billion (Exhibit 27). The **core of revenue is attributable to Taobao and Tmall Group**, accounting for RMB 516.9 billion, or 51.9% of total revenue (Exhibit 28). Notably, the AIDC Segment has gained significant ground, nearly tripling its revenue since FY21A to RMB 132.3 billion and now accounting for 13.3% of total revenue. Similarly, the **Cloud Intelligence** segment has **nearly doubled its revenue** to RMB 118.0 billion, and this is expected to contribute significantly to Alibaba's revenue over the coming years. Finally, the All Others segment has delivered a growth of 3.5% CAGR, with **most of the revenue attributable to Cainiao and Sun Art**, the latter of which has been disposed of.

Looking ahead, **Taobao and Tmall** revenue is expected to grow at a modest but resilient CAGR of 6.9% over the forecast period, reflecting the segment's **mature position** within China's e-commerce landscape while **benefiting from continued monetization optimization**. Growth is projected to be primarily **driven by Customer Management revenue**, supported by an estimated ~6% GMV CAGR, as traffic stabilizes and merchant demand for performance-based advertising and data-driven marketing tools remains structurally intact. Monetization efficiency is expected to improve gradually, with the take rate increasing from 4.0% in FY25A to 4.4% by FY35E (Exhibit 29), driven by a richer advertising mix, improved AI-enabled targeting, and **higher penetration of value-added merchant services**. Direct Sales and Other Revenue is forecast to grow at low single-digit rates, consistent with Alibaba's continued focus on an asset-light marketplace model. Within the segment, quick commerce is expected to outperform, with an estimated 11.1% CAGR, supported by **rising demand for instant delivery, higher purchase frequency, and the scalability of a gig-economy-driven fulfilment model**. In contrast, China wholesale is considered a more mature business, with 1688.com growing at low single-digit rates, where incremental revenue is expected to be driven primarily by value-added services (VAS) rather than underlying volume growth.

The **AIDC group** is expected to remain a **key structural growth driver** for Alibaba and a core component of the business throughout the forecast period. **Revenue is projected to expand at a solid pace**, led by International Retail, which is expected to deliver the strongest growth with a 13.0% CAGR over FY26E-FY35E. This growth is driven by AliExpress, alongside the **strategic acquisitions of Trendyol and Lazada**, both of which remain in relatively early growth stages within their respective geographies. International Wholesale commerce, represented by Alibaba.com, is forecast to grow at a 10.8% CAGR, supported by the ongoing digitization of cross-border B2B trade and the increasing adoption of global sourcing solutions by SMEs. Growth within the wholesale segment is expected to be increasingly monetization-led, with only modest growth of approximately 1.3% in paying subscribers, offset by **higher average subscription fees over the forecast period**. Across both **retail and wholesale platforms**, the **primary revenue driver is expected to be value-added services**, as Alibaba enhances **customer experience and merchant efficiency through AI-enabled tools**, including smarter search, recommendation engines, automated marketing solutions, and improved trade assurance services, supporting sustained ARPU expansion despite maturing user growth.

Alibaba Cloud will play an **increasingly strategic role within the group**, reflecting a clear pivot toward cloud infrastructure. Over the forecast period, Alibaba Cloud revenue is projected to grow at a 12.9% CAGR, driven by **expanding demand for data center services, AI infrastructure, and proprietary large language models (LLMs)**, alongside a rising contribution from AI-enabled value-added services. This growth profile supports a meaningful shift at the group level, with Alibaba Cloud's revenue share increasing from 11.8% in FY25A to approximately 18% by FY35E (Exhibit 31), representing the second-largest revenue share expansion within Alibaba, behind the AIDCG. **Near-to medium-term growth** is expected to be led by **AI-related workloads, including training and inference demand**, which have demonstrated strong momentum, while **longer-term upside** is

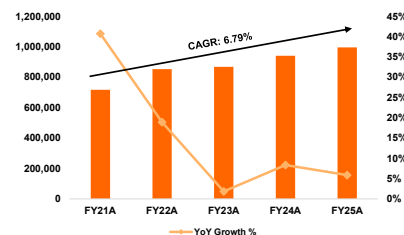


Exhibit 27 – Historical Total Revenue (RMB mn)
Source: Company Filings

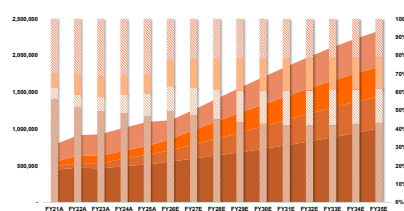


Exhibit 28 – Total Revenue and Proportion (RMB mn and %)
Source: Company Filings, AMSA Research



Exhibit 29 – Customer Management Revenue (RMB mn) and Take Rate (%)
Source: Company Filings, AMSA Research

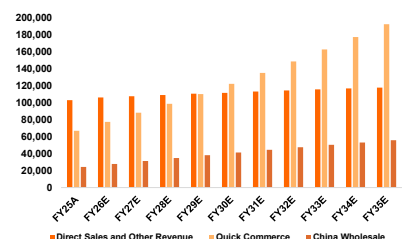


Exhibit 30 – Revenue Forecast Quick Commerce vs. Direct Sales vs. Wholesale (RMB mn)
Source: Company Filings, AMSA Research

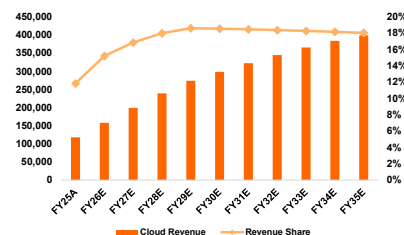


Exhibit 31 – Alibaba Cloud Share of Total Revenue (RMB mn)
Source: Company Filings, AMSA Research

underpinned by **enterprise adoption of production-level AI applications** and **deeper integration of cloud-based AI tools** across Alibaba's e-commerce and logistics ecosystems. Despite ongoing competitive intensity and periodic capacity constraints, Alibaba Cloud's scale, leading market position in China, and vertically integrated AI strategy position it as a **key structural growth engine** over the forecast horizon.

The All Others segment revenue is expected to experience a sharp contraction of 22.4% in FY26E, driven primarily by the **disposal of Sun Art and Intime**. We modelled a 4.1% CAGR over the forecast horizon, with revenue growth normalizing from FY26E as businesses recover following the disposal in FY25A. Growth is led by Freshippo, forecasted to have an 11.7% CAGR driven by strong GMV expansion due to expected higher transaction volume with a constant revenue conversion. **Cainiao, the largest revenue share of the All Others segment**, is expected to grow at a 4.9% CAGR, despite an expected 11.8% YoY decline in FY26E revenue due to the slowdown in the first two quarters. In FY35E, the average selling price is expected to be RMB 20.22, below the RMB 22 EU **export tax advantage threshold**. Alibaba Health is forecasted to grow at a 7.3% CAGR, supported by strong growth in the pharmaceutical e-commerce platform (9.7% CAGR). Huijing Digital Media & Entertainment is forecasted to grow at a 7.5% CAGR, with Damai Entertainment as the key driver (12.3% CAGR), with expected continuation of the historical trend of high YoY growth before converging toward the global ticketing market CAGR of 4.1%.

Profitability

Margin compression in the immediate future. Alibaba's profitability is being greatly affected by its transformation from a mature e-commerce platform to an AI-driven cloud provider. Gross margin declined from 41.3% in FY21A to 36.8% in FY22A due to the COVID pandemic, although it had almost completely recovered by FY25A to 40.0%, supported by higher-margin customer management revenue within China e-commerce and improved product mix in Cloud Intelligence as AI-related services scale. However, we expect EBIT margins to decline from 14.1% in FY25A to 6.6% in FY26E, reflecting elevated sales and marketing expenditures to **defend market share against PDD Holdings and Douyin**, alongside accelerated investment in AI product development. This near-term compression is expected to be transitory, though, as **Cloud Intelligence shifts toward higher-margin PaaS offerings** and e-commerce monetization stabilizes following competitive repositioning, EBIT margin is forecasted to recover to 10.3% by FY27E and expand steadily to 12.2% by FY35E. The **margin trajectory** is supported by **three drivers**: (1) an **increasing contribution from Cloud Intelligence**, where AI-related workloads carry higher margins than previous IaaS contracts; (2) the **operating leverage across TTG** given that fixed costs dilute with GMV growth and higher take rates; and (3) a **gradual improvement of international e-commerce profitability** as Lazada and AliExpress move past breakeven. Return on invested capital (ROIC) is expected to improve from 9.9% in FY25A to 12.6% by FY35E, as cloud infrastructure reaches the desired scale and AI monetization matures.

Cash Flows

Strong cash generation and balance sheet support AI infrastructure expansion. Alibaba's last cash flow statement clearly reflects the capital requirements of its AI infrastructure plans while still maintaining remarkable resilience from its asset-light e-commerce operations. Operating cash flow (CFO) remained robust at RMB 163.5 billion in FY25A (Exhibit 36), supported by high-margin advertising and commission revenue from TTG. However, **we expect free cash flow (FCF) to turn negative at RMB -36.8 billion** by the end of FY26E, driven by their accelerated AI CapEx program. This investment cycle demonstrates a clear shift in Alibaba's capital allocation, with annual CapEx expected to peak at approximately RMB 177 billion in FY27E, before decreasing as infrastructure reaches the desired capacity level. Despite the intensity of investments, we consider Alibaba's balance sheet strong enough to support it without requiring significant leverage, given its reported RMB 374.3 billion in cash and short-term investments. We forecast the CFO to recover to RMB 177.5 billion by FY27E as operating margins stabilize, with FCF turning positive by the end of the year.

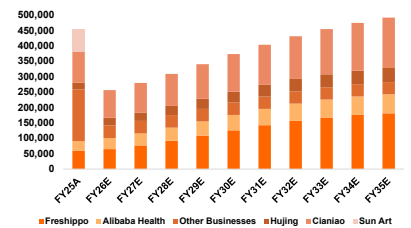


Exhibit 32 – All Others Revenue Forecast (RMB mn)

Source: Company Filings, AMSA Research

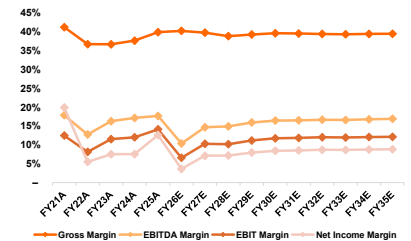


Exhibit 33 – Margins Development

Source: Company Filings, AMSA Research

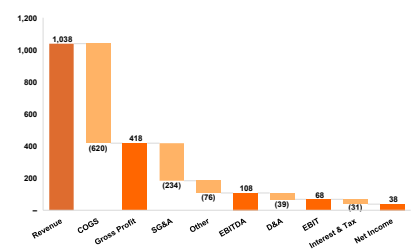


Exhibit 34 – Profitability Breakdown FY26E (RMB bn)

Source: AMSA Research

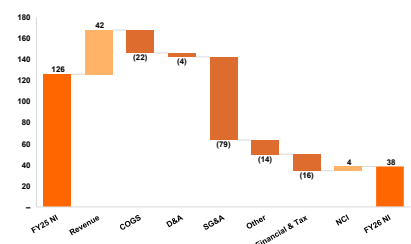


Exhibit 35 – Net Income Bridge FY25A vs FY26E (RMB bn)

Source: Company Filings, AMSA Research

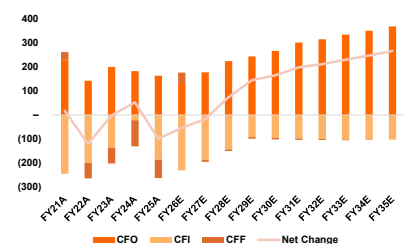


Exhibit 36 – Cash Flow Statement Summary (RMB bn)

Source: Company Filings, AMSA Research

Leverage and Liquidity

Alibaba maintains **strong creditworthiness**, reflected in its A1/A+ credit ratings, **on par with or stronger than China's sovereign credit profile** (A1 to A-1). This strength has enabled attractive financing terms and has showcased the recent issuance of USD 8.2 billion (RMB 58.4 billion) of convertible bonds with a 0–0.5% coupon, maturing between 2029 and 2032. The proceeds are explicitly earmarked to support the CapEx build-out of AI and cloud infrastructure, underscoring management's intent to fund long-duration growth investments with low-cost, flexible capital. As a result, **Alibaba's WAC remains structurally low at ~2.9%**, reflecting both its **credit quality and conservative balance sheet positioning**.

Leverage remains conservative, with a debt-to-equity ratio of 23.7% in FY25A, below the peer group median of 27% (Exhibit 37), providing additional financial flexibility. Interest coverage is expected to dip to 6.8x in FY26E (Exhibit 38), reflecting elevated operating expenses linked to AI investment during FY26E, before normalizing back to >12x in FY27E as cost growth moderates and operating leverage improves. Importantly, net debt to EBITDA remains negative, highlighting a **fortress balance sheet** and **significant excess debt capacity** relative to senior bank thresholds, which typically target <3.0x for investment-grade borrowers.

The liquidity position is robust, with RMB 374.3 billion in cash and cash equivalents plus short-term investments, comfortably exceeding total short-term, long-term, and bank debt of RMB 281.6 billion as of Q2' FY26A. Both current and quick ratios remain above 1.0 in FY25A and are not projected to fall in the forecast period. Given the scale of on-balance-sheet liquidity and strong free cash flow generation, **liquidity metrics are not viewed as a constraint and are expected to remain stable**.

Valuation

Methodology

For the valuation of Alibaba, we used multiple valuation methods, including a Discounted Cash Flow Analysis (DCF), Competitive Company Analysis (CCA), Sum Of The Parts (SOTP), and a Monte Carlo simulation. For these analyses, we used a Scenario Analysis with a bull, base, and bear case. This gave us different approximations of Alibaba's current intrinsic value and an approximate PT range. We did not use a Discounted Dividend Model (DDM) because the company does not distribute dividends consistently and instead uses share buybacks as a form of investor compensation. Since Alibaba Group Holding Limited comprises many businesses, we decided to include an SOTP analysis as an additional measure of its value.

Discounted Cash Flow (DCF)

FCFF is expected to grow with a terminal CAGR of 2%

Over the forecast period, FCFF is projected to grow at a 28.2% CAGR, with significant negative growth from FY26E to FY27E, driven by expected higher CapEx, reflecting increased investment in Cloud infrastructure. From FY28E onwards, FCFF is expected to rebound strongly as these investments reduce, delivering high double-digit growth through FY29E before decelerating and converging toward 7% YoY growth. The 2% terminal growth assumption reflects Alibaba's positioning as an emerging markets technology company.

Implied WACC of 7.03%

We estimated the present cost of debt, assuming a synthetic rating spread of 240 bps based on the 5-year and current spreads of A+-rated companies, and adjusting for an additional country risk premium. With a risk-free rate of 1.89% from CYN 10Y government bonds, the pre-tax cost of debt equals 4.29%, implying a post-tax cost of debt of 3.22% assuming a 25% tax rate.

For the cost of equity, we first estimated Alibaba's beta using a 25/25/50 weighting of its historical beta, weighted-average peer-group betas, and median peer-group betas, with all betas are Blume-weighted to assume reversion to the market average. This yielded an

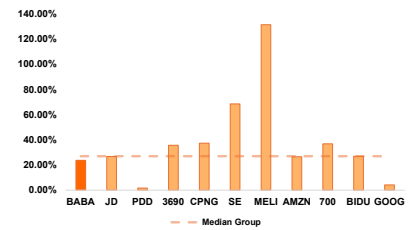


Exhibit 37 – Peer Debt-to-Equity Ratio
Source: LSEG Data & Analytics

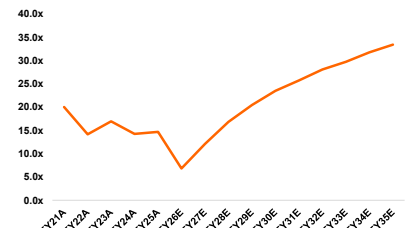


Exhibit 38 – Interest Coverage Ratio
Source: Company Filings, AMSA Research

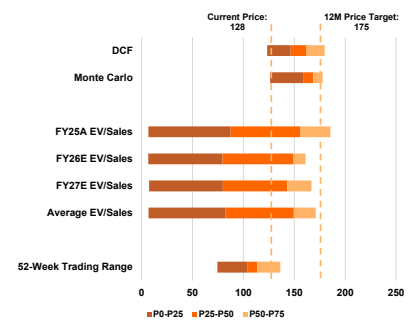


Exhibit 39 – Football Field / Valuation Summary (RMB)
Source: LSEG Data & Analytics, AMSA Research

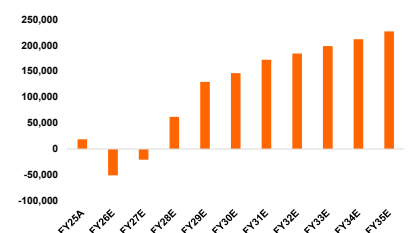


Exhibit 40 – FCFF Forecast (RMB mn)
Source: Company Filings, AMSA Research

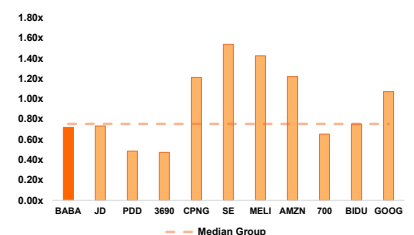


Exhibit 41 – Peer Beta Comparison
Source: LSEG Data & Analytics, AMSA Research

unlevered beta of 0.75x and a levered beta of 0.81x. The ERP was calculated using a revenue-weighted regional exposure approach and the respective implied ERPs for those regions, resulting in an ERP of 4.33%. The same approach was applied to CRP, yielding 2.05%. The implied cost of equity is 7.46%. After estimating the market value of interest-bearing debt, the resulting capital structure implied an equity weight of 89.87% and a debt weight of 10.13%. We assume a constant WACC of 7.03% across the forecast horizon.

DCF valuation signals undervaluation

In the base case DCF, we estimated an intrinsic equity value of RMB 162 (USD 185) per share and a 12-month price target of RMB 175 (USD 200). The PV of discrete-period FCFF is RMB 815 billion, accounting for 25% of the enterprise value, while the remainder comes from the RMB 2.5 trillion PV of terminal value. With a debt balance of RMB 268 billion, non-controlling interests of RMB 69 billion, and CCE of RMB 145 billion, this translates to an equity value of RMB 3.1 trillion (Exhibit 42), which comes to RMB 162 per share after accounting for the fully diluted shares outstanding of 19.3 billion.

Sensitivity Analysis

To stress-test our DCF assumptions, we (i) measured valuation sensitivity across terminal WACC and terminal growth, then (ii) constructed an upside-downside profile around the base case, and (iii) repeated the process for bull and bear cases. We found that a 25 bps increase in terminal WACC reduces the implied equity value by ~6.0%, and a 25 bps decrease in terminal growth results in a ~4% decline. In a stress case with a WACC of 7.78% and a terminal CAGR of 1.25%, the intrinsic equity value falls to RMB 123, implying a 4% downside from the current price, which remains limited relative to the upside potential (Exhibit 43). This maintains the robustness of the DCF valuation in adverse parameter assumptions.

For relative valuation, we (i) determined the target FY27E P/E multiple and then (ii) assessed how changes in FY27E earnings translate into the implied price target. We found that a RMB 0.20 reduction to a base-case FY27E EPS reduces the implied price target by ~3.7% (Exhibit 43).

Monte Carlo

We performed a Monte Carlo simulation with 5000 iterations, adjusting two key terminal figures concerning terminal growth and operating margins. The summary statistics of the intrinsic value per share strongly support the DCF (Exhibit 44), with 70% of the simulated outcomes falling within a 10% range of the DCF-implied intrinsic value per share. Moreover, we estimated a 100% probability that the 12-month price target exceeds the current price of RMB 128, further reinforcing the overall recommendation.

Relative Valuation

CCA Methodology

Alibaba's diversified business model required a segment-by-segment framework across China's e-commerce, international e-commerce, and cloud & AI. In the Chinese e-commerce market, JD.com, PDD, and Meituan are the most relevant peers given their direct exposure to a highly competitive market with similar pressures on growth and margins. International e-commerce peers include Amazon, MercadoLibre, Sea, and Coupang. For cloud and AI, we compare Alibaba Cloud with Alphabet, Tencent, and Baidu, given their scale cloud platforms and increasing monetization of AI models.

EV/Sales methodology FY25A PT of RMB 152 (USD 174) gives 18.7% upside

Our EV/Sales valuation is SOTP-driven. We applied a 1.42x EV/Sales multiple to Alibaba's China e-commerce, a 2.94x EV/Sales to Alibaba's international e-commerce, a 6.80x EV/Sales multiple to Alibaba's cloud, and a 3.64x EV/Sales multiple to Alibaba's others segment. This corresponds to an implied FY25A blended EV/Sales multiple of 3.04x, corresponding to an implied equity value of RMB 152 (USD 174). This implied valuation is slightly below the DCF intrinsic value of RMB 162 (USD 185) but still supports the overall recommendation.

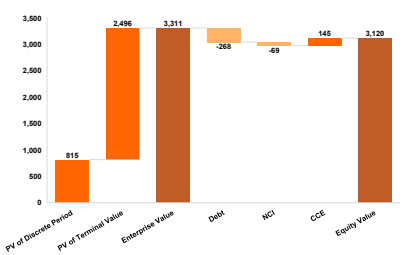


Exhibit 42 – Enterprise Value to Equity Value (RMB mn)
Source: AMSA Research

Valuation Assumptions	6.50%	6.50%	6.50%	Terminal WACC	7.00%	7.25%	7.50%	7.75%
Terminal Growth	1.25%	1.25%	1.25%	1.25%	1.25%	1.25%	1.25%	1.25%
Terminal WACC	6.50%	6.50%	6.50%	7.00%	7.25%	7.50%	7.75%	7.75%
Enterprise Value	3,311	3,311	3,311	3,311	3,311	3,311	3,311	3,311
Debt	-268	-268	-268	-268	-268	-268	-268	-268
NCI	-49	-49	-49	-49	-49	-49	-49	-49
CCE	145	145	145	145	145	145	145	145
Equity Value	3,129	3,129	3,129	3,129	3,129	3,129	3,129	3,129

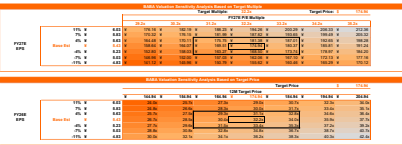


Exhibit 43 – DCF & Relative Valuation Sensitivity
Source: AMSA Research

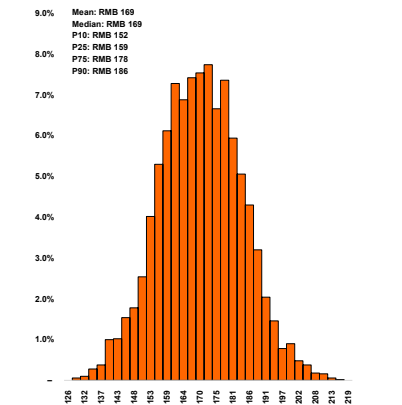


Exhibit 44 – DCF Monte Carlo Simulation (RMB)
Source: AMSA Research

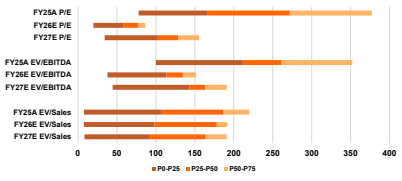


Exhibit 45 – Non-SOTP CCA Valuation (USD)
Source: AMSA Research

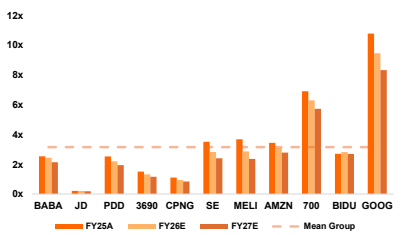


Exhibit 46 – Peer Group EV/Sales
Source: LSEG Data & Analytics, AMSA Research

EV/EBITDA methodology FY25A PT of RMB 143 (USD 163) gives 11.5% upside

Our EV/EBITDA valuation is also SOTP-driven. We applied a 10.28x EV/EBITDA multiple to Alibaba's China e-commerce, a 22.06x EV/EBITDA multiple to Alibaba's international e-commerce, a 17.30x EV/EBITDA multiple to Alibaba's cloud, and a 17.86x EV/EBITDA multiple to Alibaba's others segment. This results in an implied blended EV/EBITDA multiple of 16.1x, corresponding to an implied equity value of RMB 143 (USD 163). This valuation is materially lower than the DCF intrinsic value, mainly due to the early-growth nature of Cloud Intelligence Group, which results in lower EBITDA.

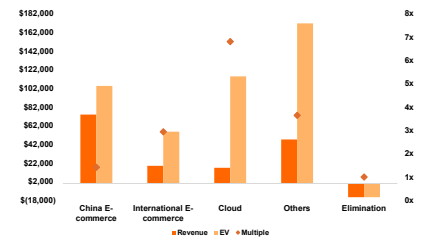


Exhibit 47 – FY25A SOTP EV/Sales (USD mn)
Source: AMSA Research

Scenario Analysis

BULL CASE RMB 238 BASE CASE RMB 175 BEAR CASE RMB 120

Upside/downside: +85.8%

Alibaba's Cloud Intelligence Group gains significant traction. The e-commerce group returns to high-single-digit revenue growth, due to successful marketing and sales expenditures. Margins improve due to VAS and Chinese consumption recovers to 2021 levels. Revenue grows at 9.5% CAGR through FY35E and EBIT margin is at its highest with 15.1% in FY35E. ROIC peaks at 16.2% in FY35E. WACC is ~7.0% and terminal CAGR is at 2.5%, yielding a 22.1x terminal multiple.

Upside/downside: +36.6%

Alibaba's investments into cloud pay off and its marketing expenses stay elevated. The e-commerce division grows steadily, with quick commerce as a new growth driver, and the AIDC group has strong revenue growth due to its retail segment. Through FY35E, revenue grows at 7.9% CAGR and EBIT margin is to gradually improve to 12.2% in FY35E. ROIC is expected to improve from 9.9% in FY24A to 12.6% in FY35E. WACC is ~7.0% and terminal CAGR is at 2.0%, translating to a 19.9x terminal multiple.

Upside/downside: -6.0%

Alibaba's high marketing expenses do not translate to higher revenue causing margins to shrink and lagging growth. The AIDC group is hit with a fine by the EU with a 6% impact on revenue. CapEx expenditures do not translate into high Cloud growth. Through FY35E, revenue grows at 6.5% CAGR and EBIT margin is to decline to 9.8% in FY35E. ROIC is expected to slightly improve to 9.9% in FY35E. WACC is ~7.0% and terminal CAGR is at 1.5%, translating to an 18.1x terminal multiple.

Risks Analysis

Strategic Risks

Cloud and AI investments (S1)

Alibaba has been expanding its Cloud segment aggressively and plans to continue this effort. The firm has announced a substantial three-year investment plan for FY26E-FY28E, committing over USD 52 billion (RMB 380 billion) to AI and cloud infrastructure. Even though this figure already surpasses the company's total investment in the sector over the past decade, Alibaba's CEO Eddie Wu's recent statement suggesting this massive budget might be "on the small side" indicates potential for further upward revisions. This potential overspending could negatively impact free cash flow and profitability, as shown in Q2 2026, when the firm reported negative free cash flow of RMB 21.8 billion. This aggressive CapEx spending, while potentially necessary for long-term competitiveness, raises concerns about the eventual return on this massive capital outlay.

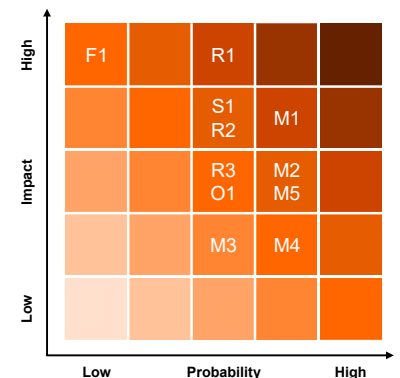


Exhibit 48 – Risk Matrix
Source: AMSA Research

Market Risks

Increasing competition in local e-commerce market (M1)

Alibaba's dominance in Chinese e-commerce is unprecedented, but there are growing threats from a combination of new and established rivals. Taobao and Tmall are competing for market share against PDD Holdings' Pinduoduo and ByteDance's Douyin (Exhibit 49). Pinduoduo's social commerce and low-price strategy have allowed the platform to rapidly gain market share, particularly among price-sensitive consumers. Simultaneously, Douyin is pioneering interest-based e-commerce, integrating content, algorithms, and e-commerce, thereby quickly capturing consumer attention. This competition is forcing Alibaba to increase its investment in competitive pricing and user retention, which could lead to further margin compression. The company acknowledges in its annual report that "the e-commerce industry

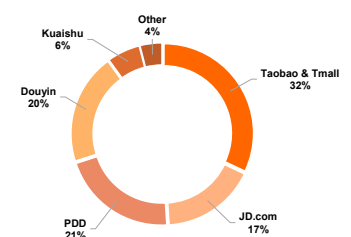


Exhibit 49 – China E-commerce Market Share % based on GMV 2025
Source: Goldman Sachs

in China has become increasingly competitive" and that it "may not be able to maintain our market share or profitability" if it cannot compete effectively.

Slower consumer spending (M2)

Alibaba's revenue growth is also exposed to persistent consumer weakness within China, as a cautious consumer base opts to save rather than spend, directly threatening the company's core e-commerce revenue. Despite government efforts to boost domestic demand, Chinese household savings rates have remained stubbornly high, staying above 30% since 2020 and continuing this trend through 2025 (Exhibit 50). Data from the third quarter of 2025 shows that 62.3% of urban households prefer to increase their bank deposits, reflecting a widespread lack of confidence in the economic outlook. This cautious sentiment is fueled by an uneven post-pandemic recovery, a struggling property market that is impacting household wealth, and broader deflationary pressures. Furthermore, retail sales of Consumer goods have entered a structurally weak period, with the average from 2025 to 2020 being 4.92% vs 2020 to 2016 more than 6% (Exhibit 51). For Alibaba, this translates into a direct risk of lower transaction volumes and reduced consumer spending on its Taobao and Tmall platforms, making it difficult to meet growth targets despite competitive pricing.

Foreign currency risk (M3)

Alibaba's global operations expose the firm to currency risks, primarily between its reporting currency (RMB) and other currencies, such as USD and EUR. The nature of the business operation provides natural hedging as expenses are mostly incurred in the same currency as revenue (RMB). Alibaba also actively manages its material transactional exposure using derivatives, although management explicitly states that the hedging activities do not fully mitigate the transactional currency risks. Notably, translation risk remains material, as RMB appreciation would negatively impact Alibaba's reported financials. Alibaba held USD-denominated CCE, short-term investments, and other investments of USD 33 billion as of FY25A. We estimated that a 5% appreciation of the RMB against the USD would cost Alibaba RMB 11.5 billion (Exhibit 52), based solely on these items.

Share price volatility (M4)

We ran 5,000 Geometric Brownian Motion paths using historical daily volatility (3.21%) and forward-looking daily drift (0.07%) to examine the daily price movement over the next 12 months (Exhibit 53). The simulations indicate a ~40.6% probability that the share price at the end of 2026 will reach or exceed our 12-month price target of RMB 175. In addition, there is a 64% probability that it will exceed the current share price of RMB 128. While this shows that the overall BUY recommendation remains intact, the share price volatility suggests moderate timing and execution risks, underscoring the possibility that the price target may be reached beyond the 12-month horizon.

Value at Risk (M5)

We estimated VaR using historical, parametric, and Monte Carlo (5,000 iterations) methods. The outputs differ from each other, with the historical method showing 1-day VaR at 3.78% (Exhibit 54), the parametric method resulting in 5.31% (Exhibit 55), and the Monte Carlo approach yielding 5.00% (Exhibit 56), all at 95% confidence levels. The historical VaR is highly sensitive to extreme observations, such as a tail event on April 7th, 2025, in which Alibaba saw more than 18% price decline after Trump's tariff announcement. Nonetheless, as such an extreme event occurred infrequently, it caused the divergence relative to the other methods. If we use the parametric output to be conservative, this implies that the stock is not expected to lose more than 5.31% on 95% of trading days, suggesting high short-term downside risk.

Regulatory and Geopolitical Risks

US-China tensions (R1)

The recent kidnapping of Venezuela's president, Nicolás Maduro, has brought China's Taiwan reunification plan into focus, namely accelerating the potential timeline. For now, the long-run implications of Taiwan reunification are unclear for Alibaba's businesses. The expectation is that ongoing geopolitical tensions between the United States and China

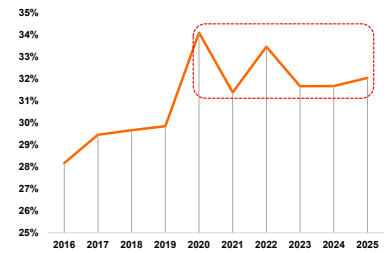


Exhibit 50 – Chinese Household Saving Rate 2016-2025
Source: National Bureau of Statistics of China

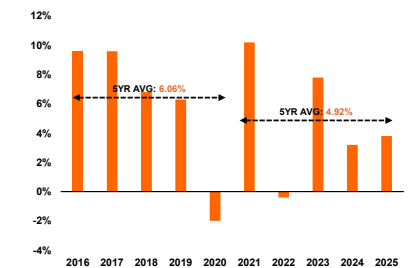


Exhibit 51 – Chinese Total Retail Sales of Consumer Goods 2016-2025
Source: FactSet

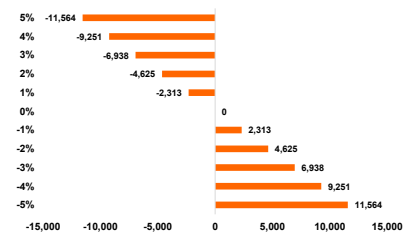


Exhibit 52 – RMB/USD Translation Risk Impact (RMB mn)
Source: Company Filings, AMSA Research

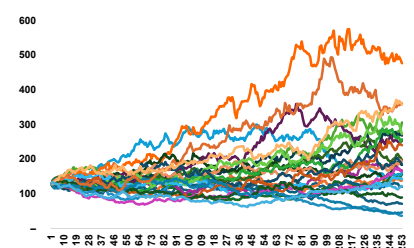


Exhibit 53 – 12M Price Paths GBM (25 out of 5,000)
Source: AMSA Research

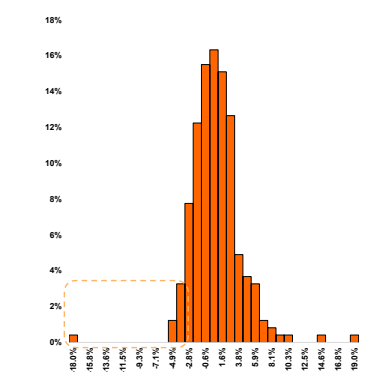


Exhibit 54 – 1-Day VaR (Historical Method)
Source: LSEG Data & Analytics, AMSA Research

(Exhibit 52), which pose a material risk to Alibaba's operations and growth prospects, will persist. The most immediate impact is the US government's export controls on advanced technologies, particularly semiconductors, which are critical for Alibaba's ambitions in AI and cloud computing. These restrictions could disrupt its ability to develop and offer cutting-edge AI services. Furthermore, there is the persistent, albeit currently less acute, risk of Alibaba's delisting from US stock exchanges if the Public Company Accounting Oversight Board (PCAOB) is unable to inspect the company's audit papers in the future. This risk, while manageable for now, adds a layer of uncertainty for investors. The broader geopolitical tensions also create a challenging environment for Alibaba's international expansion, particularly in Western markets where there is heightened scrutiny of Chinese tech companies.

China's crackdown on tech CEOs (R2)

While the most intense phase of China's "tech crackdown" appears to have passed, the regulatory environment for tech giants like Alibaba remains stringent and unpredictable. The Chinese government has demonstrated its willingness to intervene in the tech sector to address concerns about monopolistic practices, data security, and financial stability. The record 18.2 billion yuan (\$2.8 billion) fine imposed on Alibaba in 2021 (Exhibit 58) for abusing its market position, specifically for its "pick one from two" policy, serves as a stark reminder of the government's power. Although authorities have recently signaled a more supportive stance towards the tech industry to bolster economic growth, the risk of future regulatory shifts remains. This creates a persistent cloud of uncertainty for Alibaba and its investors, as new regulations could impact the company's business practices, growth, and profitability.

AliExpress and rising regulatory risks in Europe (R3)

Alibaba faces increasing regulatory scrutiny in its international markets, most notably in Europe. In March 2024, the European Commission launched a formal investigation into AliExpress under the Digital Services Act (DSA) (Exhibit 59). The probe focuses on whether AliExpress is doing enough to "counter the dissemination of illegal products" and protect consumers, with specific concerns about the sale of counterfeit goods, fake medicines, and unsafe products. If found in breach of the DSA, AliExpress could face fines of up to 6% of its global revenue. This investigation highlights the growing compliance burden and financial risks associated with operating in major international markets. A negative outcome could not only result in a substantial fine but also force significant changes to AliExpress's operations and damage its reputation among European consumers.

Financial Risks

Probability of default (F1)

We employed the KMV-Merton methodology with 4 iterations to estimate the 10-year probability of default (PD), yielding a PD of 8.77%. Assuming a constant annual default intensity (flat hazard rate), this translates to a 0.91% 1-year PD. While there is no indication of short-term stress, the long-term risk is non-trivial. Nonetheless, the main driver of the risk is structural and macro exposure, rather than solvency stress. Alibaba is exposed to US–China macroeconomic and geopolitical uncertainties, causing volatility in equity value, and therefore artificially increasing PD. Altman Z"-score (for non-manufacturing firms in emerging markets) also consistently places Alibaba within the Safe zone. This implies a smaller concern regarding balance sheet stress.

Operational Risks

Conglomerate decentralization (O1)

In 2023, Alibaba undertook one of the most significant structural changes in its history by adopting a "1+6+N" organizational model. This broke the business into six major semi-independent groups, including Cloud Intelligence, Taobao & Tmall Commerce, Local Life Services, and others, each with its own CEO and board under the Alibaba Group umbrella. This restructuring was aimed at reigniting entrepreneurial agility and enabling each unit to pursue tailored growth or even independent financing and listings, effectively shifting away from a tightly centralized conglomerate toward a federated ecosystem of businesses. While

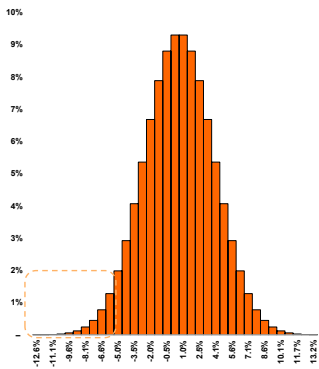


Exhibit 55 – 1-Day VaR (Parametric Method)
Source: AMSA Research

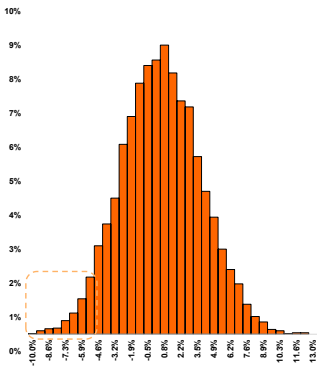


Exhibit 56 – 1-Day VaR (Monte Carlo Method)
Source: AMSA Research

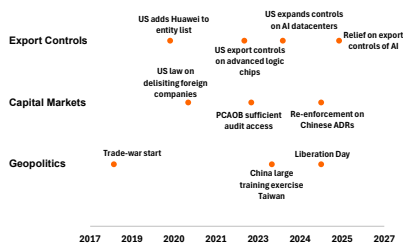


Exhibit 57 – US - China Tension Timeline
Source: Reuters

Date	Fine Amount RMB (mn)	Issuing Body	Reason / Violation
14-Dec-20	0.5	SAMR	Failure to report the acquisition of Intime Retail.
30-Dec-20	0.5	SAMR	Pricing violations on Tmall.
10-Apr-21	18,239.9	SAMR	Landmark Antitrust Fine: Abuse of market dominance.
7-Jul-21	2.5	SAMR	Five separate fines (500k each) for unreported M&A.
20-Nov-21	0.5	SAMR	Failure to report the 2014 acquisition of Autohome.
5-Jan-22	1.0	SAMR	Two fines (500k each) for reporting failures.
10-Jul-22	2.5	SAMR	Five fines (500k each) for past M&A violations.
7-Jul-23	712.0	PBOC/NFRA	Fine against Ant Group for governance issues.

Exhibit 58 – Fines against Alibaba by the Chinese Government
Source: State Administration for Market Regulation, MMCL Group

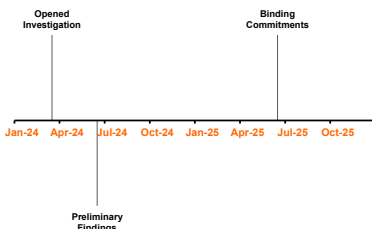


Exhibit 59 – EU Investigation against AliExpress under the DSA
Source: European Commission

this change can help accelerate innovation within individual units, it also introduces fragmentation risk: divergent strategies, incentive misalignment, and increased coordination overhead can weaken synergy, slow cross-unit initiatives, and create internal competition for resources, talent, and strategic priorities.

ESG

Overview – ESG Strengths with Governance Constraints

Alibaba presents an ESG profile where comparatively strong environmental and social performance is offset by structurally elevated governance risk. Third-party assessments reflect this with Sustainalytics environmental risk score of 4.2 (industry average of 3.0) and SynTao Green Finance & Huazheng rate Alibaba's social performance 4.7, exceeding the industry average of 3.2. These strengths reflect a Sustainalytics Risk Score of 15.5 (Low Risk) and an MSCI BBB rating. Governance, however, remains the central investor concern, exemplified by Alibaba's industry governance score of 3.2, trailing the top-quartile benchmark of 4.1.

Environmental | Decarbonization Progress Constrained by Cloud-Led Demand and Scope 3 Exposure

Alibaba's commitment to achieve carbon neutrality across direct (Scope 1 & 2) emissions by 2030 is ambitious, alongside a target to reduce Scope 3 carbon intensity by 50% by 2030 from a 2020 baseline and ecosystem-wide emissions reductions of 1.5 gigatons by 2035 (Scope 3+). While progress has been made, operational greenhouse gas emissions declined 5.0% year-on-year in FY24A and clean electricity increased to 52.2% of total power consumption (+7.9 ppt YoY), the decarbonization pathway remains structurally demanding. This is reflected by Alibaba's investment in a 500 MW source-grid-load-storage project.

The structural challenge of this transition is most evident within Alibaba Cloud, where accelerating demand for AI computing and data storage continues to drive absolute electricity consumption higher. Although operational efficiency has improved with average PUE across self-built data centers declining to 1.19 in FY25A (from 1.20 in FY24A) (Exhibit 62) and clean electricity accounting for 64% of data center power consumption FY25A (+8 ppt YoY), these gains have led to consistent reductions in emissions intensity rather than absolute emissions (Exhibit 63), reflecting how rising demand and revenue absorb efficiency and decarbonization gains (Exhibit 64).

Execution risk is further affected by the scale of Alibaba's Scope 3 emissions, which account for 77% of the company's total carbon footprint. Scope 3 emissions have increased in FY24A and in FY25A exceeded FY22A levels however Scope 2 and 3 emissions have decreased since FY22A (Exhibit 65). Despite Scope 3 emissions being above FY22A levels, emission intensity has decreased for Scope 3 as well as Scope 1 & 2 (Exhibit 66) while total emissions have remained relatively stable since FY22A (Exhibit 63). Scope 3 emissions include third-party logistics, transportation, and merchant-related activities, rather than those from Alibaba's own facilities. As a result, Scope 3 emissions reduction has a structural challenge of driving decarbonization across a large, decentralized value chain.

Social | Strong Employee Support Tampered by Gig Economy and Regulatory Risks

Alibaba's social performance is a result of its **continued efforts in building stability in the workforce and taking care of its employees**. Despite this, the percentage of women in Alibaba's workforce and in senior management has been declining since FY22A from 49.5% and 50% to 35.4% and 37.5% in FY25A, respectively (Exhibit 67). Employee support activities have been extended outside the workplace, with more than 103,000 physical examinations arranged for employees' parents and 68,000 employees taking family care leave in the year. These, combined with learning and development activities such as the "Learn AI, Use AI" employee training program, which attracted over 16,000 employees in FY25A, continue to position Alibaba as a talent developer in the long run. This is further supported by external recognition, with Alibaba ranked among the top five Chinese

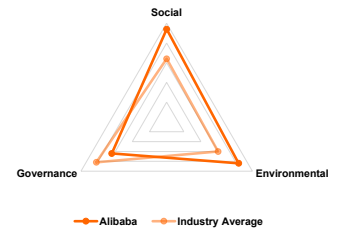


Exhibit 60 – ESG Profile
Source: AMSA Research

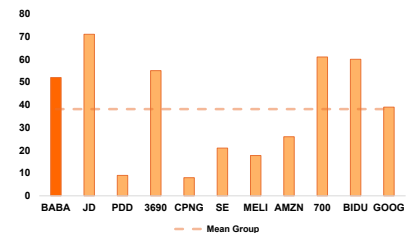


Exhibit 61 – ESG Peer Analysis (0-100)
Source: S&P Global, Yahoo Finance

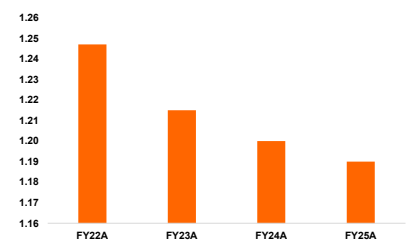


Exhibit 62 – Power Usage Effectiveness (PUE) of Alibaba Cloud's Self-Built Data Centers
Source: Company Filings

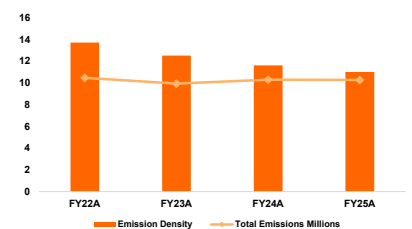


Exhibit 63 – Total GHG Emissions (MtCO2e) and GHG Emissions Intensity (MtCO2e/mn RMB revenue)
Source: Company Filings

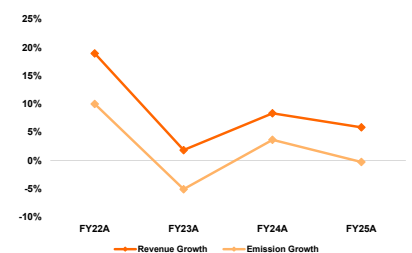


Exhibit 64 – Revenue Growth vs. Emission Growth
Source: Company Filings

companies on Forbes' World's Best Employers 2024 list. Workplace safety and satisfaction have been improving, with main campuses obtaining ISO 45001 and ISO 14001 certifications and an office environment satisfaction rate of 93.1%

Despite these strengths, there are considerable social risks associated with Alibaba. First, there are concerns regarding **labor practices** in the delivery and logistics segment of Alibaba. Ele.me focuses on a **gig workforce and contractual labor**, where labor laws are governed by platform rules rather than employment laws. This industry is particularly associated with China's "996" work culture, which was officially ruled illegal by China's Supreme People's Court. This industry is consistently subjected to investigations by Chinese authorities regarding labor laws and regulations regarding labor hours. Even though Alibaba has introduced insurance plans and entered into collective labor agreements involving approximately 3 million logistics workers, there are interventions from Chinese authorities, indicating that these measures are not sufficient to mitigate labor risks. Second, there are risks associated with Alibaba's size and algorithmic business, particularly regarding regulations on data protection. Any gaps in data protection can lead to regulatory risks due to increasing regulations on data protection in China.

Governance | Concentrated Control and State Influence as Structural Risk

Governance represents Alibaba's most material ESG risk. Alibaba operates within a system in which control is held by insiders and the state. There is little room for minority shareholders to influence corporate decisions. Alibaba's corporate governance framework is based on the Alibaba Partnership, who reserve the right to appoint the majority of directors to the company's board despite holding a minority stake.

Ownership concentration further reinforces this imbalance. There are no shareholders who own a majority of outstanding shares either as an outsider or an insider. The largest shareholders own less than 5% of outstanding shares (Exhibit 68 and Exhibit 69).

Board composition reflects this concentration of control. The company's Board consists of 11 directors of whom 55% are classified as independent directors. However, the current leadership structure is dominated by two individuals: Joe Tsai, the company's chairman and Eddie Wu, the company's CEO. The average director tenures are around 9 years. This points to a lack of diversity in the company's corporate governance. These concerns were compounded by the reversal in its corporate strategy in which the company's management shifted from Daniel Zhang to Eddie Wu alongside Joe Tsai's expanded executive role, which highlighted limited depth beyond the founding leadership.

Executive remuneration. Executive remuneration consists of salaries, bonuses, and share-based compensation, while non-executive directors receive fees and share-based compensation. Compensation is overseen by a fully independent Compensation Committee, though board nomination rights sit with the Alibaba Partnership rather than public shareholders. In FY25A, total remuneration for Directors and the chief executive amounted to RMB 518 million, with share-based compensation representing 75% of total remuneration (Exhibit 70). CEO Eddie Wu's FY25A compensation totaled RMB 320 million, of which 85% was through share-based compensation, reflecting management's incentives being primarily tied to Alibaba's equity performance.

Governance risk is further elevated by state involvement. Chinese state-affiliated entities have board representation and veto power through Special Management Shares. This is a risk to shareholders, as their interests are not protected when regulatory and political interests conflict with shareholders' returns. **This structural exposure is reinforced by geopolitical and data-sovereignty concerns.** Alibaba is affected by legislation that requires cooperation with state authorities. This is an area where Alibaba conflicts with the US and European data sovereignty. This risk has been highlighted by a recent US political investigation, which includes reports suggesting that Alibaba may have access to data from Chinese state entities. However, Alibaba denies this. Despite this, there has been no evidence of wrongdoing. This is a risk to shareholders since Alibaba is not able to refuse state requests. This risk is increased by Alibaba Cloud's position as a major infrastructure provider, prompting U.S. policymakers to call for restrictions on Chinese technology firms.

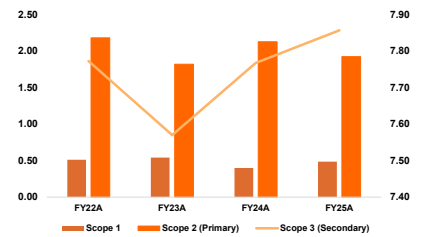


Exhibit 65 – GHG Scope Emissions
Source: Company Filings

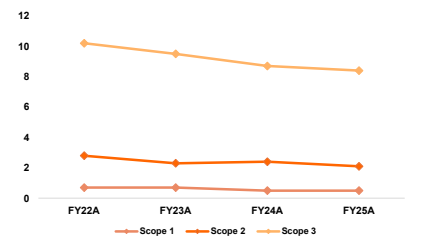


Exhibit 66 – GHG Emission Scope Intensity
Source: Company Filings



Exhibit 67 – Women Representation in Workforce and Senior Management
Source: Company Filings

	% of OS
The Vanguard Group, Inc	3.64%
Norges Bank Investment Management	2.18%
BlackRock Fund Advisors	1.74%
BlackRock Fund Advisors (UK) Ltd.	1.03%
E Fund Management Co., Ltd.	0.91%
JPMorgan Investment Management, Inc.	0.86%
Geode Capital Management LLC	0.72%
Hang Seng Investment Management Ltd.	0.49%
Fidelity Management & Research Co. LLC	0.42%
JPMorgan Asset Management (Asia Pacific) Ltd.	0.41%

Exhibit 68 – Top 10 Largest Shareholders
Source: FactSet

	% of OS
SoftBank Group Corp.	3.30%
Apn Ltd.	2.10%
Tsai Chung Hsin/Alibaba	1.44%
Advanced Photoelectronic Technology	0.33%
Wu Yong Ming Eddie	0.07%

Exhibit 69 – Top 5 Insiders/Stakeholders
Source: FactSet

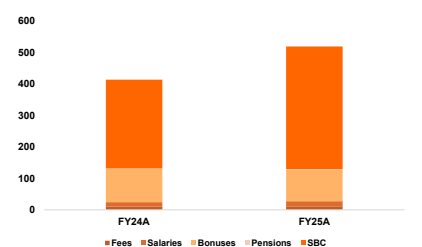


Exhibit 70 – Directors and Chief Executive Remuneration (RMB mn)
Source: Company Filings

Appendix

Appendix 1: Corporate Governance

Biographies – Management

Yong Ming Eddie Wu – Chief Executive Officer & Director of Alibaba Group. Wu joined Alibaba as one of its 19 co-founders and has held multiple senior leadership roles, including Chief Technology Officer where he played a key role in building Alibaba's core digital infrastructure and platform architecture. He founded Vision Plus Capital in 2015, focusing on tech and digital healthcare. Wu holds a BA from the College of Information Engineering of Zhejiang University of Technology.

John Michael Evans – President & Director. He oversees Alibaba's global positioning and international strategy. Evans joined Alibaba's board in 2014 after 20 years in Goldman Sachs, where he served as Vice Chairman and Global Head of Growth Markets. He is a member of the Asia Society's Board and holds a master's degree in finance from the University of Oxford.

Hong Xu – Chief Financial Officer. Xu oversees Alibaba's global finance organisation, including financial reporting, capital allocation and investor-related financial strategy. Before joining Alibaba, he spent 11 years at Price Waterhouse Coopers, where he became partner. He graduated from Fudan University with a BSc in Physics and is a member of the Chinese Institute of Certified Public Accountants.

Zeming Wu – Chief Technology Officer. Wu has senior technical responsibility for major platform initiatives, including long-running involvement with the "11.11" shopping festival system. He joined Alibaba in 2018 as deputy CFO and became youngest-ever CTO in Alibaba in 2022. Wu holds concurrent roles like director at Meinian Onehealth Healthcare and supervisory board member at Ant group

Fan Jiang – Chief Executive Officer Alibaba E-commerce Business Group since 2024. Jiang oversees Alibaba's domestic and international e-commerce platforms, including marketplace operations and consumer growth strategy. Before joining Alibaba, Jiang founded Umeng (mobile app analytics, acquired by Alibaba) as CEO and worked in product development at Google China. He joined Alibaba in 2013 and holds a BSc in Computer Science from Fudan University.

Bo Liu – President-Taobao, Tmall Group, Alimama & Xianyu. Liu oversees Alibaba's core China commerce platforms, including marketplace operations, advertising monetisation and second-hand commerce. He has leadership responsibility across core commerce operations and monetisation. Liu holds an MBA from the Chinese University of Hong Kong and a BSc from Zhengzhou University of Aeronautics.

Lu Yuan Fan – President-Digital Media & Entertainment. Fan oversees Alibaba's digital media and entertainment businesses, including online video, film production, content platforms. He also serves as Chairman and CEO of Alibaba Pictures Group, as well as a member of the Alibaba partnership. He joined Alipay in 2007, becoming president of Alipay and head of Ant Group's wealth management before moving into entertainment. Fan holds an EMBA from Cheung Kong Graduate School of Business

Jianfeng Zhang – Chief Technology Officer. Zhang oversees long-term technology research and innovation strategy. He joined Alibaba's CTO in 2016 and previously served as president of China retail marketplaces and earlier led Taobao Marketplace. He oversaw Juhuasuan, local services, 1688.com, and Tmall. Zhang studied Computer Science at Zhejiang University.

Peng-hung Tung – President-Corporate Development. Tung oversees Alibaba's corporate development activities, including mergers and acquisitions and strategic partnerships. He previously served as Alibaba's Chief Marketing Officer and held prior leadership role as President of Alimama. Before joining Alibaba, he was CEO of VML China and Vice President of Marketing at PepsiCo China. Tung holds a graduate degree Industrial Engineering from the University of Michigan.

Jun Fang Zheng – Chief Customer & Risk Officer. Zheng oversees customer trust, platform governance, data security and enterprise-wide risk management. She joined Alibaba in 2010, serving as financial vice president, deputy chief financial officer, chief platform governance, and chief risk officer with responsibilities including data security and platform governance. Before Alibaba, she was an audit partner at KPMG Consulting China Co. Ltd. Zheng holds a BSc in Accounting from Northeastern University (China).

Robert Lin – Head-Investor Relations. Lin oversees Alibaba's global investor communications and earnings disclosures. He is named the IR contact in Alibaba's SEC filed earnings materials. He also serves as a member of the Sustainability/ESG Steering Committee. Lin joined Alibaba in 2016, leading earnings calls and investor communications. Previously worked at Morgan Stanley as Executive Director and Equity Research Analyst. Lin holds a Kellogg-HKUST Executive MBA.

Sara (Siying) Yu – General Counsel since 2020. Yu oversees Alibaba's global legal affairs, including regulatory compliance, litigation and government relations. She joined Alibaba in 2005 and previously served as Deputy General responsible for domestic

legal affairs. Prior to Alibaba, she worked as a lawyer at Zhejiang Haihao (H&H) Law Firm and in various law firms and government departments. She holds a BSc in Law from East China University of Political Science and Law.

Biographies – Board Members

Yong Mind Eddie Wu (Chinese) and **John Michael Evans** (Canadian) – see above.

Joe Tsai (Taiwanese/Canadian) – Co-founder of Alibaba Group and Chairman of the Board. Tsai has played a central role in Alibaba's corporate governance, capital markets strategy and long-term development since the company's early years. Tsai holds a BA in Economics from Yale University and a JD from Yale Law School

Yun-Lien Lee (Chinese) – Independent Director since 2022. Lee is the executive chairman of Hysan Development Limited and serves as a member of the board of trustees of the Better Hong Kong Foundation. Her career includes senior roles at Citibank, global head of corporate finance at Commonwealth Bank of Australia and holds a BSc of Arts from Smith College.

Kong-Ping Ng (Chinese/Hong Konger) – Independent Director since 2022. Ng was Chairman and Managing Partner of Ernst & Young China and a member of EY's Global Executive Board. He currently serves as independent non-executive director at Ping An Insurance and holds a MBA from The Chinese University of Hong Kong.

Weijian Shan (Chinese/Hong Konger) – Independent Director and Audit Committee Member. Shan is executive chairman and co-founder of PAG (Asia's leading private equity firm), previously managing partner at TPG Asia and managing director at JPMorgan China. He holds a PhD and MSc in Economics from UC Berkley.

Kabir Misra (Indian) – Independent Director since 2023. Misra is currently managing partner at RPS Ventures, previously managing partner at SoftBank Investment Advisors and SoftBank Capital. Misra holds a BSc in Economics from Harvard University and an MBA from Stanford Graduate School of Business.

Wan Ling Martello (American) – Independent Director since 2015 and founding partner of BayPine (Boston-based private equity firm). Martello was EVP and CFO Walmart International and COO Global eCommerce. She holds an MBA from the University of Minnesota.

Jerry Yang (Taiwanese American) – Independent Director and founding partner of AME Cloud Ventures. Yang co-founded Yahoo!, served as CEO and board member and led Yahoo's investment in Alibaba acquiring 40% stake. Other boards include Workday, Lenovo and Cisco. He holds a MSc in electrical engineering from Stanford University.

Ethan Xie (Chinese) – Director. Xie was managing partner of Alibaba Innovation Ventures, leading investments in e-commerce and emerging tech like Magic Leap.

Wei Wu (Chinese) – Director. Wu served as Alibaba's chief financial officer and head of strategic investments. Prior to Alibaba, she was an audit partner at KPMG Beijing and holds a BSc in Accounting from Capital University of Economics and Business.

Appendix 2: Porter's Five Forces

Alibaba Porter's Five Forces			
Five Forces	Sub-forces	Score (0-7)	Description
Threat of new entrants - 1.5	Time and cost of entry	1	For every major business unit where Alibaba participates, time and cost of entry are significant. For example, cloud infrastructure with proprietary chips, AI models, or a global e-commerce platform (with proprietary logistics) requires millions of dollars in investments over many years.
	Specialist knowledge & IP	2	Proprietary T-Head semiconductors, the Qwen model family, and decade-plus of operational expertise in Chinese e-commerce create significant knowledge barriers.
	Economies of scale	0.5	Alibaba's vertically integrated architecture amortizes infrastructure costs across e-commerce, logistics, and cloud operations, achieving unmatched unit economics that new entrants cannot replicate without similar scale.
	Technology protection	3	While Alibaba holds patents on AI chips and cloud technologies, the competitive Chinese tech landscape, rapid innovation and the risk of government intervention pose significant risk to their IP protection
	Barriers to entry	1	Regulatory complexity in China, established merchant and supplier relationships, and network effects in platforms like Taobao and Tmall create significant barriers.
Power of suppliers - 2.4	Number of suppliers	1.5	Alibaba doesn't rely much on concentrated external parties given their broad and deep integration
	Size of suppliers	2	Key technology suppliers like semiconductor fabrication partners have could have some leverage, but for other business units not so much
	Uniqueness of input/service	3	Advanced semiconductor manufacturing and the logistics infrastructure of some countries (international) offer limited substitutes for the relevant business units.
	Ability to substitute	2.5	Limited alternatives for advanced chip manufacturing due to U.S. export controls. However, their vertical integration strategy (T-Head chips) and cloud infrastructure ownership reduce dependency, and providers for other business units are easy to replace.
	Cost of switching	3	Changing semiconductor suppliers or re-designing cloud infrastructure around different chip would require years and millions in investment, creating high switching cost for the cloud and AI business unit. For other lines, there are no major switching costs.
Power of customers - 2.6	Number of customers	0.5	With over 1 billion annual active consumers across Taobao, Tmall, and international platforms, plus millions of cloud customers, the power of each individual customer is mild. Though enterprise cloud clients could carry more weight.
	Size of each purchase	1.5	Individual consumer transactions on their e-commerce units are small, but enterprise cloud contracts can be much bigger. The 88VIP program's 53 million high-spending members could represent some concentrated purchasing power as a group.
	Differences between rivals	3	There are not many differentiators between JD.com, Pinduoduo, or other emerging platforms for e-commerce in China, so that remains a problem (as seen by the net market share loss to PDD in the last years). Regarding cloud and AI though, Alibaba's vertical integration and scale remains unmatched in the chinese market.
	Price sensitivity	4.5	PDD's rapid growth based on price leadership demonstrates a high price sensitivity in Chinese e-commerce. Cloud customers on the other hand could have higher price tolerance due the factors previously mentioned (switching cost, alibaba vertical integration, etc)
	Ability & cost to switch	3.5	E-commerce platform switching is frictionless for consumers, and relatively easy for vendors. Cloud migration on the other hand, involves higher technical complexity and costs.
Threat of substitutes - 3.8	Availability of substitutes	5	Live-streaming commerce (Douyin), low-cost leaders (PDD), and alternative cloud computing models provide numerous substitutes.
	Relative price	4	PDD and Shein usually offer lower prices through unbranded products and direct-to-manufacturer relationships.
	Incentives to substitute	3.5	Price-sensitive consumers have shown a clear tendency to gravitate toward PDD/Temu; brand-conscious shoppers may prefer JD's strict authenticity policies; global companies could prefer western cloud and AI providers for their cutting-edge AI models or to reduce potential problems with western governments regarding data privacy and national security.
	Relative quality/performance	2	JD's logistics often matches or exceeds Alibaba's delivery speed and reliability, but Alibaba scale offers a product suite integration that is hard to replace. International cloud providers (AWS, Azure) could offer superior global performance and compliance, but from the perspective of a Chinese company, the political risk involved is not worth it, and there is no other chinese provider that matches Alibaba's
	Cost of change	4.5	Minimal costs to try alternative e-commerce platforms: users and vendors often own multiple accounts in different platforms. Cloud migration on the other hand, involves moderate costs and barriers.
Competitive Rivalry - 4.3	Number of major rivals	4	E-commerce: multiple relevant rivals, both nationally and internationally. Cloud and AI: mainly 3 big competitors in China, although more internationally.
	Quality differences	4	JD.com matches Alibaba on logistics quality; PDD and Shein are usually inferior in both products and logistics. In cloud, competitors match their capabilities in specific verticals, but there are no other fully integrated providers.
	Differentiation & innovation	4.5	Rivals try to innovate aggressively, such as PDD offering gamification or TikTok shop with social commerce.
	Switching costs	4	Near-zero switching costs in e-commerce platforms, which makes market share retention a challenge, though it's a bigger problem for Alibaba given their leading position in China (having the most to lose). Cloud switching involves moderate friction on the other hand
	Customer loyalty	5	The 88VIP program builds loyalty among high-spenders, but PDD, shein or Tiktok shop rapid market share gains shows there is limited brand loyalty.

Appendix 3: SWOT Analysis

Strengths:

Dominant e-commerce ecosystem with 1.31 billion annual active consumers across Taobao, Tmall, and Freshippo as of March 31, 2025, generating RMB 996 billion in FY25A revenue and enabling unmatched data scale for AI training.

Cloud leadership in China with accelerating growth, ranking #1 domestically (34% market share per Omdia Q2 2025) and delivering 34% YoY revenue growth in Q2 FY26A driven by AI-as-a-service adoption.

Strong balance sheet with RMB 407 billion (\$54 billion) in cash & short-term investments as of September 30, 2025, funding USD 24 billion in buybacks since 2023 without compromising AI/cloud investments.

Weaknesses:

International commerce remains low-margin, with AIDC achieving only RMB 162 million in adjusted EBITA profit in Q2 FY26A after years of losses – profitability still fragile versus Temu/Shein's scale.

Cloud segment lags global peers on margins, operating at 3.5% adjusted EBITA margin in FY25A versus AWS's 18%, reflecting pricing pressure in China's competitive IaaS market.

Domestic consumption headwinds persist, with China's retail sales growth moderating to 3.7% YoY in 2025 (NBS data), pressuring Taobao/Tmall GMV growth to single digits despite AI enhancements.

Opportunities:

AI monetization via Qwen integration, with Taobao's AI shopping assistant driving 30% higher conversion during 11.11 2025 festival.

Regulatory normalization under "New Quality Productive Forces" policy, with China's 2025 AI governance framework explicitly prioritizing domestic cloud/AI providers for government contracts.

Capital return acceleration, with USD 5.8 billion in buybacks executed in Q1 FY26A alone.

Threats:

Intensifying competition across all segments: Pinduoduo's Temu capturing cross-border share (32% U.S. market penetration per Bloomberg Intelligence), while Tencent Cloud gains enterprise contracts with Hunyuan AI.

Geopolitical friction on AI infrastructure, with NVIDIA recording \$0 H20 sales to China-based customers in Q2 FY26A after \$4.6B in Q1 FY26A, constraining cloud GPU supply.

Execution risk on AI monetization, as Qwen 3.0's Tier-1 registry approval (deadline March 31, 2026) remains uncertain, only ~46% of 2025 applicants received approval per CAC data.

Appendix 4: Financial Statements

Income Statement Analysis

RMB in millions, unless otherwise stated

	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Total Revenue	717,289	853,062	868,687	941,168	996,347	1,038,231	1,182,745	1,328,643	1,471,385	1,608,548	1,744,857	1,876,664	1,999,993	2,112,444	2,213,261
Taobao and Tmall Group	444,611	474,820	463,455	494,695	516,903	556,863	597,538	639,938	683,478	729,473	779,342	832,191	888,427	948,162	1,011,898
Alibaba International Digital Commerce Group	48,851	62,185	70,506	102,598	132,300	150,941	187,352	224,815	264,534	304,589	342,841	376,932	404,552	423,716	433,047
Cloud Intelligence Group	60,558	102,016	103,497	106,374	118,028	157,966	199,312	239,174	273,854	298,501	322,381	344,948	365,645	383,927	399,284
All others	233,790	274,456	293,071	312,496	329,808	252,934	275,062	308,337	340,023	372,992	403,264	430,834	454,034	473,907	491,088
Unallocated	—	1,556	866	1,297	1,924	2,403	2,403	2,403	2,403	2,403	2,403	2,403	2,403	2,403	2,403
Inter-segment elimination	(70,521)	(61,971)	(62,708)	(76,292)	(102,616)	(82,877)	(78,922)	(86,025)	(92,907)	(99,410)	(105,375)	(110,643)	(115,069)	(119,672)	(124,459)
Cost of Goods Sold	(421,205)	(539,450)	(549,695)	(586,323)	(598,285)	(619,934)	(711,784)	(811,854)	(892,675)	(970,651)	(1,053,936)	(1,136,141)	(1,212,232)	(1,278,312)	(1,338,631)
Gross Profit	296,084	313,612	318,992	354,845	398,062	418,297	470,961	516,789	578,711	637,897	690,921	740,523	787,760	834,132	874,630
<i>Gross Margin</i>	41.3%	36.8%	36.7%	37.7%	40.0%	40.3%	39.8%	38.9%	39.3%	39.7%	39.6%	39.5%	39.4%	39.5%	39.5%
Operating Expenses	(232,795)	(271,782)	(246,440)	(268,135)	(286,417)	(382,658)	(394,442)	(438,069)	(478,375)	(518,612)	(559,505)	(596,418)	(636,593)	(673,087)	(706,801)
SG&A	(136,743)	(151,721)	(145,679)	(157,126)	(188,260)	(267,121)	(261,459)	(284,503)	(307,879)	(332,924)	(357,147)	(380,645)	(406,344)	(428,786)	(449,133)
Sales and marketing expenses	(81,519)	(119,799)	(103,496)	(115,141)	(144,021)	(223,556)	(212,823)	(225,869)	(244,250)	(263,802)	(282,667)	(300,266)	(319,999)	(337,991)	(354,122)
General and administrative	(55,224)	(31,922)	(42,183)	(41,985)	(44,239)	(43,565)	(48,636)	(58,634)	(63,629)	(69,122)	(74,480)	(80,379)	(86,345)	(90,795)	(95,012)
Product development expenses	(57,236)	(55,465)	(56,744)	(52,256)	(57,151)	(68,374)	(71,989)	(81,030)	(88,460)	(98,185)	(107,789)	(114,399)	(121,952)	(128,804)	(135,329)
Impairment of goodwill	—	(25,141)	(2,714)	(10,521)	(6,171)	(8,020)	(9,107)	(9,546)	(11,767)	(11,840)	(13,251)	(14,204)	(15,082)	(16,080)	(16,678)
Other gains, net	—	—	—	—	761	297	—	—	—	—	—	—	—	—	—
Depreciation & Amortization	(38,816)	(39,455)	(41,303)	(48,232)	(35,596)	(39,440)	(51,887)	(62,991)	(70,270)	(75,664)	(81,319)	(87,170)	(93,216)	(99,417)	(105,661)
Depreciation	(26,389)	(27,808)	(27,799)	(26,640)	(29,260)	(32,811)	(45,493)	(56,838)	(64,362)	(70,006)	(75,914)	(82,023)	(88,331)	(94,799)	(101,314)
Amortization	(12,427)	(11,647)	(13,504)	(21,592)	(6,336)	(6,630)	(6,393)	(6,153)	(5,907)	(5,658)	(5,405)	(5,147)	(4,885)	(4,618)	(4,348)
EBITDA	128,494	109,093	141,654	161,582	176,501	107,890	173,900	198,549	234,968	264,954	288,649	313,298	332,714	355,261	374,804
<i>EBITDA Margin</i>	17.9%	12.8%	16.3%	17.2%	17.7%	10.4%	14.7%	14.9%	16.0%	16.5%	16.5%	16.7%	16.6%	16.8%	16.9%
EBITA	102,105	81,285	113,855	134,942	147,241	75,079	128,406	141,711	170,605	194,948	212,735	231,275	244,383	260,462	273,490
<i>EBITA Margin</i>	14.2%	9.5%	13.1%	14.3%	14.8%	7.2%	10.9%	10.7%	11.6%	12.1%	12.2%	12.3%	12.2%	12.3%	12.4%
Operating Income (EBIT)	89,678	69,638	100,351	113,350	140,905	68,449	122,013	135,558	164,698	189,290	207,330	226,128	239,499	255,844	269,143
<i>Operating Margin</i>	12.5%	8.2%	11.6%	12.0%	14.1%	6.6%	10.3%	10.2%	11.2%	11.8%	11.9%	12.0%	12.0%	12.1%	12.2%
Interest and investment Income, net	72,794	(15,702)	(11,071)	(9,964)	20,759	—	—	—	—	—	—	—	—	—	—
Interest expense	(4,476)	(4,909)	(5,918)	(7,947)	(9,596)	(10,029)	(10,068)	(8,053)	(8,053)	(8,053)	(8,053)	(8,053)	(8,053)	(8,053)	(8,053)
Net Other Income (Expense)	7,582	10,523	5,823	6,157	3,387	—	—	—	—	—	—	—	—	—	—
Pretax Income (EBT)	165,578	59,550	89,185	101,596	155,455	58,420	111,945	127,506	156,645	181,238	199,278	218,076	231,446	247,791	261,090
Income Tax Expense	(29,278)	(26,815)	(15,549)	(22,529)	(35,445)	(20,603)	(27,501)	(31,876)	(39,161)	(45,309)	(49,819)	(54,519)	(57,862)	(61,948)	(65,273)
Share of results of equity method investees	6,984	14,344	(8,063)	(7,735)	5,966	—	—	—	—	—	—	—	—	—	—
Net Income	143,284	47,079	65,573	71,332	125,976	37,817	84,444	95,629	117,484	135,928	149,458	163,557	173,585	185,843	195,818
<i>Net income Margin</i>	20.0%	5.5%	7.5%	7.6%	12.6%	3.6%	7.1%	7.2%	8.0%	8.5%	8.6%	8.7%	8.7%	8.8%	8.8%
Net loss attributable to noncontrolling interests	7,294	15,170	7,210	8,677	4,133	(385)	1,827	9,641	10,064	8,488	8,454	7,919	8,460	10,325	11,874
Net Income attributable to Alibaba Group Holding Limited	150,578	62,249	72,783	80,009	130,109	37,432	86,271	105,270	127,548	144,416	157,912	171,476	182,045	196,168	207,692
Accretion of mezzanine equity	(270)	(290)	(274)	(268)	(639)	2,380	(73)	(184)	(185)	(186)	(160)	(166)	(194)	(208)	(224)
Net Income Attributable to Ordinary Shareholders	150,308	61,959	72,509	79,741	129,470	39,812	86,198	105,086	127,363	144,230	157,752	171,311	181,851	195,960	207,468
EPS attributable to ordinary shareholders															
Basic	6.95	2.87	3.46	3.95	6.89	2.12	4.59	5.58	6.75	7.63	8.32	9.00	9.53	10.23	10.79
Diluted	6.84	2.84	3.43	3.91	6.70	2.06	4.45	5.42	6.56	7.41	8.09	8.76	9.27	9.96	10.51
Weighted Average Shares Outstanding															
Basic	21,619	21,558	20,980	20,182	18,791	18,777	18,793	18,823	18,863	18,911	18,965	19,025	19,088	19,155	19,224
Diluted	21,982	21,787	21,114	20,359	19,318	19,295	19,360	19,382	19,415	19,455	19,505	19,560	19,619	19,680	19,745

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Balance Sheet

RMB in millions, unless otherwise stated

	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Total Current Assets	643,360	638,535	697,966	752,864	674,049	587,875	595,450	695,089	868,657	1,064,953	1,279,200	1,514,088	1,766,354	2,034,147	2,317,707
Cash and Cash Equivalents	321,262	189,898	193,086	248,125	145,487	115,478	100,758	163,835	286,979	427,478	596,103	775,680	970,977	1,180,846	1,406,818
Short-term Investments	152,376	256,514	326,492	262,955	228,826	228,826	228,826	228,826	228,826	228,826	228,826	228,826	228,826	228,826	228,826
Restricted Cash and Escrow Receivables	35,207	37,455	36,424	38,299	43,781	20,108	17,545	28,528	49,971	74,435	103,797	135,066	169,073	205,616	244,964
Equity Securities and Other Investments	9,807	8,673	4,892	59,949	53,780	45,257	45,835	46,420	47,013	47,613	48,221	48,836	49,460	50,091	50,731
Prepayments, Receivables and Other Assets	124,708	145,995	137,072	143,536	202,175	178,206	202,487	227,480	255,868	286,601	302,253	325,679	348,018	368,768	386,368
Total Non-Current Assets	1,046,858	1,057,018	1,055,078	1,011,965	1,130,178	1,323,994	1,458,836	1,537,943	1,557,511	1,575,671	1,590,115	1,600,226	1,606,787	1,607,690	1,602,370
Property and Equipment, net	147,412	171,806	176,031	185,161	203,348	336,654	468,572	544,598	562,686	578,795	591,930	600,992	606,661	606,922	600,779
Goodwill	292,771	269,581	268,091	259,679	255,501	252,481	248,374	243,828	237,061	230,221	221,971	212,767	202,685	191,605	179,927
Intangible Assets, net	70,833	59,231	46,913	26,950	20,911	19,117	17,560	16,244	15,173	14,351	13,782	13,472	13,423	13,641	14,129
Equity Securities and Other Investments	237,221	223,611	245,737	220,942	356,818	411,953	411,953	411,953	411,953	411,953	411,953	411,953	411,953	411,953	411,953
Prepayments, Receivables and Other Assets	98,432	113,147	110,926	116,102	83,431	96,927	102,411	108,205	114,327	120,795	127,629	134,850	142,480	150,541	159,058
Investments in Equity Method Investees	200,189	219,642	207,380	203,131	210,169	206,862	209,965	213,114	216,311	219,556	222,849	226,192	229,585	233,029	236,524
Total Assets	1,690,218	1,695,553	1,753,044	1,764,829	1,804,227	1,911,870	2,054,286	2,233,032	2,426,168	2,640,624	2,869,315	3,114,314	3,373,140	3,641,838	3,920,077
Total Current Liabilities	377,358	383,784	385,351	421,507	435,346	447,251	494,436	560,454	616,420	671,779	724,301	775,362	826,260	870,644	910,579
Current Bank Borrowings	3,606	8,841	7,466	12,749	22,562	26,288	26,288	26,288	26,288	26,288	26,288	26,288	26,288	26,288	26,288
Current Unsecured Senior Notes	9,831	—	4,800	16,252	—	—	—	—	—	—	—	—	—	—	—
Income Tax Payable	25,275	21,753	12,543	9,068	11,638	5,588	5,588	5,588	5,588	5,588	5,588	5,588	5,588	5,588	5,588
Escrow Money Payable	211	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Accrued Expenses, Accounts Payable and Other Liabilities	260,929	271,460	275,950	297,883	332,537	333,347	371,096	426,215	472,749	518,225	558,069	599,733	641,477	677,513	709,594
Merchant Deposits	15,017	14,747	13,297	12,737	274	284	326	372	409	445	483	520	555	585	613
Deferred Revenue and Customer Advances	62,489	66,983	71,295	72,818	68,335	81,743	91,138	101,991	111,386	121,233	133,873	143,232	152,352	160,670	168,496
Total Non-Current Liabilities	229,226	229,576	244,772	230,723	278,775	327,958	327,958	327,958	327,958	327,958	327,958	327,958	327,958	327,958	327,958
Non-Current Bank Borrowings	38,335	38,244	52,023	55,686	49,909	63,566	63,566	63,566	63,566	63,566	63,566	63,566	63,566	63,566	63,566
Non-Current Unsecured Senior Notes	97,381	94,259	97,065	86,089	122,398	120,504	120,504	120,504	120,504	120,504	120,504	120,504	120,504	120,504	120,504
Non-Current Convertible Unsecured Senior Notes	—	—	—	—	35,834	57,481	57,481	57,481	57,481	57,481	57,481	57,481	57,481	57,481	57,481
Non-Current Exchangeable bonds	—	—	—	—	—	13,755	13,755	13,755	13,755	13,755	13,755	13,755	13,755	13,755	13,755
Deferred Tax Liabilities	59,598	61,706	61,745	53,012	48,454	46,802	46,802	46,802	46,802	46,802	46,802	46,802	46,802	46,802	46,802
Deferred Revenue	3,158	3,490	3,560	4,069	4,536	4,496	4,496	4,496	4,496	4,496	4,496	4,496	4,496	4,496	4,496
Other Liabilities	30,754	31,877	30,379	31,867	17,644	21,354	21,354	21,354	21,354	21,354	21,354	21,354	21,354	21,354	21,354
Total Liabilities	606,584	613,360	630,123	652,230	714,121	775,209	822,394	888,412	944,378	999,737	1,052,259	1,103,320	1,154,218	1,198,602	1,238,537
Total Mezzanine and Shareholders' Equity	1,083,634	1,082,193	1,122,921	1,112,599	1,090,106	1,136,661	1,231,891	1,344,619	1,481,790	1,640,887	1,817,056	2,010,994	2,218,923	2,443,236	2,681,540
Mezzanine Equity	8,673	9,655	9,858	10,728	11,713	9,884	6,244	6,177	6,126	6,138	6,254	6,494	6,880	7,424	8,140
Ordinary Shares	1	1	1	1	1	1	1	1	1	1	1	1	1	1	1
Additional Paid-In Capital	394,308	410,506	416,880	397,999	381,379	393,838	408,220	424,589	442,952	463,284	485,618	509,940	536,179	564,233	593,979
Treasury Shares at Cost	—	(2,221)	(28,763)	(27,684)	(36,329)	(37,060)	(38,258)	(39,223)	(40,305)	(41,328)	(42,380)	(43,418)	(44,463)	(45,504)	(46,547)
Subscription Receivables	(47)	(46)	(49)	—	—	—	—	—	—	—	—	—	—	—	—
Statutory Reserves	7,347	9,839	12,977	14,733	15,936	16,996	19,509	22,007	25,020	28,741	32,779	37,011	41,547	46,497	51,709
Accumulated Other Comprehensive Loss	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Cumulative Translation Adjustments	(18,930)	(33,184)	(10,476)	3,635	3,286	—	—	—	—	—	—	—	—	—	—
Unrealized Losses on Interest Rate Swaps and Others	(133)	27	59	(37)	107	—	—	—	—	—	—	—	—	—	—
Retained Earnings	554,924	563,557	599,028	597,897	645,478	683,295	767,739	863,368	980,852	1,116,780	1,266,239	1,429,796	1,603,380	1,789,223	1,985,041
Noncontrolling Interests	137,491	124,059	123,406	115,327	68,535	69,707	68,437	67,700	67,143	67,270	68,545	71,171	75,399	81,362	89,216
Total Liabilities, Mezzanine Equity and Shareholders' equity	1,690,218	1,695,553	1,753,044	1,764,829	1,804,227	1,911,870	2,054,286	2,233,031	2,426,168	2,640,624	2,869,315	3,114,314	3,373,140	3,641,838	3,920,077

Cash Flow Statement

RMB in millions, unless otherwise stated

	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Cash Flow from Operating Activities (CFO)	231,786	142,759	199,752	182,593	163,509	129,253	177,565	224,003	243,875	266,738	301,490	314,995	334,574	350,626	367,464
Net Income	143,284	47,079	65,573	71,332	125,976	37,817	84,444	95,629	117,484	135,928	149,458	163,557	173,585	185,843	195,818
Adjustments to Reconcile Net Income to Net CFO	37,994	113,830	120,697	125,010	61,521	59,328	70,216	87,349	98,813	106,184	115,161	123,803	132,430	141,148	149,311
Revaluation gain on previously held equity interest	(8,759)	2	—	—	(628)	—	—	—	—	—	—	—	—	—	—
Loss on disposals of equity method investees	(644)	32	72	10	27	—	—	—	—	—	—	—	—	—	—
Loss (Gain) related to equity securities and other investments	(57,930)	20,479	14,911	23,480	(28,652)	8,523	(578)	(585)	(593)	(600)	(608)	(616)	(623)	(631)	(640)
Change in fair value of other assets and liabilities	250	1,478	(1,522)	(708)	590	(9,786)	(5,484)	(5,794)	(6,122)	(6,468)	(6,834)	(7,221)	(7,629)	(8,061)	(8,517)
(Gain) Loss on disposals of subsidiaries	(383)	(1,163)	(14)	(1,550)	21,509	—	—	—	—	—	—	—	—	—	—
Depreciation and impairment of property and equipment, and operating lease cost relating to land use rights	26,389	27,808	27,799	26,640	29,260	32,811	45,493	56,838	64,362	70,006	75,914	82,023	88,331	94,799	101,314
Amortization of intangible assets and licensed copyrights	21,520	20,257	19,139	17,864	13,199	6,630	6,393	6,153	5,907	5,658	5,405	5,147	4,885	4,618	4,348
Equity-settled share-based compensation expense	50,120	23,971	30,831	18,546	13,970	—	—	—	—	—	—	—	—	—	—
Equity-settled donation expense	—	—	511	—	—	—	—	—	—	—	—	—	—	—	—
Impairment of equity securities and other investments	7,481	8,922	13,327	12,244	8,801	(1,829)	(3,640)	(67)	(51)	12	116	240	386	544	717
Impairment of goodwill, intangible assets and licensed copyrights	1,688	25,886	6,658	22,610	6,805	8,020	9,107	9,546	11,767	11,840	13,251	14,204	15,082	16,080	16,678
Gain on disposals of property and equipment	75	132	(163)	(107)	(784)	—	—	—	—	—	—	—	—	—	—
Share of results of equity method investees	(6,984)	(14,344)	8,063	7,735	(5,966)	16,612	18,924	21,258	23,542	25,737	27,918	30,027	32,000	33,799	35,412
Deferred income taxes	3,236	(1,369)	(1,717)	(5,263)	374	(1,652)	—	—	—	—	—	—	—	—	—
Allowance for doubtful accounts	1,935	1,739	2,802	3,509	3,016	—	—	—	—	—	—	—	—	—	—
Changes in Working Capital	50,508	(18,150)	13,482	(13,749)	(23,988)	32,108	22,905	41,025	27,578	24,626	36,870	27,635	28,559	23,634	22,336
Cash Flow from Investing Activities (CFI)	(244,194)	(198,592)	(135,506)	(21,824)	(185,415)	(229,735)	(187,285)	(142,842)	(91,908)	(94,805)	(97,423)	(99,285)	(101,890)	(102,531)	(102,394)
(Increase) Decrease in short-term investments, net	(114,826)	(106,984)	(61,086)	71,426	23,395	—	—	—	—	—	—	—	—	—	—
Increase in other treasury investments, net	—	—	(40,794)	(64,392)	(126,041)	—	—	—	—	—	—	—	—	—	—
Settlement of forward exchange contracts, net	(803)	(448)	1,282	658	(335)	(3,393)	—	—	—	—	—	—	—	—	—
Acquisitions of equity securities and other investments, and other assets	(57,514)	(39,378)	(17,818)	(15,240)	(10,342)	(55,135)	—	—	—	—	—	—	—	—	—
Disposals of equity securities and other investments, and other assets	7,280	14,543	21,738	21,966	18,214	—	—	—	—	—	—	—	—	—	—
Acquisitions of equity method investees	(18,661)	(9,383)	(4,552)	(3,525)	(3,822)	—	—	—	—	—	—	—	—	—	—
Disposals of and distributions from equity method investees	2,538	936	1,001	1,265	1,520	3,307	(3,103)	(3,149)	(3,197)	(3,245)	(3,293)	(3,343)	(3,393)	(3,444)	(3,495)
Disposals of intellectual property rights and assets	369	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Acquisitions of Land use rights, property and equipment	(41,450)	(53,309)	(34,330)	(32,087)	(85,972)	(166,117)	(177,412)	(132,864)	(82,450)	(86,115)	(89,050)	(91,085)	(94,000)	(95,060)	(95,170)
Acquisitions of Intangible Assets	(1,735)	(15)	(22)	(842)	—	(9,836)	(9,836)	(9,836)	(9,836)	(9,836)	(9,836)	(9,836)	(9,836)	(9,836)	(9,836)
Disposals of property and equipment	—	—	644	373	2,428	—	—	—	—	—	—	—	—	—	—
Cash (paid) received for business combinations, net of cash acquired	(19,137)	(4,087)	(1,204)	(2,204)	353	—	—	—	—	—	—	—	—	—	—
Deconsolidation and disposal of subsidiaries, net of cash proceeds	(126)	(11)	(5)	699	(5,077)	1,439	3,066	3,008	3,575	4,390	4,756	4,978	5,338	5,809	6,108
Loans to employees, net of repayments	(129)	(456)	(360)	79	264	—	—	—	—	—	—	—	—	—	—
Cash Flow from Financing Activities (CFF)	30,082	(64,449)	(65,619)	(108,244)	(76,215)	47,179	(7,010)	(6,590)	(6,818)	(6,301)	(5,361)	(4,117)	(2,577)	(823)	1,145
Issuance of ordinary shares	175	109	11	843	10	—	—	—	—	—	—	—	—	—	—
Repurchase of ordinary shares	(773)	(61,225)	(74,746)	(88,745)	(86,662)	—	—	—	—	—	—	—	—	—	—
Dividend distribution	—	—	—	(17,946)	(29,077)	—	—	—	—	—	—	—	—	—	—
Proceeds from convertible unsecured senior notes, net of debt issuance cost	—	—	—	—	35,665	—	—	—	—	—	—	—	—	—	—
Payments for capped call transactions	—	—	—	—	(4,612)	—	—	—	—	—	—	—	—	—	—
Acquisition of additional equity interests in non-wholly owned subsidiaries	(11,218)	(7,406)	(2,511)	(5,821)	(21,949)	—	—	—	—	—	—	—	—	—	—
Dividends paid by non-wholly owned subsidiaries to noncontrolling interests	(471)	(881)	(489)	(546)	(664)	(2,981)	(5,812)	(5,626)	(5,736)	(5,278)	(4,309)	(3,079)	(1,532)	218	2,188
Contingent consideration payments made after a business combination	—	—	(144)	(71)	(197)	(731)	(1,198)	(965)	(1,081)	(1,023)	(1,052)	(1,038)	(1,045)	(1,041)	(1,043)
Capital injection from noncontrolling interests	11,020	12,240	918	1,577	2,402	—	—	—	—	—	—	—	—	—	—
Proceeds from bank borrowings and other borrowings, net of upfront fee payment for a syndicated loan	6,402	9,427	22,790	20,570	52,788	—	—	—	—	—	—	—	—	—	—
Repayment of bank borrowings	(7,061)	(7,128)	(11,448)	(13,092)	(43,678)	17,383	—	—	—	—	—	—	—	—	—
Proceeds from unsecured senior notes, net of debt issuance cost	32,008	—	—	—	35,979	35,402	—	—	—	—	—	—	—	—	—
Repayment of unsecured senior notes	—	(9,585)	—	(5,013)	(16,220)	(1,894)	—	—	—	—	—	—	—	—	—
Net Cash Provided by/(Used for) Continuing Operations	17,674	(120,282)	(1,373)	52,525	(98,121)	(53,303)	(16,730)	74,570	145,149	165,632	198,706	211,592	230,106	247,272	266,215
Effect of Exchange Rate Changes on Cash and Cash Equivalents, Restricted Cash and Escrow Receivables	(7,187)	(8,834)	3,530	4,389	965	—	—	—	—	—	—	—	—	—	—
Increase (Decrease) in cash and cash equivalents	10,487	(129,116)	2,157	56,914	(97,156)	(53,303)	(16,730)	74,570	145,149	165,632	198,706	211,592	230,106	247,272	266,215
Cash and Cash Equivalents at the Beginning of the Period	345,982	356,469	227,353	229,510	286,424	189,268	135,965	119,235	193,805	338,954	504,585	703,291	914,883	1,144,989	1,392,261
Cash and Cash Equivalents at the End of the Period	356,469	227,353	229,510	286,424	189,268	135,965	119,235	193,805	338,954	504,585	703,291	914,883	1,144,989	1,392,261	1,658,477

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Appendix 5: Financial Statements Vertical & Horizontal Analysis

Income Statement Analysis Vertical

RMB in millions, unless otherwise stated

	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Total Revenue	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
Taobao and Tmall Group	62.0%	55.7%	53.4%	52.6%	51.9%	53.6%	50.5%	48.2%	46.5%	45.3%	44.7%	44.3%	44.4%	44.9%	45.7%
Alibaba International Digital Commerce Group	6.8%	7.3%	8.1%	10.9%	13.3%	14.5%	15.8%	16.9%	18.0%	18.9%	19.6%	20.1%	20.2%	20.1%	19.6%
Cloud Intelligence Group	8.4%	12.0%	11.9%	11.3%	11.8%	15.2%	16.9%	18.0%	18.6%	18.6%	18.5%	18.4%	18.3%	18.2%	18.0%
All others	32.6%	32.2%	33.7%	33.2%	33.1%	24.4%	23.3%	23.2%	23.1%	23.2%	23.1%	23.0%	22.7%	22.4%	22.2%
Unallocated	—	0.2%	0.1%	0.1%	0.2%	0.2%	0.2%	0.2%	0.2%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%
Inter-segment elimination	(9.8%)	(7.3%)	(7.2%)	(8.1%)	(10.3%)	(8.0%)	(6.7%)	(6.5%)	(6.3%)	(6.2%)	(6.0%)	(5.9%)	(5.8%)	(5.7%)	(5.6%)
Cost of Goods Sold	(58.7%)	(63.2%)	(63.3%)	(62.3%)	(60.0%)	(59.7%)	(60.2%)	(61.1%)	(60.7%)	(60.3%)	(60.4%)	(60.5%)	(60.6%)	(60.5%)	(60.5%)
Gross Profit	41.3%	36.8%	36.7%	37.7%	40.0%	40.3%	39.8%	38.9%	39.3%	39.7%	39.6%	39.5%	39.4%	39.5%	39.5%
Operating Expenses	(32.5%)	(31.9%)	(28.4%)	(28.5%)	(28.7%)	(36.9%)	(33.3%)	(33.0%)	(32.5%)	(32.2%)	(32.1%)	(31.8%)	(31.8%)	(31.9%)	(31.9%)
SG&A	(19.1%)	(17.8%)	(16.8%)	(16.7%)	(18.9%)	(25.7%)	(22.1%)	(21.4%)	(20.9%)	(20.7%)	(20.5%)	(20.3%)	(20.3%)	(20.3%)	(20.3%)
Sales and marketing expenses	(11.4%)	(14.0%)	(11.9%)	(12.2%)	(14.5%)	(21.5%)	(18.0%)	(17.0%)	(16.6%)	(16.4%)	(16.2%)	(16.0%)	(16.0%)	(16.0%)	(16.0%)
General and administrative	(7.7%)	(3.7%)	(4.9%)	(4.5%)	(4.4%)	(4.2%)	(4.1%)	(4.4%)	(4.3%)	(4.3%)	(4.3%)	(4.3%)	(4.3%)	(4.3%)	(4.3%)
Product development expenses	(8.0%)	(6.5%)	(6.5%)	(5.6%)	(5.7%)	(6.6%)	(6.1%)	(6.1%)	(6.0%)	(6.1%)	(6.2%)	(6.1%)	(6.1%)	(6.1%)	(6.1%)
Impairment of goodwill and intangible assets	—	(2.9%)	(0.3%)	(1.1%)	(0.6%)	(0.8%)	(0.8%)	(0.7%)	(0.8%)	(0.7%)	(0.8%)	(0.8%)	(0.8%)	(0.8%)	(0.8%)
Other gains, net	—	—	—	—	0.1%	0.0%	—	—	—	—	—	—	—	—	—
Depreciation & Amortization	(5.4%)	(4.6%)	(4.8%)	(5.1%)	(3.6%)	(3.8%)	(4.4%)	(4.7%)	(4.8%)	(4.7%)	(4.7%)	(4.6%)	(4.7%)	(4.7%)	(4.8%)
Depreciation	(3.7%)	(3.3%)	(3.2%)	(2.8%)	(2.9%)	(3.2%)	(3.8%)	(4.3%)	(4.4%)	(4.4%)	(4.4%)	(4.4%)	(4.4%)	(4.5%)	(4.6%)
Amortization	(1.7%)	(1.4%)	(1.6%)	(2.3%)	(0.6%)	(0.6%)	(0.5%)	(0.5%)	(0.4%)	(0.4%)	(0.3%)	(0.3%)	(0.2%)	(0.2%)	(0.2%)
EBITDA	17.9%	12.8%	16.3%	17.2%	17.7%	10.4%	14.7%	14.9%	16.0%	16.5%	16.5%	16.7%	16.6%	16.8%	16.9%
EBITA	14.2%	9.5%	13.1%	14.3%	14.8%	7.2%	10.9%	10.7%	11.6%	12.1%	12.2%	12.3%	12.2%	12.3%	12.4%
Operating Income (EBIT)	12.5%	8.2%	11.6%	12.0%	14.1%	6.6%	10.3%	10.2%	11.2%	11.8%	11.9%	12.0%	12.0%	12.1%	12.2%
Interest and investment income, net	10.1%	(1.8%)	(1.3%)	(1.1%)	2.1%	—	—	—	—	—	—	—	—	—	—
Interest expense	(0.6%)	(0.6%)	(0.7%)	(0.8%)	(1.0%)	(1.0%)	(0.9%)	(0.6%)	(0.5%)	(0.5%)	(0.5%)	(0.4%)	(0.4%)	(0.4%)	(0.4%)
Net Other Income (Expense)	1.1%	1.2%	0.7%	0.7%	0.3%	—	—	—	—	—	—	—	—	—	—
Pretax Income (EBT)	23.1%	7.0%	10.3%	10.8%	15.6%	5.6%	9.5%	9.6%	10.6%	11.3%	11.4%	11.6%	11.6%	11.7%	11.8%
Income Tax Expense	(4.1%)	(3.1%)	(1.8%)	(2.4%)	(3.6%)	(2.0%)	(2.3%)	(2.4%)	(2.7%)	(2.8%)	(2.9%)	(2.9%)	(2.9%)	(2.9%)	(2.9%)
Share of results of equity method investees	1.0%	1.7%	(0.9%)	(0.8%)	0.6%	—	—	—	—	—	—	—	—	—	—
Net Income	20.0%	5.5%	7.5%	7.6%	12.6%	3.6%	7.1%	7.2%	8.0%	8.5%	8.6%	8.7%	8.7%	8.8%	8.8%
Net loss attributable to noncontrolling interests	1.0%	1.8%	0.8%	0.9%	0.4%	(0.0%)	0.2%	0.7%	0.7%	0.5%	0.5%	0.4%	0.4%	0.5%	0.5%
Net Income attributable to Alibaba Group Holding Limited	21.0%	7.3%	8.4%	8.5%	13.1%	3.6%	7.3%	7.9%	8.7%	9.0%	9.1%	9.1%	9.1%	9.3%	9.4%
Accretion of mezzanine equity	(0.0%)	(0.0%)	(0.0%)	(0.0%)	(0.1%)	0.2%	(0.0%)	(0.0%)	(0.0%)	(0.0%)	(0.0%)	(0.0%)	(0.0%)	(0.0%)	(0.0%)
Net Income Attributable to Ordinary Shareholders	21.0%	7.3%	8.3%	8.5%	13.0%	3.8%	7.3%	7.9%	8.7%	9.0%	9.0%	9.1%	9.1%	9.3%	9.4%

Balance Sheet Vertical

RMB in millions, unless otherwise stated

	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Total Current Assets	38.1%	37.7%	39.8%	42.7%	37.4%	30.7%	29.0%	31.1%	35.8%	40.3%	44.6%	48.6%	52.4%	55.9%	59.1%
Cash and Cash Equivalents	19.0%	11.2%	11.0%	14.1%	8.1%	6.0%	4.9%	7.3%	11.8%	16.2%	20.8%	24.9%	28.8%	32.4%	35.9%
Short-term Investments	9.0%	15.1%	18.6%	14.9%	12.7%	12.0%	11.1%	10.2%	9.4%	8.7%	8.0%	7.3%	6.8%	6.3%	5.8%
Restricted Cash and Escrow Receivables	2.1%	2.2%	2.1%	2.2%	2.4%	1.1%	0.9%	1.3%	2.1%	2.8%	3.6%	4.3%	5.0%	5.6%	6.2%
Equity Securities and Other Investments	0.6%	0.5%	0.3%	3.4%	3.0%	2.4%	2.2%	2.1%	1.9%	1.8%	1.7%	1.6%	1.5%	1.4%	1.3%
Prepayments, Receivables and Other Assets	7.4%	8.6%	7.8%	8.1%	11.2%	9.3%	9.9%	10.2%	10.5%	10.9%	10.5%	10.5%	10.3%	10.1%	9.9%
Total Non-Current Assets	61.9%	62.3%	60.2%	57.3%	62.6%	69.3%	71.0%	68.9%	64.2%	59.7%	55.4%	51.4%	47.6%	44.1%	40.9%
Property and Equipment, net	8.7%	10.1%	10.0%	10.5%	11.3%	17.6%	22.8%	24.4%	23.2%	21.9%	20.6%	19.3%	18.0%	16.7%	15.3%
Goodwill	17.3%	15.9%	15.3%	14.7%	14.2%	13.2%	12.1%	10.9%	9.8%	8.7%	7.7%	6.8%	6.0%	5.3%	4.6%
Intangible Assets, net	4.2%	3.5%	2.7%	1.5%	1.2%	1.0%	0.9%	0.7%	0.6%	0.5%	0.5%	0.4%	0.4%	0.4%	0.4%
Equity Securities and Other Investments	14.0%	13.2%	14.0%	12.5%	19.8%	21.5%	20.1%	18.4%	17.0%	15.6%	14.4%	13.2%	12.2%	11.3%	10.5%
Prepayments, Receivables and Other Assets	5.8%	6.7%	6.3%	6.6%	4.6%	5.1%	5.0%	4.8%	4.7%	4.6%	4.4%	4.3%	4.2%	4.1%	4.1%
Investments in Equity Method Investees	11.8%	13.0%	11.8%	11.5%	11.6%	10.8%	10.2%	9.5%	8.9%	8.3%	7.8%	7.3%	6.8%	6.4%	6.0%
Total Assets	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
Total Current Liabilities	22.3%	22.6%	22.0%	23.9%	24.1%	23.4%	24.1%	25.1%	25.4%	25.4%	25.2%	24.9%	24.5%	23.9%	23.2%
Current Bank Borrowings	0.2%	0.5%	0.4%	0.7%	1.3%	1.4%	1.3%	1.2%	1.1%	1.0%	0.9%	0.8%	0.8%	0.7%	0.7%
Current Unsecured Senior Notes	0.6%	—	0.3%	0.9%	—	—	—	—	—	—	—	—	—	—	—
Income Tax Payable	1.5%	1.3%	0.7%	0.5%	0.6%	0.3%	0.3%	0.3%	0.2%	0.2%	0.2%	0.2%	0.2%	0.2%	0.1%
Escrow Money Payable	0.0%	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Accrued Expenses, Accounts Payable and Other Liabilities	15.4%	16.0%	15.7%	16.9%	18.4%	17.4%	18.1%	19.1%	19.5%	19.6%	19.4%	19.3%	19.0%	18.6%	18.1%
Merchant Deposits	0.9%	0.9%	0.8%	0.7%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Deferred Revenue and Customer Advances	3.7%	4.0%	4.1%	4.1%	3.8%	4.3%	4.4%	4.6%	4.6%	4.6%	4.7%	4.6%	4.5%	4.4%	4.3%
Total Current Liabilities	13.6%	13.5%	14.0%	13.1%	15.5%	17.2%	16.0%	14.7%	13.5%	12.4%	11.4%	10.5%	9.7%	9.0%	8.4%
Non-Current Bank Borrowings	2.3%	2.3%	3.0%	3.2%	2.8%	3.3%	3.1%	2.8%	2.6%	2.4%	2.2%	2.0%	1.9%	1.7%	1.6%
Non-Current Unsecured Senior Notes	5.8%	5.6%	5.5%	4.9%	6.8%	6.3%	5.9%	5.4%	5.0%	4.6%	4.2%	3.9%	3.6%	3.3%	3.1%
Non-Current Convertible Unsecured Senior Notes	—	—	—	—	2.0%	3.0%	2.8%	2.6%	2.4%	2.2%	2.0%	1.8%	1.7%	1.6%	1.5%
Deferred Tax Liabilities	3.5%	3.6%	3.5%	3.0%	2.7%	2.4%	2.3%	2.1%	1.9%	1.8%	1.6%	1.5%	1.4%	1.3%	1.2%
Deferred Revenue	0.2%	0.2%	0.2%	0.2%	0.3%	0.2%	0.2%	0.2%	0.2%	0.2%	0.2%	0.1%	0.1%	0.1%	0.1%
Other Liabilities	1.8%	1.9%	1.7%	1.8%	1.0%	1.1%	1.0%	1.0%	0.9%	0.8%	0.7%	0.7%	0.6%	0.6%	0.5%
Total Liabilities	35.9%	36.2%	35.9%	37.0%	39.6%	40.5%	40.0%	39.8%	38.9%	37.9%	36.7%	35.4%	34.2%	32.9%	31.6%
Total Mezzanine and Shareholders' Equity	64.1%	63.8%	64.1%	63.0%	60.4%	59.5%	60.0%	60.2%	61.1%	62.1%	63.3%	64.6%	65.8%	67.1%	68.4%
Mezzanine Equity	0.5%	0.6%	0.6%	0.6%	0.6%	0.5%	0.3%	0.3%	0.3%	0.2%	0.2%	0.2%	0.2%	0.2%	0.2%
Ordinary Shares	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Additional Paid-In Capital	23.3%	24.2%	23.8%	22.6%	21.1%	20.6%	19.9%	19.0%	18.3%	17.5%	16.9%	16.4%	15.9%	15.5%	15.2%
Treasury Shares at Cost	—	(0.1%)	(1.6%)	(1.6%)	(2.0%)	(1.9%)	(1.9%)	(1.8%)	(1.7%)	(1.6%)	(1.5%)	(1.4%)	(1.3%)	(1.2%)	(1.2%)
Subscription Receivables	(0.0%)	(0.0%)	(0.0%)	—	—	—	—	—	—	—	—	—	—	—	—
Statutory Reserves	0.4%	0.6%	0.7%	0.8%	0.9%	0.9%	0.9%	1.0%	1.0%	1.1%	1.1%	1.2%	1.2%	1.3%	1.3%
Accumulated Other Comprehensive Loss	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Cumulative Translation Adjustments	(1.1%)	(2.0%)	(0.6%)	0.2%	0.2%	—	—	—	—	—	—	—	—	—	—
Unrealized Losses on Interest Rate Swaps and Others	(0.0%)	0.0%	0.0%	(0.0%)	0.0%	—	—	—	—	—	—	—	—	—	—
Retained Earnings	32.8%	33.2%	34.2%	33.9%	35.8%	35.7%	37.4%	38.7%	40.4%	42.3%	44.1%	45.9%	47.5%	49.1%	50.6%
Noncontrolling Interests	8.1%	7.3%	7.0%	6.5%	3.8%	3.6%	3.3%	3.0%	2.8%	2.5%	2.4%	2.3%	2.2%	2.2%	2.3%
Total Liabilities, Mezzanine Equity and Shareholders' equity	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%

Cash Flow Statement Vertical

RMB in millions, unless otherwise stated

	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Cash Flow from Operating Activities (CFO)	2,210.2%	(110.6%)	9,260.6%	320.8%	(168.3%)	(242.5%)	(1,061.3%)	300.4%	168.0%	161.0%	151.7%	148.9%	145.4%	141.8%	138.0%
Net Income	1,366.3%	(36.5%)	3,040.0%	125.3%	(129.7%)	(70.9%)	(504.7%)	128.2%	80.9%	82.1%	75.2%	77.3%	75.4%	75.2%	73.6%
Adjustments to Reconcile Net Income to Net CFO	362.3%	(88.2%)	5,595.6%	219.6%	(63.3%)	(111.3%)	(419.7%)	117.1%	68.1%	64.1%	58.0%	58.5%	57.6%	57.1%	56.1%
Revaluation gain on previously held equity interest	(83.5%)	(0.0%)	—	—	0.6%	—	—	—	—	—	—	—	—	—	—
Loss on disposals of equity method investees	(6.1%)	(0.0%)	3.3%	0.0%	(0.0%)	—	—	—	—	—	—	—	—	—	—
Loss (Gain) related to equity securities and other investments	(552.4%)	(15.9%)	691.3%	41.3%	29.5%	(16.0%)	3.5%	(0.8%)	(0.4%)	(0.4%)	(0.3%)	(0.3%)	(0.3%)	(0.3%)	(0.2%)
Change in fair value of other assets and liabilities	2.4%	(1.1%)	(70.6%)	(1.2%)	(0.6%)	18.4%	32.8%	(7.8%)	(4.2%)	(3.9%)	(3.4%)	(3.4%)	(3.3%)	(3.3%)	(3.2%)
(Gain) Loss on disposals of subsidiaries	(3.7%)	0.9%	(0.6%)	(2.7%)	(22.1%)	—	—	—	—	—	—	—	—	—	—
Depreciation and impairment of property and equipment, and operating lease cost relating to land use rights	251.6%	(21.5%)	1,288.8%	46.8%	(30.1%)	(61.6%)	(271.9%)	76.2%	44.3%	42.3%	38.2%	38.8%	38.4%	38.3%	38.1%
Amortization of intangible assets and licensed copyrights	205.2%	(15.7%)	887.3%	31.4%	(13.6%)	(12.4%)	(38.2%)	8.3%	4.1%	3.4%	2.7%	2.4%	2.1%	1.9%	1.6%
Equity-settled share-based compensation expense	477.9%	(18.6%)	1,429.3%	32.6%	(14.4%)	—	—	—	—	—	—	—	—	—	—
Equity-settled donation expense	—	—	23.7%	—	—	—	—	—	—	—	—	—	—	—	—
Impairment of equity securities and other investments	71.3%	(6.9%)	617.8%	21.5%	(9.1%)	3.4%	21.8%	(0.1%)	(0.0%)	0.0%	0.1%	0.1%	0.2%	0.2%	0.3%
Impairment of goodwill, intangible assets and licensed copyrights	16.1%	(20.0%)	308.7%	39.7%	(7.0%)	N.a.	(54.4%)	12.8%	8.1%	7.1%	6.7%	6.7%	6.6%	6.5%	6.3%
Gain on disposals of property and equipment	0.7%	(0.1%)	(7.6%)	(0.2%)	0.8%	(15.0%)	—	—	—	—	—	—	—	—	—
Share of results of equity method investees	(66.6%)	11.1%	373.8%	13.6%	6.1%	(31.2%)	(113.1%)	28.5%	16.2%	15.5%	14.0%	14.2%	13.9%	13.7%	13.3%
Deferred income taxes	30.9%	1.1%	(79.6%)	(9.2%)	(0.4%)	—	—	—	—	—	—	—	—	—	—
Allowance for doubtful accounts	18.5%	(1.3%)	129.9%	6.2%	(3.1%)	—	—	—	—	—	—	—	—	—	—
Changes in Working Capital	481.6%	14.1%	625.0%	(24.2%)	24.7%	(60.2%)	(136.9%)	55.0%	19.0%	14.9%	18.6%	13.1%	12.4%	9.6%	8.4%
Prepayments, receivables and other assets, and long-term licensed copyrights	(415.9%)	25.2%	398.9%	(66.1%)	52.1%	(45.0%)	145.1%	(33.5%)	(19.6%)	(18.6%)	(7.9%)	(11.1%)	(9.7%)	(8.4%)	(6.6%)
Income tax payable	38.4%	2.7%	(427.2%)	(8.4%)	(2.0%)	11.4%	—	—	—	—	—	—	—	—	—
Accrued expenses, accounts payable and other liabilities	710.9%	(10.3%)	517.3%	47.7%	(26.6%)	(1.5%)	(225.6%)	73.9%	32.1%	27.5%	20.1%	19.7%	18.1%	14.6%	12.1%
Merchant deposits	13.1%	0.2%	(67.2%)	(1.0%)	12.8%	(0.0%)	(0.3%)	0.1%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Deferred revenue and customer activities	135.0%	(3.7%)	203.2%	3.6%	(11.6%)	(25.1%)	(56.2%)	14.6%	6.5%	5.9%	6.4%	4.4%	4.0%	3.4%	2.9%
Cash Flow from Investing Activities (CFI)	(2,328.5%)	153.8%	(6,282.2%)	(38.3%)	190.8%	431.0%	1,119.4%	(191.6%)	(63.3%)	(57.2%)	(49.0%)	(46.9%)	(44.3%)	(41.5%)	(38.5%)
(Increase) Decrease in short-term investments, net	(1,094.9%)	82.9%	(2,832.0%)	125.5%	(24.1%)	—	—	—	—	—	—	—	—	—	—
Increase in other treasury investments, net	—	—	(1,891.2%)	(113.1%)	129.7%	—	—	—	—	—	—	—	—	—	—
Settlement of forward exchange contracts, net	(7.7%)	0.3%	59.4%	1.2%	0.3%	6.4%	—	—	—	—	—	—	—	—	—
Acquisitions of equity securities and other investments, and other assets	(548.4%)	30.5%	(826.1%)	(26.8%)	10.6%	103.4%	—	—	—	—	—	—	—	—	—
Disposals of equity securities and other investments, and other assets	69.4%	(11.3%)	1,007.8%	38.6%	(18.7%)	—	—	—	—	—	—	—	—	—	—
Acquisitions of equity method investees	(177.9%)	7.3%	(211.0%)	(6.2%)	3.9%	—	—	—	—	—	—	—	—	—	—
Disposals of and distributions from equity method investees	24.2%	(0.7%)	46.4%	2.2%	(1.6%)	(6.2%)	18.5%	(4.2%)	(2.2%)	(2.0%)	(1.7%)	(1.6%)	(1.5%)	(1.4%)	(1.3%)
Disposals of intellectual property rights and assets	3.5%	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Acquisitions of Land use rights, property and equipment	(395.3%)	41.3%	(1,591.6%)	(56.4%)	88.5%	311.6%	1,060.4%	(178.2%)	(56.8%)	(52.0%)	(44.8%)	(43.0%)	(40.9%)	(38.4%)	(35.7%)
Acquisitions of Intangible Assets	(16.5%)	0.0%	(1.0%)	(1.5%)	—	18.5%	58.8%	(13.2%)	(6.8%)	(5.9%)	(5.0%)	(4.6%)	(4.3%)	(4.0%)	(3.7%)
Disposals of property and equipment	—	—	29.9%	0.7%	(2.5%)	—	—	—	—	—	—	—	—	—	—
Cash (paid) received for business combinations, net of cash acquired	(182.5%)	3.2%	(55.8%)	(3.9%)	(0.4%)	—	—	—	—	—	—	—	—	—	—
Deconsolidation and disposal of subsidiaries, net of cash proceeds	(1.2%)	0.0%	(0.2%)	1.2%	—	(2.7%)	(18.3%)	4.0%	2.5%	2.7%	2.4%	2.4%	2.3%	2.3%	2.3%
Loans to employees, net of repayments	(1.2%)	0.4%	(16.7%)	0.1%	(0.3%)	—	—	—	—	—	—	—	—	—	—
Cash Flow from Financing Activities (CFF)	286.9%	49.9%	(3,042.1%)	(190.2%)	78.4%	(88.5%)	41.9%	(8.8%)	(4.7%)	(3.8%)	(2.7%)	(1.9%)	(1.1%)	(0.3%)	0.4%
Issuance of ordinary shares	1.7%	(0.1%)	0.5%	1.5%	(0.0%)	—	—	—	—	—	—	—	—	—	—
Repurchase of ordinary shares	(7.4%)	47.4%	(3,465.3%)	(155.9%)	89.2%	—	—	—	—	—	—	—	—	—	—
Dividend distribution	—	—	—	(31.5%)	29.9%	—	—	—	—	—	—	—	—	—	—
Proceeds from convertible unsecured senior notes, net of debt issuance cost	—	—	—	—	(36.7%)	—	—	—	—	—	—	—	—	—	—
Payments for capped call transactions	—	—	—	—	4.7%	—	—	—	—	—	—	—	—	—	—
Acquisition of additional equity interests in non-wholly owned subsidiaries	(107.0%)	5.7%	(116.4%)	(10.2%)	22.6%	—	—	—	—	—	—	—	—	—	—
Dividends paid by non-wholly owned subsidiaries to noncontrolling interests	(4.5%)	0.7%	(22.7%)	(1.0%)	0.7%	5.6%	34.7%	(7.5%)	(4.0%)	(3.2%)	(2.2%)	(1.5%)	(0.7%)	0.1%	0.8%
Contingent consideration payments made after a business combination	—	—	(6.7%)	(0.1%)	0.2%	1.4%	7.2%	(1.3%)	(0.7%)	(0.6%)	(0.5%)	(0.5%)	(0.5%)	(0.4%)	(0.4%)
Capital injection from noncontrolling interests	105.1%	(9.5%)	42.6%	2.8%	(2.5%)	—	—	—	—	—	—	—	—	—	—
Proceeds from bank borrowings and other borrowings, net of upfront fee payment for a syndicated loan	61.0%	(7.3%)	1,056.6%	36.1%	(54.3%)	—	—	—	—	—	—	—	—	—	—
Repayment of bank borrowings	(67.3%)	5.5%	(530.7%)	(23.0%)	—	(32.6%)	—	—	—	—	—	—	—	—	—
Proceeds from unsecured senior notes, net of debt issuance cost	305.2%	—	—	—	(37.0%)	(66.4%)	—	—	—	—	—	—	—	—	—
Repayment of unsecured senior notes	—	7.4%	—	(8.8%)	16.7%	—	—	—	—	—	—	—	—	—	—
Net Cash Provided by/(Used for) Continuing Operations	168.5%	93.2%	(63.7%)	92.3%	101.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
Effect of Exchange Rate Changes on Cash and Cash Equivalents, Restricted Cash and Escrow Receivables	(68.5%)	6.8%	163.7%	7.7%	(1.0%)	—	—	—	—	—	—	—	—	—	—
Increase (Decrease) in cash and cash equivalents	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
Cash and Cash Equivalents at the Beginning of the Period	3,299.2%	(276.1%)	10,540.2%	403.3%	(294.8%)	(355.1%)	(812.7%)	159.9%	133.5%	204.6%	253.9%	332.4%	397.6%	463.0%	523.0%
Cash and Cash Equivalents at the End of the Period	3,399.2%	(176.1%)	10,640.2%	503.3%	(194.8%)	(255.1%)	(712.7%)	259.9%	233.5%	304.6%	353.9%	432.4%	497.6%	563.0%	623.0%

For educational use only – please refer to the disclaimer

Income Statement Analysis Horizontal

RMB in millions, unless otherwise stated

	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Total Revenue		18.9%	1.8%	8.3%	5.9%	4.2%	13.9%	12.3%	10.7%	9.3%	8.5%	7.6%	6.6%	5.6%	4.8%
Taobao and Tmall Group		6.8%	(2.4%)	6.7%	4.5%	7.7%	7.3%	7.1%	6.8%	6.7%	6.8%	6.8%	6.8%	6.7%	6.7%
Alibaba International Digital Commerce Group		27.3%	13.4%	45.5%	28.9%	14.1%	24.1%	20.0%	17.7%	15.1%	12.6%	9.9%	7.3%	4.7%	2.2%
Cloud Intelligence Group		68.5%	1.5%	2.8%	11.0%	33.8%	26.2%	20.0%	14.5%	9.0%	8.0%	7.0%	6.0%	5.0%	4.0%
All others		17.4%	6.8%	6.6%	5.5%	(23.3%)	8.7%	12.1%	10.3%	9.7%	8.1%	6.8%	5.4%	4.4%	3.6%
Unallocated		N.a.	(44.3%)	49.8%	48.3%	24.9%	—	—	—	—	—	—	—	—	—
Inter-segment elimination		(12.1%)	1.2%	21.7%	34.5%	(19.2%)	(4.8%)	9.0%	—	7.0%	6.0%	5.0%	4.0%	4.0%	4.0%
Cost of Goods Sold		28.1%	1.9%	6.7%	2.0%	3.6%	14.8%	14.1%	10.0%	8.7%	8.6%	7.8%	6.7%	5.5%	4.7%
Gross Profit		5.9%	1.7%	11.2%	12.2%	5.1%	12.6%	9.7%	12.0%	10.2%	8.3%	7.2%	6.4%	5.9%	4.9%
<i>Gross Margin</i>		(10.9%)	(0.1%)	2.7%	6.0%	0.8%	(1.2%)	(2.3%)	1.1%	0.8%	(0.1%)	(0.3%)	(0.2%)	0.2%	0.1%
Operating Expenses		16.7%	(9.3%)	8.8%	6.8%	33.6%	3.1%	11.1%	9.2%	8.4%	7.9%	6.6%	6.7%	5.7%	5.0%
SG&A		11.0%	(4.0%)	7.9%	19.8%	41.9%	(2.1%)	8.8%	8.2%	8.1%	7.3%	6.6%	6.8%	5.5%	4.7%
Sales and marketing expenses		47.0%	(13.6%)	11.3%	25.1%	55.2%	(4.8%)	6.1%	8.1%	8.0%	7.2%	6.2%	6.6%	5.6%	4.8%
General and administrative		(42.2%)	32.1%	(0.5%)	5.4%	(1.5%)	11.6%	20.6%	8.5%	8.6%	7.8%	7.9%	7.4%	5.2%	4.6%
Product development expenses		(3.1%)	2.3%	(7.9%)	9.4%	19.6%	5.3%	12.6%	9.2%	11.0%	9.8%	6.1%	6.6%	5.6%	5.1%
Impairment of goodwill and intangible assets		N.a.	(89.2%)	287.7%	(41.3%)	30.0%	13.5%	4.8%	23.3%	0.6%	11.9%	7.2%	6.2%	6.6%	3.7%
Other gains, net		N.a.	N.a.	N.a.	N.a.	(61.0%)	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.
Depreciation & Amortization		1.6%	4.7%	16.8%	(26.2%)	10.8%	31.6%	21.4%	11.6%	7.7%	7.5%	7.2%	6.9%	6.7%	6.3%
Depreciation		5.4%	(0.0%)	(4.2%)	9.8%	12.1%	38.7%	24.9%	13.2%	8.8%	8.4%	8.0%	7.7%	7.3%	6.9%
Amortization		(6.3%)	15.9%	59.9%	(70.7%)	4.8%	(3.6%)	(3.8%)	(4.0%)	(4.2%)	(4.5%)	(4.8%)	(5.1%)	(5.5%)	(5.9%)
EBITDA		(15.1%)	29.8%	14.1%	9.2%	(38.9%)	61.2%	14.2%	18.3%	12.8%	8.9%	8.5%	6.2%	6.8%	5.5%
<i>EBITDA Margin</i>		-28.6%	27.5%	5.3%	3.2%	-41.3%	41.5%	1.6%	6.9%	3.1%	0.4%	0.9%	-0.4%	1.1%	0.7%
EBITA		(20.4%)	40.1%	18.5%	9.1%	(49.0%)	71.0%	10.4%	20.4%	14.3%	9.1%	8.7%	5.7%	6.6%	5.0%
<i>EBITA Margin</i>		-33.1%	37.5%	9.4%	3.1%	-51.1%	50.1%	-1.8%	8.7%	4.5%	0.6%	1.1%	-0.8%	0.9%	0.2%
Operating Income (EBIT)		(22.3%)	44.1%	13.0%	24.3%	(51.4%)	78.3%	11.1%	21.5%	14.9%	9.5%	9.1%	5.9%	6.8%	5.2%
<i>Operating Margin</i>		-34.7%	41.5%	4.3%	17.4%	-53.4%	56.5%	-1.1%	9.7%	5.1%	1.0%	1.4%	-0.6%	1.1%	0.4%
Interest and investment Income, net		(121.6%)	(29.5%)	(10.0%)	(308.3%)	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.
Interest expense		9.7%	20.6%	34.3%	20.7%	4.5%	0.4%	(20.0%)	—	—	—	—	—	—	—
Net Other Income (Expense)		38.8%	(44.7%)	5.7%	(45.0%)	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.
Pretax Income (EBT)		(64.0%)	49.8%	13.9%	53.0%	(62.4%)	91.6%	13.9%	22.9%	15.7%	10.0%	9.4%	6.1%	7.1%	5.4%
Income Tax Expense		(8.4%)	(42.0%)	44.9%	57.3%	(41.9%)	33.5%	15.9%	22.9%	15.7%	10.0%	9.4%	6.1%	7.1%	5.4%
Share of results of equity method investees		105.4%	(156.2%)	(4.1%)	(177.1%)	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.
Net Income		(67.1%)	39.3%	8.8%	76.6%	(70.0%)	123.3%	13.2%	22.9%	15.7%	10.0%	9.4%	6.1%	7.1%	5.4%
<i>Net Income Margin</i>		(72.4%)	36.8%	0.4%	66.8%	(71.2%)	96.0%	0.8%	10.9%	5.8%	1.4%	1.7%	(0.4%)	1.4%	0.6%
Net loss attributable to noncontrolling interests		108.0%	(52.5%)	20.3%	(52.4%)	(109.3%)	(574.1%)	427.6%	4.4%	(15.7%)	(0.4%)	(6.3%)	6.8%	22.0%	15.0%
Net Income attributable to Alibaba Group Holding Limited		(58.7%)	16.9%	9.9%	62.6%	(71.2%)	130.5%	22.0%	21.2%	13.2%	9.3%	8.6%	6.2%	7.8%	5.9%
Accretion of mezzanine equity		7.4%	(5.5%)	(2.2%)	138.4%	(472.5%)	(103.1%)	150.9%	0.8%	0.2%	(14.1%)	3.8%	17.4%	6.8%	7.8%
Net Income Attributable to Ordinary Shareholders		(58.8%)	17.0%	10.0%	62.4%	(69.3%)	116.5%	21.9%	21.2%	13.2%	9.4%	8.6%	6.2%	7.8%	5.9%
EPS attributable to ordinary shareholders															
Basic		(58.7%)	20.6%	14.2%	74.4%	(69.2%)	116.3%	21.7%	20.9%	13.0%	9.1%	8.3%	5.8%	7.4%	5.5%
Diluted		(58.5%)	20.8%	14.0%	71.4%	(69.2%)	115.8%	21.8%	21.0%	13.0%	9.1%	8.3%	5.8%	7.4%	5.5%

Balance Sheet Horizontal

RMB in millions, unless otherwise stated

	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Total Current Assets		(0.7%)	9.3%	7.9%	(10.5%)	(12.8%)	1.3%	16.7%	25.0%	22.6%	20.1%	18.4%	16.7%	15.2%	13.9%
Cash and Cash Equivalents		(40.9%)	1.7%	28.5%	(41.4%)	(20.6%)	(12.7%)	62.6%	75.2%	49.0%	39.4%	30.1%	25.2%	21.6%	19.1%
Short-term Investments		68.3%	27.3%	(19.5%)	(13.0%)	—	—	—	—	—	—	—	—	—	—
Restricted Cash and Escrow Receivables		6.4%	(2.8%)	5.1%	14.3%	(54.1%)	(12.7%)	62.6%	75.2%	49.0%	39.4%	30.1%	25.2%	21.6%	19.1%
Equity Securities and Other Investments		(11.6%)	(43.6%)	1,125.4%	(10.3%)	(15.8%)	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%
Prepayments, Receivables and Other Assets		17.1%	(6.1%)	4.7%	40.9%	(11.9%)	13.6%	12.3%	12.5%	12.0%	5.5%	7.8%	6.9%	6.0%	4.8%
Total Non-Current Assets		1.0%	(0.2%)	(4.1%)	11.7%	17.1%	10.2%	5.4%	1.3%	1.2%	0.9%	0.6%	0.4%	0.1%	(0.3%)
Property and Equipment, net		16.5%	2.5%	5.2%	9.8%	65.6%	39.2%	16.2%	3.3%	2.9%	2.3%	1.5%	0.9%	0.0%	(1.0%)
Goodwill		(7.9%)	(0.6%)	(3.1%)	(1.6%)	(1.2%)	(1.6%)	(1.8%)	(2.8%)	(2.9%)	(3.6%)	(4.1%)	(4.7%)	(5.5%)	(6.1%)
Intangible Assets, net		(16.4%)	(20.8%)	(42.6%)	(22.4%)	(8.6%)	(8.1%)	(7.5%)	(6.6%)	(5.4%)	(4.0%)	(2.3%)	(0.4%)	1.6%	3.6%
Equity Securities and Other Investments		(5.7%)	9.9%	(10.1%)	61.5%	15.5%	—	—	—	—	—	—	—	—	—
Prepayments, Receivables and Other Assets		14.9%	(2.0%)	4.7%	(28.1%)	16.2%	5.7%	5.7%	5.7%	5.7%	5.7%	5.7%	5.7%	5.7%	5.7%
Investments in Equity Method Investees		9.7%	(5.6%)	(2.0%)	3.5%	(1.6%)	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%
Total Assets		0.3%	3.4%	0.7%	2.2%	6.0%	7.4%	8.7%	8.6%	8.8%	8.7%	8.5%	8.3%	8.0%	7.6%
Total Current Liabilities		1.7%	0.4%	9.4%	3.3%	2.7%	10.6%	13.4%	10.0%	9.0%	7.8%	7.0%	6.6%	5.4%	4.6%
Current Bank Borrowings		145.2%	(15.6%)	70.8%	77.0%	16.5%	—	—	—	—	—	—	—	—	—
Current Unsecured Senior Notes		(100.0%)	N.a.	238.6%	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.
Income Tax Payable		(13.9%)	(42.3%)	(27.7%)	28.3%	(52.0%)	—	—	—	—	—	—	—	—	—
Escrow Money Payable		(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.
Accrued Expenses, Accounts Payable and Other Liabilities		4.0%	1.7%	7.9%	11.6%	0.2%	11.3%	14.9%	10.9%	9.6%	7.7%	7.5%	7.0%	5.6%	4.7%
Merchant Deposits		(1.8%)	(9.8%)	(4.2%)	(97.8%)	3.6%	14.8%	14.1%	10.0%	8.7%	8.6%	7.8%	6.7%	5.5%	4.7%
Deferred Revenue and Customer Advances		7.2%	6.4%	2.1%	(6.2%)	19.6%	11.5%	11.9%	9.2%	8.8%	10.4%	7.0%	6.4%	5.5%	4.9%
Total Current Liabilities		0.2%	6.6%	(5.7%)	20.8%	17.6%	—	—	—	—	—	—	—	—	—
Non-Current Bank Borrowings		(0.2%)	36.0%	7.0%	(10.4%)	27.4%	—	—	—	—	—	—	—	—	—
Non-Current Unsecured Senior Notes		(3.2%)	3.0%	(11.3%)	42.2%	(1.5%)	—	—	—	—	—	—	—	—	—
Non-Current Convertible Unsecured Senior Notes		N.a.	N.a.	N.a.	N.a.	60.4%	—	—	—	—	—	—	—	—	—
Non-Current Exchangeable bonds		N.a.	N.a.	N.a.	N.a.	N.a.	—	—	—	—	—	—	—	—	—
Deferred Tax Liabilities		3.5%	0.1%	(14.1%)	(8.6%)	(3.4%)	—	—	—	—	—	—	—	—	—
Deferred Revenue		10.5%	2.0%	14.3%	11.5%	(0.9%)	—	—	—	—	—	—	—	—	—
Other Liabilities		3.7%	(4.7%)	4.9%	(44.6%)	21.0%	—	—	—	—	—	—	—	—	—
Total Liabilities		1.1%	2.7%	3.5%	9.5%	8.6%	6.1%	8.0%	6.3%	5.9%	5.3%	4.9%	4.6%	3.8%	3.3%
Total Mezzanine and Shareholders' Equity		(0.1%)	3.8%	(0.9%)	(2.0%)	4.3%	8.4%	9.2%	10.2%	10.7%	10.7%	10.7%	10.3%	10.1%	9.8%
Mezzanine Equity		11.3%	2.1%	8.8%	9.2%	(15.6%)	(36.8%)	(1.1%)	(0.8%)	0.2%	1.9%	3.8%	5.9%	7.9%	9.7%
Ordinary Shares		—	—	—	—	—	—	—	—	—	—	—	—	—	—
Additional Paid-In Capital		4.1%	1.6%	(4.5%)	(4.2%)	3.3%	3.7%	4.0%	4.3%	4.6%	4.8%	5.0%	5.1%	5.2%	5.3%
Treasury Shares at Cost		N.a.	1,195.0%	(3.8%)	31.2%	2.0%	3.2%	2.5%	2.8%	2.5%	2.5%	2.4%	2.4%	2.3%	2.3%
Subscription Receivables		(2.1%)	6.5%	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.
Statutory Reserves		33.9%	31.9%	13.5%	8.2%	6.7%	14.8%	12.8%	13.7%	14.9%	14.0%	12.9%	12.3%	11.9%	11.2%
Accumulated Other Comprehensive Loss		—	—	—	—	—	—	—	—	—	—	—	—	—	—
Cumulative Translation Adjustments		75.3%	(68.4%)	(134.7%)	(9.6%)	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.
Unrealized Losses on Interest Rate Swaps and Others		(120.3%)	118.5%	(162.7%)	(389.2%)	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.
Retained Earnings		1.6%	6.3%	(0.2%)	8.0%	5.9%	12.4%	12.5%	13.6%	13.9%	13.4%	12.9%	12.1%	11.6%	10.9%
Noncontrolling Interests		(9.8%)	(0.5%)	(6.5%)	(40.6%)	1.7%	(1.8%)	(1.1%)	(0.8%)	0.2%	1.9%	3.8%	5.9%	7.9%	9.7%
Total Liabilities, Mezzanine Equity and Shareholders' equity		0.3%	3.4%	0.7%	2.2%	6.0%	7.4%	8.7%	8.6%	8.8%	8.7%	8.5%	8.3%	8.0%	7.6%

Cash Flow Statement Horizontal

RMB in millions, unless otherwise stated

	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Cash Flow from Operating Activities (CFO)	(38.4%)	39.9%	(8.6%)	(10.5%)	(21.0%)	37.4%	26.2%	8.9%	9.4%	13.0%	4.5%	6.2%	4.8%	4.8%	
Net Income	(67.1%)	39.3%	8.8%	76.6%	(70.0%)	123.3%	13.2%	22.9%	15.7%	10.0%	9.4%	6.1%	7.1%	5.4%	
Adjustments to Reconcile Net Income to Net CFO	199.6%	6.0%	3.6%	(50.8%)	(3.6%)	18.4%	24.4%	13.1%	7.5%	8.5%	7.5%	7.0%	6.6%	5.8%	
Revaluation gain on previously held equity interest	(100.0%)	(100.0%)	N.a.	N.a.	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Loss on disposals of equity method investees	(105.0%)	125.0%	(86.1%)	170.0%	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Loss (Gain) related to equity securities and other investments	(135.4%)	(27.2%)	57.5%	(222.0%)	(129.7%)	(106.8%)	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	
Change in fair value of other assets and liabilities	491.2%	(203.0%)	(53.5%)	(183.3%)	(1,758.6%)	(44.0%)	5.7%	5.7%	5.7%	5.7%	5.7%	5.7%	5.7%	5.7%	
(Gain) Loss on disposals of subsidiaries	203.7%	(98.8%)	10,971.4%	(1,487.7%)	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Depreciation and impairment of property and equipment, and operating lease cost relating to land use rights	5.4%	(0.0%)	(4.2%)	9.8%	12.1%	38.7%	24.9%	13.2%	8.8%	8.4%	8.0%	7.7%	7.3%	6.9%	
Amortization of intangible assets and licensed copyrights	(5.9%)	(5.5%)	(6.7%)	(26.1%)	(49.8%)	(3.6%)	(3.8%)	(4.0%)	(4.2%)	(4.5%)	(4.8%)	(5.1%)	(5.5%)	(5.9%)	
Equity-settled share-based compensation expense	(52.2%)	28.6%	(39.8%)	(24.7%)	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Equity-settled donation expense	N.a.	N.a.	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Impairment of equity securities and other investments	19.3%	49.4%	(8.1%)	(28.1%)	(120.8%)	99.0%	(98.2%)	(24.3%)	(122.8%)	904.2%	105.9%	61.0%	41.1%	31.7%	
Impairment of goodwill, intangible assets and licensed copyrights	1,433.5%	(74.3%)	239.6%	(69.9%)	N.a.	N.a.	4.8%	23.3%	0.6%	11.9%	7.2%	6.2%	6.6%	3.7%	
Gain on disposals of property and equipment	76.0%	(223.5%)	(34.4%)	632.7%	(1,123.0%)	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Share of results of equity method investees	105.4%	(156.2%)	(4.1%)	(177.1%)	(378.4%)	13.9%	12.3%	10.7%	9.3%	8.5%	7.6%	6.6%	5.6%	4.8%	
Deferred income taxes	(142.3%)	25.4%	206.5%	(107.1%)	(541.7%)	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Allowance for doubtful accounts	(10.1%)	61.1%	25.2%	(14.0%)	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Changes in Working Capital	(135.9%)	(174.3%)	(202.0%)	74.5%	(233.8%)	(28.7%)	79.1%	(32.8%)	(10.7%)	49.7%	(25.0%)	3.3%	(17.2%)	(5.5%)	
Prepayments, receivables and other assets, and long-term licensed copyrights	(25.5%)	(126.5%)	(537.2%)	34.5%	(147.4%)	(201.3%)	2.9%	13.6%	8.3%	(49.1%)	49.7%	(4.6%)	(7.1%)	(15.2%)	
Income tax payable	(187.6%)	161.3%	(48.3%)	(141.3%)	(407.4%)	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Accrued expenses, accounts payable and other liabilities	(82.1%)	(16.3%)	143.1%	(4.6%)	(96.9%)	4,557.6%	46.0%	(15.6%)	(2.3%)	(12.4%)	4.6%	0.2%	(13.7%)	(11.0%)	
Merchant deposits	(119.6%)	437.0%	(61.4%)	2,125.5%	(100.1%)	324.3%	8.9%	(19.2%)	(3.5%)	6.8%	(1.3%)	(7.4%)	(13.2%)	(8.7%)	
Deferred revenue and customer activities	(66.0%)	(9.0%)	(52.8%)	442.2%	19.1%	(29.7%)	15.5%	(13.4%)	4.8%	28.4%	(26.0%)	(2.6%)	(8.8%)	(5.9%)	
Cash Flow from Investing Activities (CFI)	(18.7%)	(31.8%)	(83.9%)	749.6%	23.9%	(18.5%)	(23.7%)	(35.7%)	3.2%	2.8%	1.9%	2.6%	0.6%	(0.1%)	
(Increase) Decrease in short-term investments, net	(6.8%)	(42.9%)	(216.9%)	(67.2%)	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Increase in other treasury investments, net	N.a.	N.a.	57.8%	95.7%	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Settlement of forward exchange contracts, net	(44.2%)	(386.2%)	(48.7%)	(150.9%)	912.8%	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Acquisitions of equity securities and other investments, and other assets	(31.5%)	(54.8%)	(14.5%)	(32.1%)	433.1%	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Disposals of equity securities and other investments, and other assets	99.8%	49.5%	1.0%	(17.1%)	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Acquisitions of equity method investees	(49.7%)	(51.5%)	(22.6%)	8.4%	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Disposals of and distributions from equity method investees	(63.1%)	6.9%	26.4%	20.2%	117.6%	(193.8%)	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	
Disposals of intellectual property rights and assets	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Acquisitions of Land use rights, property and equipment	28.6%	(35.6%)	(6.5%)	167.9%	93.2%	6.8%	(25.1%)	(37.9%)	4.4%	3.4%	2.3%	3.2%	1.1%	0.1%	
Acquisitions of Intangible Assets	(99.1%)	46.7%	3,727.3%	(100.0%)	N.a.	—	—	—	—	—	—	—	—	—	
Disposals of property and equipment	N.a.	N.a.	(42.1%)	550.9%	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Cash (paid) received for business combinations, net of cash acquired	(78.6%)	(70.5%)	83.1%	(116.0%)	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Deconsolidation and disposal of subsidiaries, net of cash proceeds	(91.3%)	(54.5%)	(14,080.0%)	(826.3%)	(128.3%)	113.0%	(1.9%)	18.9%	22.8%	8.3%	4.7%	7.2%	8.8%	5.1%	
Loans to employees, net of repayments	253.5%	(21.1%)	(121.9%)	234.2%	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Cash Flow from Financing Activities (CFF)	(314.2%)	1.8%	65.0%	(29.6%)	(161.9%)	(114.9%)	(6.0%)	3.5%	(7.6%)	(14.9%)	(23.2%)	(37.4%)	(68.1%)	(239.0%)	
Issuance of ordinary shares	(37.7%)	(89.9%)	7,563.6%	(98.8%)	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Repurchase of ordinary shares	7,820.4%	22.1%	18.7%	(2.3%)	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Dividend distribution	N.a.	N.a.	N.a.	62.0%	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Proceeds from convertible unsecured senior notes, net of debt issuance cost	N.a.	N.a.	N.a.	N.a.	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Payments for capped call transactions	N.a.	N.a.	N.a.	N.a.	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Acquisition of additional equity interests in non-wholly owned subsidiaries	(34.0%)	(66.1%)	131.8%	277.1%	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Dividends paid by non-wholly owned subsidiaries to noncontrolling interests	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Contingent consideration payments made after a business combination	87.0%	(44.5%)	11.7%	21.6%	348.9%	95.0%	(3.2%)	2.0%	(8.0%)	(18.4%)	(28.5%)	(50.2%)	(114.2%)	904.0%	
Capital injection from noncontrolling interests	N.a.	N.a.	(50.7%)	177.5%	271.1%	63.9%	(19.5%)	12.1%	(5.4%)	2.9%	(1.4%)	0.7%	(0.3%)	0.2%	
Proceeds from bank borrowings and other borrowings, net of upfront fee	11.1%	(92.5%)	71.8%	52.3%	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
payment for a syndicated loan	47.3%	141.8%	(9.7%)	156.6%	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Repayment of bank borrowings	0.9%	60.6%	14.4%	233.6%	(139.8%)	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Proceeds from unsecured senior notes, net of debt issuance cost	(100.0%)	N.a.	N.a.	N.a.	(1.6%)	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Repayment of unsecured senior notes	N.a.	(100.0%)	N.a.	223.6%	(88.3%)	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Net Cash Provided by/(Used for) Continuing Operations	(780.6%)	(98.9%)	(3,925.6%)	(286.8%)	(45.7%)	(68.6%)	(545.7%)	94.6%	14.1%	20.0%	6.5%	8.7%	7.5%	7.7%	
Effect of Exchange Rate Changes on Cash and Cash Equivalents, Restricted Cash and Escrow Receivables	22.9%	(140.0%)	24.3%	(78.0%)	(100.0%)	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	N.a.	
Increase (Decrease) in cash and cash equivalents	(1,331.2%)	(101.7%)	2,538.6%	(270.7%)	(45.1%)	(68.6%)	(545.7%)	94.6%	14.1%	20.0%	6.5%	8.7%	7.5%	7.7%	
Cash and Cash Equivalents at the Beginning of the Period	3.0%	(36.2%)	0.9%	24.8%	(33.9%)	(28.2%)	(12.3%)	62.5%	74.9%	48.9%	39.4%	30.1%	25.2%	21.6%	
Cash and Cash Equivalents at the End of the Period	(36.2%)	0.9%	24.8%	(33.9%)	(28.2%)	(12.3%)	62.5%	74.9%	48.9%	39.4%	30.1%	25.2%	21.6%	19.1%	

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Appendix 6: Financial Ratios

Activity & Efficiency Ratios

	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
DSO - Days Sales Outstanding	63.46	57.91	59.47	54.41	63.32	66.86	58.74	59.06	59.95	61.55	61.59	61.06	61.48	61.93	62.27
DPO - Days Payable Outstanding	226.11	180.11	181.74	178.61	192.30	196.03	180.62	179.23	183.79	186.32	186.37	185.98	186.86	188.31	189.11
CCC - Cash Conversion Cycle	(162.65)	(122.20)	(122.27)	(124.20)	(128.98)	(129.16)	(121.88)	(120.17)	(123.83)	(124.77)	(124.78)	(124.91)	(125.39)	(126.38)	(126.84)
AT - Asset Turnover	0.42	0.50	0.50	0.54	0.56	0.56	0.60	0.62	0.63	0.63	0.63	0.63	0.62	0.60	0.59
ART - Accounts Receivable Turnover	5.75	6.30	6.14	6.71	5.76	5.46	6.21	6.18	6.09	5.93	5.93	5.98	5.94	5.89	5.86
APT - Accounts Payable Turnover	1.61	2.03	2.01	2.04	1.90	1.86	2.02	2.04	1.99	1.96	1.96	1.96	1.95	1.94	1.93
Capital Turnover	0.66	0.79	0.79	0.84	0.90	0.93	1.00	1.03	1.04	1.03	1.01	0.98	0.95	0.91	0.86
WC Turnover	2.70	3.28	3.06	2.92	3.50	5.47	9.79	11.28	7.61	4.98	3.68	2.90	2.38	2.01	1.72
OER - Operating Expense Ratio	0.32	0.32	0.28	0.28	0.29	0.37	0.33	0.33	0.33	0.32	0.32	0.32	0.32	0.32	0.32
Retention Ratio	1.00	1.00	1.00	0.77	0.78	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
OR - Operating Ratio	0.91	0.95	0.92	0.91	0.89	0.97	0.94	0.94	0.93	0.93	0.92	0.92	0.92	0.92	0.92

Solvency Ratios

	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Debt-Equity Ratio	0.14	0.13	0.14	0.15	0.21	0.25	0.23	0.21	0.19	0.17	0.15	0.14	0.13	0.12	0.11
Debt-Capital Ratio	0.12	0.12	0.13	0.13	0.17	0.20	0.19	0.17	0.16	0.15	0.13	0.12	0.11	0.10	0.10
Debt-Assets Ratio	0.09	0.08	0.09	0.10	0.13	0.15	0.14	0.13	0.12	0.11	0.10	0.09	0.08	0.08	0.07
ICR - Interest Coverage Ratio	20.04	14.19	16.96	14.26	14.68	6.83	12.12	16.83	20.45	23.51	25.75	28.08	29.74	31.77	33.42
DOL - Degree of Operating Leverage	(0.55)	(1.18)	24.08	1.55	4.15	(12.23)	5.62	0.90	2.00	1.60	1.12	1.20	0.90	1.21	1.09
DFL - Degree of Financial Leverage	1.05	1.08	1.06	1.08	1.07	1.17	1.09	1.06	1.05	1.04	1.04	1.04	1.03	1.03	1.03
Financial Leverage Ratio (Assets-Equity)	1.56	1.56	1.56	1.57	1.62	1.67	1.67	1.66	1.65	1.62	1.59	1.56	1.53	1.50	1.48
Net Leverage (Debt excl.cash-EBITDA)	(1.34)	(0.45)	(0.22)	(0.48)	0.48	1.54	1.04	0.59	(0.02)	(0.55)	(1.09)	(1.58)	(2.07)	(2.53)	(3.00)
Total Leverage (Debt-EBITDA)	1.16	1.30	1.14	1.06	1.31	2.61	1.62	1.42	1.20	1.06	0.98	0.90	0.85	0.79	0.75

Liquidity Ratios

	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Current Ratio	1.70	1.66	1.81	1.79	1.55	1.31	1.20	1.24	1.41	1.59	1.77	1.95	2.14	2.34	2.55
Quick Ratio	1.59	1.54	1.70	1.55	1.32	1.17	1.08	1.11	1.25	1.40	1.56	1.72	1.87	2.04	2.22
Cash (Absolute Liquidity) Ratio	0.85	0.49	0.50	0.59	0.33	0.26	0.20	0.29	0.47	0.64	0.82	1.00	1.18	1.36	1.54
Operating Cash Flow Ratio	0.61	0.37	0.52	0.43	0.38	0.29	0.36	0.40	0.40	0.40	0.42	0.41	0.40	0.40	0.40
NWC Ratio	(0.03)	0.04	0.07	0.05	0.05	0.01	0.00	(0.01)	(0.01)	(0.01)	(0.01)	(0.01)	(0.01)	(0.00)	0.00
Dynamic Gearing (Years)	2.62	4.30	3.15	3.57	4.37	6.00	4.63	3.97	3.87	3.75	3.49	3.50	3.45	3.42	3.37
Proprietary Ratio (Equity-Assets)	0.64	0.64	0.64	0.64	0.62	0.60	0.60	0.60	0.61	0.62	0.63	0.64	0.65	0.66	0.68
DIR - Defensive Interval Ratio	699.24	451.10	488.99	533.15	443.05	280.13	280.61	326.04	414.19	502.57	586.05	674.02	756.27	840.32	926.02

Profitability Ratios

	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Gross Margin	41.3%	36.8%	36.7%	37.7%	40.0%	40.3%	39.8%	38.9%	39.3%	39.7%	39.6%	39.5%	39.4%	39.5%	39.5%
EBITDA Margin	17.9%	12.8%	16.3%	17.2%	17.7%	10.4%	14.7%	14.9%	16.0%	16.5%	16.5%	16.7%	16.6%	16.8%	16.9%
EBITA Margin	14.2%	9.5%	13.1%	14.3%	14.8%	7.2%	10.9%	10.7%	11.6%	12.1%	12.2%	12.3%	12.2%	12.3%	12.4%
EBIT Margin	12.5%	8.2%	11.6%	12.0%	14.1%	6.6%	10.3%	10.2%	11.2%	11.8%	11.9%	12.0%	12.0%	12.1%	12.2%
EBT Margin	23.1%	7.0%	10.3%	10.8%	15.6%	5.6%	9.5%	9.6%	10.6%	11.3%	11.4%	11.6%	11.6%	11.7%	11.8%
Net Income Margin	20.0%	5.5%	7.5%	7.6%	12.6%	3.6%	7.1%	7.2%	8.0%	8.5%	8.6%	8.7%	8.7%	8.8%	8.8%
ROIC	13.6%	4.3%	6.1%	7.4%	9.9%	3.4%	5.9%	6.5%	8.0%	9.1%	9.9%	10.8%	11.3%	12.0%	12.6%
ROA	8.5%	2.8%	3.7%	4.0%	7.0%	2.0%	4.1%	4.3%	4.8%	5.1%	5.2%	5.3%	5.1%	5.1%	5.0%
ROE	13.2%	4.4%	5.8%	6.4%	11.6%	3.3%	6.9%	7.1%	7.9%	8.3%	8.2%	8.1%	7.8%	7.6%	7.3%
ROD	96.1%	33.3%	40.6%	41.8%	54.6%	13.4%	30.0%	34.0%	41.7%	48.3%	53.1%	58.1%	61.6%	66.0%	69.5%
ROCE	6.1%	4.8%	6.7%	7.4%	9.2%	4.3%	7.1%	7.1%	7.8%	8.2%	8.2%	8.1%	7.9%	7.7%	7.5%

Altman Z Score

	Coefficient	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Constant term	3.25	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
X1 (Working Capital / Total Assets)	6.56	0.16	0.15	0.18	0.19	0.13	0.07	0.05	0.06	0.10	0.15	0.19	0.24	0.28	0.32	0.36
X2 (Retained Earnings / Total Assets)	3.26	0.33	0.33	0.34	0.34	0.36	0.36	0.37	0.39	0.40	0.42	0.44	0.46	0.48	0.49	0.51
X3 (EBIT / Total Assets)	6.72	0.05	0.04	0.06	0.06	0.08	0.04	0.06	0.06	0.07	0.07	0.07	0.07	0.07	0.07	0.07
X4 (Book Value of Equity / Total Liabilities)	1.05	1.88	1.85	1.87	1.79	1.60	1.54	1.57	1.59	1.65	1.72	1.81	1.91	2.02	2.14	2.27
Altman Z'-score		7.68	7.54	7.88	7.90	7.49	6.75	6.84	6.98	7.44	7.90	8.35	8.80	9.22	9.67	10.10
Altman Z'-score zone		Safe	Safe	Safe	Safe	Safe	Safe	Safe	Safe	Safe	Safe	Safe	Safe	Safe	Safe	Safe
X1 (Working Capital / Total Assets)	1.20	0.16	0.15	0.18	0.19	0.13	0.07	0.05	0.06	0.10	0.15	0.19	0.24	0.28	0.32	0.36
X2 (Retained Earnings / Total Assets)	1.40	0.33	0.33	0.34	0.34	0.36	0.36	0.37	0.39	0.40	0.42	0.44	0.46	0.48	0.49	0.51
X3 (EBIT / Total Assets)	3.30	0.05	0.04	0.06	0.06	0.08	0.04	0.06	0.06	0.07	0.07	0.07	0.07	0.07	0.07	0.07
X4 (Book Value of Equity / Total Liabilities)	0.60	1.88	1.85	1.87	1.79	1.60	1.54	1.57	1.59	1.65	1.72	1.81	1.91	2.02	2.14	2.27
X5 (Sales/Total Assets)	1.00	0.42	0.50	0.50	0.53	0.55	0.54	0.58	0.59	0.61	0.61	0.61	0.60	0.59	0.58	0.56
Altman Z-score		2.37	2.40	2.50	2.52	2.43	2.17	2.30	2.36	2.51	2.65	2.78	2.92	3.04	3.17	3.29
Altman Z-score zone		Grey	Grey	Grey	Grey	Grey	Grey	Grey	Grey	Grey	Grey	Grey	Grey	Safe	Safe	Safe

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Appendix 7: Key Forecast Items

Revenue Forecast															
Taobao and Tmall Group															
RMB in millions, unless otherwise stated															
	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Taobao and Tmall Group Revenue	444,611	474,820	463,455	494,695	516,903	556,862	597,537	639,938	683,478	729,473	779,342	832,191	888,427	948,162	1,011,898
y-o-y growth		6.8%	(2.4%)	6.7%	4.5%	7.7%	7.3%	7.1%	6.8%	6.7%	6.8%	6.8%	6.8%	6.7%	6.7%
Customer Management Revenue	304,543	316,029	291,541	304,009	322,346	345,176	369,974	396,928	424,148	453,870	486,108	521,096	559,099	600,402	645,322
y-o-y growth		3.8%	(7.7%)	4.3%	6.0%	7.1%	7.2%	7.3%	6.9%	7.0%	7.1%	7.2%	7.3%	7.4%	7.5%
Take rate	3.9%	3.9%	3.8%	3.9%	4.0%	4.1%	4.1%	4.2%	4.3%	4.3%	4.3%	4.4%	4.4%	4.4%	4.4%
y-o-y growth		—	(2.0%)	4.1%	2.0%	1.5%	1.5%	1.5%	1.0%	1.0%	0.9%	0.8%	0.7%	0.6%	0.5%
Online GMV (RMB billion)	7,865	8,162	7,684	7,697	8,005	8,445	8,918	9,426	9,973	10,572	11,227	11,945	12,734	13,600	14,552
y-o-y growth		3.8%	(5.9%)	0.2%	4.0%	5.5%	5.6%	5.7%	5.8%	6.0%	6.2%	6.4%	6.6%	6.8%	7.0%
					Bull	5.5%	5.6%	5.2%	6.3%	6.5%	6.7%	6.9%	7.1%	7.3%	7.5%
					Base	5.5%	5.6%	5.7%	5.8%	6.0%	6.2%	6.4%	6.6%	6.8%	7.0%
					Bear	4.5%	4.6%	4.7%	4.8%	5.0%	5.2%	5.4%	5.6%	5.8%	6.0%
Taobao GMV (RMB billion)	3,934	4,082	3,897	3,795	4,082	4,240	4,481	4,741	5,008	5,327	5,644	6,007	6,404	6,839	7,320
% of online GMV	50.0%	50.0%	50.7%	49.3%	51.0%	50.2%	50.2%	50.3%	50.2%	50.4%	50.3%	50.3%	50.3%	50.3%	50.3%
Tmall GMV (RMB billion)	3,934	4,082	3,787	3,902	3,922	4,205	4,437	4,685	4,965	5,244	5,583	5,939	6,330	6,760	7,231
% of online GMV	50.0%	50.0%	49.3%	50.7%	49.0%	49.8%	49.8%	49.7%	49.8%	49.6%	49.7%	49.7%	49.7%	49.7%	49.7%
Direct Sales and Others revenue	90,000	96,795	103,811	110,405	103,180	106,409	107,841	109,194	110,757	111,731	113,366	114,652	115,872	116,993	117,911
% of Tmall GMV	2.3%	2.4%	2.7%	2.8%	2.6%	2.5%	2.4%	2.3%	2.2%	2.1%	2.0%	1.9%	1.8%	1.7%	1.6%
Quick Commerce revenue	35,746	44,890	50,249	59,802	67,076	77,473	88,319	98,917	110,293	122,425	135,280	148,808	162,944	177,609	192,706
y-o-y growth		25.6%	11.9%	19.0%	12.2%	15.5%	14.0%	12.0%	11.5%	11.0%	10.5%	10.0%	9.5%	9.0%	8.5%
					Bull	16.5%	15.0%	13.0%	12.5%	12.0%	11.5%	11.0%	10.5%	10.0%	9.0%
					Base	15.5%	14.0%	12.0%	11.5%	11.0%	10.5%	10.0%	9.5%	9.0%	8.5%
					Bear	14.0%	12.5%	10.5%	10.0%	9.5%	9.0%	8.5%	8.0%	7.5%	7.0%
China Commerce Wholesale revenue	14,322	17,106	17,854	20,479	24,301	27,804	31,403	34,899	38,278	41,447	44,590	47,635	50,512	53,158	55,960
y-o-y growth		19.4%	4.4%	14.7%	18.7%	14.4%	12.9%	11.1%	9.7%	8.3%	7.6%	6.8%	6.0%	5.2%	5.3%
1688.com number of paying members	990,000	990,000	960,000	1,000,000	1,000,000	1,003,020	1,009,758	1,020,322	1,025,431	1,032,359	1,039,929	1,047,298	1,054,257	1,061,643	1,069,061
y-o-y growth		—	(3.0%)	4.2%	—	0.3%	0.7%	1.0%	0.5%	0.7%	0.7%	0.7%	0.7%	0.7%	0.7%
Membership Fee (RMB)	6,888	6,888	6,888	6,888	6,888	6,888	6,888	6,888	6,888	6,888	6,888	6,888	6,888	6,888	6,888
Revenue from membership fees	6,819	6,819	6,612	6,888	6,888	6,909	6,955	7,028	7,063	7,111	7,163	7,214	7,262	7,313	7,364
y-o-y growth		—	(3.0%)	4.2%	—	0.3%	0.7%	1.0%	0.5%	0.7%	0.7%	0.7%	0.7%	0.7%	0.7%
Revenue from VAS	7,503	10,287	11,242	13,591	17,413	20,896	24,448	27,871	31,215	34,337	37,427	40,421	43,250	45,845	48,596
y-o-y growth		37.1%	9.3%	20.9%	28.1%	20.0%	17.0%	14.0%	12.0%	10.0%	9.0%	8.0%	7.0%	6.0%	6.0%
					Bull	22.0%	19.0%	16.0%	14.0%	12.0%	11.0%	10.0%	9.0%	8.0%	6.5%
					Base	20.0%	17.0%	14.0%	12.0%	10.0%	9.0%	8.0%	7.0%	6.0%	6.0%
					Bear	18.0%	15.0%	12.0%	10.0%	8.0%	7.0%	6.0%	5.0%	4.0%	4.0%
Alibaba International Digital Commerce Group															
RMB in millions, unless otherwise stated															
	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Alibaba International Digital Commerce Group Revenue	48,851	62,185	70,506	102,598	132,300	150,941	187,352	224,815	264,534	304,589	342,841	376,932	404,552	423,716	433,047
y-o-y growth		27.3%	13.4%	45.5%	28.9%	14.1%	24.1%	20.0%	17.7%	15.1%	12.6%	9.9%	7.3%	4.7%	2.2%
International commerce retail	34,455	43,679	50,933	81,654	108,465	124,528	157,912	192,349	228,527	264,653	298,551	327,833	350,153	363,488	366,426
y-o-y growth		26.8%	16.6%	60.3%	32.8%	14.8%	26.8%	21.8%	18.8%	15.8%	12.8%	9.8%	6.8%	3.8%	0.8%
					Bull	16.8%	28.8%	23.8%	20.8%	17.8%	14.8%	11.8%	8.8%	5.8%	1.3%
					Base	14.8%	26.8%	21.8%	18.8%	15.8%	12.8%	9.8%	6.8%	3.8%	0.8%
					Bear	13.8%	25.8%	15.8%	15.1%	12.6%	10.1%	7.6%	5.1%	2.6%	0.1%
International commerce wholesale	14,396	18,506	19,573	20,944	23,835	26,413	29,440	32,466	36,007	39,936	44,291	49,098	54,399	60,228	66,621
y-o-y growth		28.5%	5.8%	7.0%	13.8%	10.8%	11.5%	10.3%	10.9%	10.9%	10.9%	10.9%	10.8%	10.7%	10.6%
Value-Added Services (VAS)															
Revenue attributable to VAS	8,420	11,991	12,889	13,597	14,379	16,576	19,060	21,859	25,004	28,526	32,458	36,835	41,692	47,063	52,986
y-o-y growth		42.4%	7.5%	5.5%	5.7%	15.3%	15.0%	14.7%	14.4%	14.1%	13.8%	13.5%	13.2%	12.9%	12.6%
% of international commerce wholesale		58.5%	64.8%	65.9%	60.3%	62.8%	64.8%	66.8%	68.8%	70.8%	72.8%	74.8%	76.8%	78.8%	80.8%
					Bull	18.0%	17.6%	17.1%	16.7%	16.2%	15.8%	15.3%	14.9%	14.4%	13.1%
					Base	15.3%	15.0%	14.7%	14.4%	14.1%	13.8%	13.5%	13.2%	12.9%	12.6%
					Bear	13.0%	12.6%	12.1%	11.7%	11.2%	10.8%	10.3%	9.9%	9.4%	9.0%
Membership Fees															
Revenue attr. To member fees	5,976	6,515	6,684	7,347	9,456	9,837	10,219	10,606	11,003	11,410	11,833	12,263	12,707	13,165	13,635
y-o-y growth		9.0%	2.6%	9.9%	28.7%	4.0%	3.9%	3.8%	3.7%	3.7%	3.7%	3.6%	3.6%	3.6%	3.6%
% of international commerce wholesale		41.5%	35.2%	34.1%	35.1%	39.7%	37.2%	34.7%	32.7%	30.6%	28.6%	26.7%	25.0%	23.4%	20.5%
Alibaba.com number subscribed sellers	230,000	245,000	220,000	230,000	240,000	243,120	246,281	249,482	252,725	256,011	259,339	262,710	266,126	269,585	273,090
y-o-y growth		6.5%	(10.2%)	4.5%	4.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%
					Bull	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%
					Base	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%
					Bear	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%
Average fee per member in USDm	0.00397	0.00419	0.00442	0.00442	0.00543	0.00558	0.00572	0.00586	0.00600	0.00614	0.00629	0.00643	0.00658	0.00673	0.00688
y-o-y growth		5.8%	5.5%	—	22.7%	5.8%	5.9%	6.0%	6.1%	6.1%	6.1%	6.2%	6.2%	6.2%	6.3%
					Bull	5.8%	5.9%	6.0%	6.1%	6.1%	6.1%	6.2%	6.2%	6.2%	6.3%
					Base	5.8%	5.9%	6.0%	6.1%	6.1%	6.1%	6.2%	6.2%	6.2%	6.3%
					Bear	5.8%	5.9%	6.0%	6.1%	6.1%	6.1%	6.2%	6.2%	6.2%	6.3%
Macro															
RMB to USD conversion per Annual Report	6.552	6.339	6.868	7.220	7.257	7.257	7.257	7.257	7.257	7.257	7.257	7.257	7.257	7.257	7.257
US inflation forecast based Break-even						2.7%	2.6%	2.5%	2.4%	2.4%	2.4%	2.3%	2.3%	2.3%	2.2%
Cloud Intelligence Group															
All others															
RMB in millions, unless otherwise stated															
	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
All Others Revenue	233,790	274,456	293,071	312,496	329,808	255,789	278,439	308,337	340,023	372,992	403,264	430,834	454,034	473,907	491,088
y-o-y growth		17.4%	6.8%	6.6%	5.5%	(22.4%)	8.9%	10.7%	10.3%	9.7%	8.1%	6.8%	5.4%	4.4%	3.6%
Freshippo	27,200	36,000	44,000	47,200	60,000	64,800	76,464	91,757	108,273	125,597	141,924	156,117	167,045	175,397	180,659
y-o-y growth		32.4%	22.2%	7.3%	27.1%	8.0%	18.0%	20.0%	18.0%	16.0%	13.0%	10.0%	7.0%	5.0%	3.0%
Alibaba Health	15,518	20,577	26,763	27,027											

Appendix 8: Weighted Average Cost of Capital (WACC)

Forecast	
Equity	
Number of shares outstanding (in millions)	18,555
Share price	128.10
Levered Beta	0.81x
Unlevered Beta	0.75x
Risk-free rate	1.89%
Equity Risk Premium excl. CRP	4.33%
Country Risk Premium	2.05%
Debt	
Book value of debt	\$ 267,839
Interest Expense	\$ (8,053)
Rating	
Interest coverage Ratio	7.01
Rating %	2.40%
Pre-tax Cost of Debt	4.29%
Tax rate	25%
Market (Debt to Equity)	11.27%
Estimated Marke value of Int. bearing Debt	\$ 267,839

2025E			
BABA β	Equity	Debt	Capital
MV	\$ 2,376,896	\$ 267,839	\$ 2,644,735
Weight	89.87%	10.13%	100.00%
Cost	7.46%	3.22%	7.03%

Revenue Split by Region			
Region	% of Revenue	ERP incl. CRP	CRP
Africa and Middle East	3.7%	13.1%	8.8%
Americas	0.2%	8.0%	3.7%
Asia/Pacific	85.7%	6.1%	1.8%
Europe	10.4%	6.2%	1.9%

Unlevered Beta	Weight
BABA	0.67x 25.0%
Peers weighted	0.51x 25.0%
Peers median	0.91x 50.0%
Unlevered Beta	0.75x

Rating Spread	Weight
5Y Mean	1.94% 50%
LCR Spread	0.77% 50%
(+) CRP Adjustment	1.04%
Rating %	2.40%

Synthetic Rating					
greater than	to ≤	Rating	Spread	Debt-Recovery Rates	Drop in EBITDA
8.5	100000	Aaa/AAA	0.45%	100.00%	0.00%
6.5	8.5	Aa2/AA	0.60%	95.40%	0.00%
5.5	6.5	A1/A+	0.77%	73.35%	0.00%
4.25	5.5	A2/A	0.85%	51.30%	0.00%
3	4.25	A3/A-	0.95%	47.30%	-2.00%
2.5	3	Baa2/BBB	1.20%	43.30%	-10.00%
2.25	2.5	Ba1/BB+	1.55%	40.50%	-20.00%
2	2.25	Ba2/BB	1.83%	37.70%	-20.00%
1.75	2	B1/B+	2.61%	36.80%	-20.00%
1.5	1.75	B2/B	3.00%	35.90%	-20.00%
1.25	1.5	B3/B-	4.42%	32.15%	-25.00%
0.8	1.25	Caa/CCC	7.28%	28.40%	-40.00%
0.65	0.8	Ca2/CC	10.10%	18.93%	-40.00%
0.2	0.65	C2/C	15.50%	9.47%	-40.00%
-100000	0.2	D2/D	19.00%	0.00%	-50.00%

China Adjustment							
Year	2019	2020	2021	2022	2023	2024	2025
CRP	0.98%	0.69%	0.68%	0.70%	1.22%	1.03%	1.04%

Synthetic Rating Spread						
Rating	2019	2020	2021	2022	2023	2025
Aaa/AAA	1.73%	1.32%	1.37%	1.37%	1.91%	1.49%
Aa2/AA	1.98%	1.47%	1.53%	1.52%	2.07%	1.64%
A1/A+	2.23%	1.67%	1.75%	1.73%	2.45%	1.81%
A2/A	2.36%	1.77%	1.86%	1.84%	2.64%	1.89%
A3/A-	2.54%	1.91%	2.01%	1.99%	2.84%	1.99%
Baa2/BBB	2.98%	2.25%	2.39%	2.29%	3.22%	2.24%
Ba1/BB+	3.48%	2.69%	2.99%	2.63%	3.64%	2.59%
Ba2/BB	4.58%	3.09%	3.45%	2.85%	4.35%	2.87%
B1/B+	5.48%	4.20%	4.73%	3.85%	5.77%	3.65%
B2/B	6.38%	4.90%	5.54%	4.48%	6.48%	4.04%
B3/B-	7.58%	5.84%	6.62%	5.32%	8.59%	5.46%
Caa/CCC	9.98%	8.89%	10.14%	8.48%	12.79%	8.32%
Ca2/CC	12.06%	9.33%	10.65%	8.90%	17.00%	11.14%
C2/C	15.52%	12.03%	13.77%	11.46%	18.72%	16.54%
D2/D	20.36%	15.81%	18.12%	15.04%	21.22%	20.04%

Debt Analysis											
Type	Item	Carrying Value	Effective Rate	Currency	Face Value	CPN	Maturity	Interest	Weight	Rate Type	Rate
Bank Debt	Short-term other borrowings	\$26,288	2.00%	RMB	\$26,288	2.00%		\$526	9.34%	SOFR	3.87%
Bank Debt	Long-term other borrowings	\$41,489	3.90%	RMB	\$41,489	3.90%		\$1,618	14.73%		
Bank Debt	US\$4.0 billion syndicated loan SOFR + 8	\$22,937	4.67%	USD	4000	4.67%		\$1,071	8.15%		
Convertible Unsecured Senior Notes	US\$5,000 million 0.500% convertible at 1	\$35,595	0.80%	USD	5000	0.500%	2029	\$285	12.64%		
Convertible Unsecured Senior Notes	US\$3,200 million 0.000% convertible at 1	\$22,781	0.00%	USD	3200	0.000%	2032	\$0	8.09%		
Exchangeable Bonds	HK\$12 Billion 0.000% due 2032	\$13,755	0.00%	HK	12000	0.000%	2032	\$0	4.88%		
Unsecured Senior Notes	US\$2,550 million 3.400% notes due 202	\$18,434	3.52%	USD	2250	3.400%	2027	\$649	6.55%		
Unsecured Senior Notes	RMB8,400 million 2.650% notes due 202	\$8,353	2.83%	RMB	8400	2.600%	2028	\$236	2.97%		
Unsecured Senior Notes	RMB5,000 million 2.800% notes due 202	\$4,971	2.93%	RMB	5000	2.800%	2029	\$146	1.77%		
Unsecured Senior Notes	US\$1,000 million 4.875% notes due 203	\$7,205	5.01%	USD	1000	4.875%	2030	\$361	2.56%		
Unsecured Senior Notes	US\$1,500 million 2.125% notes due 203	\$10,834	2.20%	USD	1500	2.125%	2031	\$238	3.85%		
Unsecured Senior Notes	US\$700 million 4.500% notes due 2034	\$5,034	4.60%	USD	700	4.500%	2034	\$232	1.79%		
Unsecured Senior Notes	RMB2,500 million 3.100% notes due 203	\$2,485	3.17%	RMB	2500	3.100%	2034	\$79	0.88%		
Unsecured Senior Notes	US\$1,150 million 5.250% notes due 203	\$8,268	5.35%	USD	1150	5.250%	2035	\$442	2.94%		
Unsecured Senior Notes	US\$1,000 million 4.000% notes due 203	\$7,203	4.06%	USD	1000	4.000%	2037	\$292	2.56%		
Unsecured Senior Notes	US\$1,000 million 2.700% notes due 204	\$7,158	2.80%	USD	1000	2.700%	2041	\$200	2.54%		
Unsecured Senior Notes	RMB1,100 million 3.500% notes due 204	\$1,093	3.54%	RMB	1100	3.500%	2044	\$39	0.39%		
Unsecured Senior Notes	US\$1,750 million 4.200% notes due 204	\$12,586	4.25%	USD	1750	4.200%	2047	\$535	4.47%		
Unsecured Senior Notes	US\$1,500 million 3.150% notes due 205	\$10,796	3.19%	USD	1500	3.150%	2051	\$344	3.83%		
Unsecured Senior Notes	US\$500 million 5.625% notes due 2054	\$3,597	5.67%	USD	500	5.625%	2054	\$204	1.28%		
Unsecured Senior Notes	US\$1,000 million 4.400% notes due 205	\$7,186	4.44%	USD	1000	4.400%	2057	\$319	2.55%		
Unsecured Senior Notes	US\$1,000 million 3.250% notes due 206	\$7,195	3.28%	USD	1000	3.250%	2061	\$236	2.56%		
Adjustment for Convertible Notes: No visibility in quarterly report, relying on		(\$895)							-0.32%		
Adjustment to Unsecured Senior Notes for quarterly cost and discount		(\$1,894)							-0.67%		
Bank Debt Adjustment for quarterly costs		(\$860)							-0.31%		
Total Debt		\$281,594	2.86%							Interest* is presented on a 2026 E basis Interest** Interest based on reported effective rates	

Appendix 9: Discounted Cash Flow (DCF) Analysis – Base Case

Discounted Cash Flow Analysis												
Valuation Summary												
RMB in millions, unless otherwise stated												
DCF Value per Share												
PV of Terminal Value	2,495,570											
PV of Discrete Period	815,490											
Total Enterprise Value	3,311,060											
Debt	267,839											
Non-Controlling Interest	68,535											
Cash & Cash Equivalents	145,487											
Net Debt	190,887											
Implied Equity Value	3,120,173											
Basic Shares Outstanding (Mn)	18,791											
Diluted Shares Outstanding (Mn)	19,318											
Implied Equity Value per Share (RMB)	161.52											
Implied Equity Value per Share (USD)	184.77											
Stock Price (RMB)	128.10											
Up/Downside	26.1%											
12 Month Price Target (RMB)	174.94											
12 Month Price Target (USD)	200.13											
Discount/Premium to Value	36.57%											
Valuation Summary												
Terminal Growth Rate		Terminal WACC										
		6.28%	6.53%	6.78%	7.03%	7.28%	7.53%	7.78%				
		1.25%	¥ 170.86	¥ 161.02	¥ 152.08	¥ 143.93	¥ 136.46	¥ 129.60	¥ 123.28			
		1.50%	¥ 178.36	¥ 167.68	¥ 158.03	¥ 149.26	¥ 141.26	¥ 133.94	¥ 127.21			
		1.75%	¥ 186.69	¥ 175.04	¥ 164.57	¥ 155.10	¥ 146.50	¥ 138.65	¥ 131.46			
		2.00%	¥ 195.99	¥ 183.22	¥ 171.79	¥ 161.52	¥ 152.23	¥ 143.79	¥ 136.09			
		2.25%	¥ 206.44	¥ 192.34	¥ 179.81	¥ 168.61	¥ 158.52	¥ 149.41	¥ 141.13			
	2.50%	¥ 218.28	¥ 202.60	¥ 188.77	¥ 176.48	¥ 165.48	¥ 155.59	¥ 146.65				
	2.75%	¥ 231.79	¥ 214.22	¥ 198.84	¥ 185.27	¥ 173.21	¥ 162.42	¥ 152.72				
Upside/Downside												
Terminal Growth Rate		Terminal WACC										
		6.28%	6.53%	6.78%	7.03%	7.28%	7.53%	7.78%				
		1.25%	33%	26%	19%	12%	7%	1%	-4%			
		1.50%	39%	31%	23%	17%	10%	5%	-1%			
		1.75%	46%	37%	28%	21%	14%	8%	3%			
		2.00%	53%	43%	34%	26%	19%	12%	6%			
		2.25%	61%	50%	40%	32%	24%	17%	10%			
	2.50%	70%	58%	47%	38%	29%	21%	14%				
	2.75%	81%	67%	55%	45%	35%	27%	19%				
DCF Main Inputs												
Valuation Date	31-12-2025											
Terminal Growth	2.0%											
Terminal WACC	7.0%											
Terminal Multiple	19.88											
Terminal growth	1.50%											
Bear	2.00%											
Base	2.50%											
Bull												
DCF												
All figures given in RMB millions unless stated												
	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	CAGR
Total Revenue	996,347	1,038,231	1,182,745	1,328,643	1,471,385	1,608,548	1,744,857	1,876,664	1,999,993	2,112,444	2,213,261	8.31%
yoy growth %		4%	14%	12%	11%	9%	8%	8%	7%	6%	5%	
EBIT	140,905	68,449	122,013	135,558	164,698	189,290	207,330	226,128	239,499	255,844	269,143	6.69%
Operating Margin	14.1%	6.6%	10.3%	10.2%	11.2%	11.8%	11.9%	12.0%	12.0%	12.1%	12.2%	
yoy growth %		(51%)	78%	11%	21%	15%	10%	9%	6%	7%	5%	
Tax Rate	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%	
NOPAT	105,679	51,337	91,510	101,669	123,523	141,968	155,498	169,596	179,624	191,883	201,857	6.69%
yoy growth %		(51%)	78%	11%	21%	15%	10%	9%	6%	7%	5%	
Depreciation, Amortisation & Impairment	(35,596)	(39,440)	(51,887)	(62,991)	(70,270)	(75,664)	(81,319)	(87,170)	(93,216)	(99,417)	(105,661)	
% of Revenue	(3.6%)	(3.8%)	(4.4%)	(4.7%)	(4.8%)	(4.7%)	(4.7%)	(4.6%)	(4.7%)	(4.7%)	(4.8%)	
Change in NWC	36,448	(24,789)	(13,510)	(30,171)	(18,182)	(14,779)	(24,230)	(18,276)	(19,439)	(15,317)	(14,510)	
% of Revenue	79.8%	(53.9%)	(29.1%)	(64.5%)	(38.6%)	(31.1%)	(50.6%)	(37.9%)	(40.0%)	(31.3%)	(29.4%)	
CapEx	(85,972)	(166,117)	(177,412)	(132,864)	(82,450)	(86,115)	(89,050)	(91,085)	(94,000)	(95,060)	(95,170)	
% of Revenue	(8.6%)	(16.0%)	(15.0%)	(10.0%)	(5.6%)	(5.4%)	(5.1%)	(4.9%)	(4.7%)	(4.5%)	(4.3%)	
UFCF	18,855	(50,550)	(20,505)	61,966	129,526	146,296	171,997	183,957	198,279	211,556	226,858	28.24%
yoy growth %		(368%)	(59%)	(402%)	109%	13%	18%	7%	8%	7%	7%	
Shares	19,318	19,295	19,360	19,382	19,415	19,455	19,505	19,560	19,619	19,680	19,745	
yoy growth % (dilution rate)		(0%)	0%	0%	0%	0%	0%	0%	0%	0%	0%	
UFCF/Share	0.98	(2.62)	(1.06)	3.20	6.67	7.52	8.82	9.40	10.11	10.75	11.49	27.96%
yoy growth %		(368%)	(60%)	(402%)	109%	13%	17%	7%	7%	6%	7%	
Invested Capital	1,139,488	1,231,597	1,341,630	1,391,356	1,405,466	1,424,164	1,431,814	1,446,286	1,459,037	1,473,608	1,486,073	2.69%
yoy growth %		8%	9%	4%	1%	1%	1%	1%	1%	1%	1%	
ROIC	9.3%	4.2%	6.8%	7.3%	8.8%	10.0%	10.9%	11.7%	12.3%	13.0%	13.6%	
Discount Factor												
	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E		
Cash Flow Timing	31-12-2025	31-12-2026	31-12-2027	31-12-2028	31-12-2029	31-12-2030	31-12-2031	31-12-2032	31-12-2033	31-12-2034	31-12-2035	
WACC	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%	
Discount Factor	1.0000	0.9343	0.8729	0.8156	0.7620	0.7120	0.6652	0.6215	0.5807	0.5425		
PV of UFCF	(50,550)	(19,158)	54,093	105,641	111,481	122,456	122,369	123,232	122,847	123,079		
Year	1	2	3	4	5	6	7	8	9	10		

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1Y Price Target

All figures given in RMB millions unless stated

	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
FCFF	18,855	(50,550)	(20,505)	61,966	129,526	146,296	171,997	183,957	198,279	211,556	226,858	231,395
Discount	–	–	1.00	0.93	0.87	0.82	0.76	0.71	0.67	0.62	0.58	0.54
PV FCFF	–	–	(20,501)	57,885	113,047	119,296	131,041	130,947	131,871	131,459	131,707	125,517

Valuation date 31/12/2026

DCF Value per Share	
PV of Terminal Value	2,545,001
PV of Discrete Period	1,052,270
Total Enterprise Value	3,597,270
Debt	267,839
Non-Controlling Interest	69,707
Cash & Cash Equivalents	115,801
Net Debt	221,745
Implied Equity Value	3,375,525
Basic Shares Outstanding	18,777
Diluted Shares Outstanding	19,295
Implied Equity Value per Share	174.94
Stock Price	128.10
Up/Downside	36.6%

Appendix 10: Discounted Cash Flow (DCF) Analysis – Bear Case

Discounted Cash Flow Analysis

Valuation Summary

RMB in millions, unless otherwise stated

DCF Value per Share	
PV of Terminal Value	1,673,326
PV of Discrete Period	660,022
Total Enterprise Value	2,333,348
Debt	267,839
Non-Controlling Interest	68,535
Cash & Cash Equivalents	145,487
Net Debt	190,887
Implied Equity Value	2,142,461
Basic Shares Outstanding (Mn)	18,791
Diluted Shares Outstanding (Mn)	19,318
Implied Equity Value per Share (RMB)	110.90
Implied Equity Value per Share (USD)	126.88
Stock Price (RMB)	128.10
Up/Downside	(13.4%)
12 Month Price Target (RMB)	120.37
12 Month Price Target (USD)	137.70
Discount/Premium to Value	(6.03%)

Valuation Summary		Terminal WACC						
Terminal Growth Rate	1.25%	¥ 126.95	¥ 119.65	¥ 113.01	¥ 106.95	¥ 101.41	¥ 96.31	¥ 91.61
	1.50%	¥ 132.51	¥ 124.58	¥ 117.42	¥ 110.90	¥ 104.96	¥ 99.52	¥ 94.52
	1.75%	¥ 138.68	¥ 130.03	¥ 122.26	¥ 115.23	¥ 108.84	¥ 103.01	¥ 97.68
	2.00%	¥ 145.57	¥ 136.09	¥ 127.61	¥ 119.98	¥ 113.09	¥ 106.82	¥ 101.10
	2.25%	¥ 153.31	¥ 142.85	¥ 133.55	¥ 125.23	¥ 117.75	¥ 110.99	¥ 104.84
	2.50%	¥ 162.08	¥ 150.45	¥ 140.19	¥ 131.07	¥ 122.91	¥ 115.57	¥ 108.93
	2.75%	¥ 172.09	¥ 159.05	¥ 147.64	¥ 137.58	¥ 128.63	¥ 120.63	¥ 113.42

Upside/Downside		Terminal WACC						
Terminal Growth Rate	1.25%	-1%	-7%	-12%	-17%	-21%	-25%	-28%
	1.50%	3%	-3%	-8%	-13%	-18%	-22%	-26%
	1.75%	8%	2%	-5%	-10%	-15%	-20%	-24%
	2.00%	14%	6%	0%	-6%	-12%	-17%	-21%
	2.25%	20%	12%	4%	-2%	-8%	-13%	-18%
	2.50%	27%	17%	9%	2%	-4%	-10%	-15%
	2.75%	34%	24%	15%	7%	0%	-6%	-11%

DCF Main Inputs

Valuation Date	31/12/2025
Terminal Growth	1.5%
Terminal WACC	7.0%
Terminal Multiple	18.08

Terminal growth	
Bear	1.50%
Base	2.00%
Bull	2.50%

DCF

All figures given in RMB millions unless stated

	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	CAGR
Total Revenue	996,347	1,035,334	1,170,678	1,272,808	1,383,182	1,482,085	1,576,176	1,661,575	1,738,718	1,805,202	1,862,031	6.45%
yoy growth %		4%	13%	9%	9%	7%	6%	5%	5%	4%	3%	
EBIT	140,905	66,168	118,351	117,129	125,341	139,028	155,420	164,456	169,849	177,929	181,613	2.57%
Operating Margin	14.1%	6.4%	10.1%	9.2%	9.1%	9.4%	9.9%	9.9%	9.8%	9.9%	9.8%	
yoy growth %		(53%)	79%	(1%)	7%	11%	12%	6%	3%	5%	2%	
Tax Rate	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%	
NOPAT	105,679	49,626	88,764	87,847	94,006	104,271	116,565	123,342	127,387	133,447	136,210	2.57%
yoy growth %		(53%)	79%	(1%)	7%	11%	12%	6%	3%	5%	2%	
Depreciation, Amortisation & Impairment	(35,596)	(38,172)	(48,100)	(57,473)	(63,736)	(67,963)	(72,257)	(76,555)	(80,794)	(84,911)	(88,847)	
% of Revenue	(3.6%)	(3.7%)	(4.1%)	(4.5%)	(4.6%)	(4.6%)	(4.6%)	(4.6%)	(4.6%)	(4.7%)	(4.8%)	
Change in NWC	36,448	(24,333)	(12,248)	(25,864)	(13,749)	(10,557)	(17,475)	(11,754)	(11,751)	(7,888)	(8,169)	
% of Revenue	79.8%	(52.9%)	(26.4%)	(55.3%)	(29.2%)	(22.2%)	(36.5%)	(24.4%)	(24.2%)	(16.1%)	(16.6%)	
CapEx	(85,972)	(134,593)	(146,335)	(120,917)	(69,159)	(70,399)	(70,928)	(70,617)	(69,549)	(67,695)	(65,171)	
% of Revenue	(8.6%)	(13.0%)	(12.5%)	(9.5%)	(5.0%)	(4.8%)	(4.5%)	(4.3%)	(4.0%)	(3.8%)	(3.5%)	
UFCF	18,855	(22,462)	2,776	50,267	102,332	112,392	135,369	141,034	150,383	158,551	168,055	24.45%
yoy growth %		(219%)	(112%)	104%	104%	10%	20%	4%	7%	5%	6%	
Shares	19,318	19,293	19,354	19,357	19,390	19,422	19,463	19,507	19,555	19,605	19,659	
yoy growth % (dilution rate)		(0%)	0%	0%	0%	0%	0%	0%	0%	0%	0%	
UFCF/Share	0.98	(1.16)	0.14	2.60	5.28	5.79	6.96	7.23	7.69	8.09	8.55	24.24%
yoy growth %		(219%)	(112%)	1,710%	103%	10%	20%	4%	6%	5%	6%	
Invested Capital	1,139,488	1,206,128	1,294,174	1,342,427	1,351,736	1,363,341	1,365,239	1,371,884	1,374,816	1,377,453	1,375,299	1.90%
yoy growth %		6%	7%	4%	1%	1%	0%	0%	0%	0%	(0%)	
ROIC	9.3%	4.1%	6.9%	6.5%	7.0%	7.6%	8.5%	9.0%	9.3%	9.7%	9.9%	

Discount Factor	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Cash Flow Timing	31/12/2025	31/12/2026	31/12/2027	31/12/2028	31/12/2029	31/12/2030	31/12/2031	31/12/2032	31/12/2033	31/12/2034
WACC	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%
Discount Factor	1.0000	0.9343	0.8729	0.8156	0.7620	0.7120	0.6652	0.6215	0.5807	0.5425
PV of UFCF	(22,462)	2,594	43,880	83,462	85,646	96,379	93,816	93,464	92,068	91,176
Year	1	2	3	4	5	6	7	8	9	10

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1Y Price Target

All figures given in RMB millions unless stated

	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
FCFF	18,855	(22,462)	2,776	50,267	102,332	112,392	135,369	141,034	150,383	158,551	168,055	170,576
Discount	–	–	1.00	0.93	0.87	0.82	0.76	0.71	0.67	0.62	0.58	0.54
PV FCFF	–	–	2,776	46,956	89,313	91,650	103,135	100,393	100,016	98,522	97,568	92,527

Valuation date 31/12/2026

DCF Value per Share	
PV of Terminal Value	1,698,105
PV of Discrete Period	822,855
Total Enterprise Value	2,520,961
Debt	267,839
Non-Controlling Interest	69,872
Cash & Cash Equivalents	139,103
Net Debt	198,608
Implied Equity Value	2,322,353
Basic Shares Outstanding	18,776
Diluted Shares Outstanding	19,293
Implied Equity Value per Share	120.37
Stock Price	128.10
Up/Downside	(6.0%)

Appendix 11: Discounted Cash Flow (DCF) Analysis – Bull Case

Discounted Cash Flow Analysis

Valuation Summary

RMB in millions, unless otherwise stated

DCF Value per Share	
PV of Terminal Value	3,611,146
PV of Discrete Period	831,377
Total Enterprise Value	4,442,523
Debt	267,839
Non-Controlling Interest	68,535
Cash & Cash Equivalents	145,487
Net Debt	190,887
Implied Equity Value	4,251,636
Basic Shares Outstanding (Mn)	18,791
Diluted Shares Outstanding (Mn)	19,318
Implied Equity Value per Share (RMB)	220.09
Implied Equity Value per Share (USD)	251.78
Stock Price (RMB)	128.10
Up/Downside	71.8%
12 Month Price Target (RMB)	238.03
12 Month Price Target (USD)	272.30
Discount/Premium to Value	85.81%

Valuation Summary		Terminal WACC						
Terminal Growth Rate	1.25%	¥ 212.49	¥ 199.84	¥ 188.35	¥ 177.88	¥ 168.30	¥ 159.50	¥ 151.40
	1.50%	¥ 222.22	¥ 208.48	¥ 196.06	¥ 184.79	¥ 174.52	¥ 165.12	¥ 156.49
	1.75%	¥ 233.02	¥ 218.02	¥ 204.54	¥ 192.36	¥ 181.31	¥ 171.23	¥ 162.01
	2.00%	¥ 245.08	¥ 228.62	¥ 213.91	¥ 200.69	¥ 188.74	¥ 177.90	¥ 168.01
	2.25%	¥ 258.63	¥ 240.45	¥ 224.31	¥ 209.88	¥ 196.91	¥ 185.19	¥ 174.55
	2.50%	¥ 273.98	¥ 253.76	¥ 235.92	¥ 220.09	¥ 205.93	¥ 193.21	¥ 181.71
	2.75%	¥ 291.50	¥ 268.82	¥ 248.98	¥ 231.49	¥ 215.95	¥ 202.06	¥ 189.58

Upside/Downside		Terminal WACC						
Terminal Growth Rate	1.25%	66%	56%	47%	39%	31%	25%	18%
	1.50%	73%	63%	53%	44%	36%	29%	22%
	1.75%	82%	70%	60%	50%	42%	34%	26%
	2.00%	91%	78%	67%	57%	47%	39%	31%
	2.25%	102%	88%	75%	64%	54%	45%	36%
	2.50%	114%	98%	84%	72%	61%	51%	42%
	2.75%	128%	110%	94%	81%	69%	58%	48%

DCF Main Inputs

Valuation Date	31/12/2025
Terminal Growth	2.5%
Terminal WACC	7.0%
Terminal Multiple	22.07

Terminal growth	
Bear	1.50%
Base	2.00%
Bull	2.50%

DCF

All figures given in RMB millions unless stated

	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	CAGR
Total Revenue	996,347	1,038,739	1,185,049	1,357,288	1,523,324	1,689,204	1,859,278	2,029,670	2,195,142	2,351,692	2,473,232	9.52%
yoy growth %		4%	14%	15%	12%	11%	10%	9%	8%	7%	5%	
EBIT	140,905	68,486	125,817	128,027	164,139	196,390	231,877	271,855	309,194	351,153	372,360	10.21%
Operating Margin	14.1%	6.6%	10.6%	9.4%	10.8%	11.6%	12.5%	13.4%	14.1%	14.9%	15.1%	
yoy growth %		(51%)	84%	2%	28%	20%	18%	17%	14%	14%	6%	
Tax Rate	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%	
NOPAT	105,679	51,364	94,363	96,020	123,104	147,292	173,908	203,892	231,895	263,365	279,270	10.21%
yoy growth %		(51%)	84%	2%	28%	20%	18%	17%	14%	14%	6%	
Depreciation, Amortisation & Impairment	(35,596)	(40,698)	(54,892)	(67,148)	(76,674)	(85,286)	(94,228)	(103,375)	(112,582)	(121,680)	(130,947)	
% of Revenue	(3.6%)	(3.9%)	(4.6%)	(4.9%)	(5.0%)	(5.0%)	(5.1%)	(5.1%)	(5.1%)	(5.2%)	(5.3%)	
Change in NWC	36,448	(24,870)	(13,759)	(33,564)	(20,515)	(18,555)	(29,235)	(23,681)	(25,561)	(21,492)	(20,009)	
% of Revenue	79.8%	(54.0%)	(29.7%)	(71.8%)	(43.5%)	(39.1%)	(61.1%)	(49.1%)	(52.6%)	(43.9%)	(40.6%)	
CapEx	(85,972)	(197,360)	(189,608)	(149,302)	(121,866)	(126,690)	(130,149)	(131,929)	(131,709)	(129,343)	(136,028)	
% of Revenue	(8.6%)	(19.0%)	(16.0%)	(11.0%)	(8.0%)	(7.5%)	(7.0%)	(6.5%)	(6.0%)	(5.5%)	(5.5%)	
UFCF	18,855	(80,428)	(26,594)	47,430	98,428	124,443	167,221	199,020	238,330	277,193	294,199	31.62%
yoy growth %		(527%)	(67%)	108%	26%	34%	19%	19%	20%	16%	6%	
Shares	19,318	19,296	19,361	19,397	19,429	19,475	19,531	19,593	19,658	19,727	19,793	
yoy growth % (dilution rate)		(0%)	0%	0%	0%	0%	0%	0%	0%	0%	0%	
UFCF/Share	0.98	(4.17)	(1.37)	2.45	5.07	6.39	8.56	10.16	12.12	14.05	14.86	31.30%
yoy growth %		(527%)	(67%)	107%	26%	34%	19%	19%	19%	16%	6%	
Invested Capital	1,139,488	1,257,032	1,375,085	1,432,990	1,475,827	1,522,117	1,557,137	1,599,367	1,638,295	1,678,443	1,724,648	4.23%
yoy growth %		10%	9%	4%	3%	3%	2%	3%	2%	2%	3%	
ROIC	9.3%	4.1%	6.9%	6.7%	8.3%	9.7%	11.2%	12.7%	14.2%	15.7%	16.2%	

Discount Factor	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Cash Flow Timing	31/12/2025	31/12/2026	31/12/2027	31/12/2028	31/12/2029	31/12/2030	31/12/2031	31/12/2032	31/12/2033	31/12/2034
WACC	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%	7.0%
Discount Factor	1.0000	0.9343	0.8729	0.8156	0.7620	0.7120	0.6652	0.6215	0.5807	0.5425
PV of UFCF	(80,428)	(24,848)	41,403	80,278	94,829	119,056	132,388	148,124	160,961	159,614
Year	1	2	3	4	5	6	7	8	9	10

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1Y Price Target												
All figures given in RMB millions unless stated												
	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
FCFF	18,855	(80,428)	(26,594)	47,430	98,428	124,443	167,221	199,020	238,330	277,193	294,199	301,554
Discount	—	—	1.00	0.93	0.87	0.82	0.76	0.71	0.67	0.62	0.58	0.54
PV FCFF	—	—	(26,589)	44,306	85,905	101,476	127,402	141,669	158,507	172,245	170,804	163,574

Valuation date 31/12/2026

DCF Value per Share	
PV of Terminal Value	3,700,726
PV of Discrete Period	1,139,300
Total Enterprise Value	4,840,026
Debt	267,839
Non-Controlling Interest	69,707
Cash & Cash Equivalents	90,401
Net Debt	247,144
Implied Equity Value	4,592,881
Basic Shares Outstanding	18,777
Diluted Shares Outstanding	19,296
Implied Equity Value per Share	238.03
Stock Price	128.10
Up/Downside	85.8%

Appendix 12: Sensitivity Analysis – Base Case

Sensitivity Analysis

BABA Valuation Sensitivity Analysis Based on Target Multiple												
Target Multiple: 32.2x Target Price: \$ 174.94												
FY27E P/E Multiple												
29.2x 30.2x 31.2x 32.2x 33.2x 34.2x 35.2x												
FY27E EPS	11% ¥	6.03	¥ 176.16	¥ 182.19	¥ 188.23	¥ 194.26	¥ 200.29	¥ 206.33	¥ 212.36			
	7% ¥	5.83	¥ 170.32	¥ 176.15	¥ 181.99	¥ 187.82	¥ 193.65	¥ 199.49	¥ 205.32			
	4% ¥	5.63	¥ 164.48	¥ 170.11	¥ 175.75	¥ 181.38	¥ 187.01	¥ 192.65	¥ 198.28			
	Base Est ¥	5.43	¥ 158.64	¥ 164.07	¥ 169.51	¥ 174.94	¥ 180.37	¥ 185.81	¥ 191.24			
	-4% ¥	5.23	¥ 152.80	¥ 158.03	¥ 163.27	¥ 168.50	¥ 173.74	¥ 178.97	¥ 184.20			
	-7% ¥	5.03	¥ 146.96	¥ 152.00	¥ 157.03	¥ 162.06	¥ 167.10	¥ 172.13	¥ 177.16			
	-11% ¥	4.83	¥ 141.12	¥ 145.96	¥ 150.79	¥ 155.62	¥ 160.46	¥ 165.29	¥ 170.12			

BABA Valuation Sensitivity Analysis Based on Target Price												
Target Price \$ 174.94												
12M Target Price												
¥ 144.94 ¥ 154.94 ¥ 164.94 ¥ 174.94 ¥ 184.94 ¥ 194.94 ¥ 204.94												
FY26E EPS	11% ¥	6.03	24.0x	25.7x	27.3x	29.0x	30.7x	32.3x	34.0x			
	7% ¥	5.83	24.8x	26.6x	28.3x	30.0x	31.7x	33.4x	35.1x			
	4% ¥	5.63	25.7x	27.5x	29.3x	31.1x	32.8x	34.6x	36.4x			
	Base Est ¥	5.43	26.7x	28.5x	30.4x	32.2x	34.0x	35.9x	37.7x			
	-4% ¥	5.23	27.7x	29.6x	31.5x	33.4x	35.3x	37.2x	39.2x			
	-7% ¥	5.03	28.8x	30.8x	32.8x	34.8x	36.7x	38.7x	40.7x			
	-11% ¥	4.83	30.0x	32.1x	34.1x	36.2x	38.3x	40.3x	42.4x			

Appendix 13: Sensitivity Analysis – Bear Case

Sensitivity Analysis

BABA Valuation Sensitivity Analysis Based on Target Multiple

S&P 500 Performance Sensitivity Analysis - FY27E P/E Multiple Example																	
				Target Multiple: 22.9x				Target Price: \$ 120.37									
				FY27E P/E Multiple													
				19.9x	20.9x	21.9x	22.9x	23.9x	24.9x	25.9x							
FY27E EPS	11%	¥	5.85	¥	116.56	¥	122.42	¥	128.27	¥	134.12	¥	139.97	¥	145.83	¥	151.68
	8%	¥	5.65	¥	112.58	¥	118.23	¥	123.88	¥	129.54	¥	135.19	¥	140.84	¥	146.49
	4%	¥	5.45	¥	108.60	¥	114.05	¥	119.50	¥	124.95	¥	130.41	¥	135.86	¥	141.31
	Base Est	¥	5.25	¥	104.61	¥	109.87	¥	115.12	¥	120.37	¥	125.62	¥	130.87	¥	136.13
	-4%	¥	5.05	¥	100.63	¥	105.68	¥	110.73	¥	115.79	¥	120.84	¥	125.89	¥	130.94
	-8%	¥	4.85	¥	96.65	¥	101.50	¥	106.35	¥	111.20	¥	116.06	¥	120.91	¥	125.76
	-11%	¥	4.65	¥	92.66	¥	97.32	¥	101.97	¥	106.62	¥	111.27	¥	115.92	¥	120.58

BABA Valuation Sensitivity Analysis Based on Target Price

BABA Valuation Sensitivity Analysis Based on Target Price																									
												Target Price	\$	120.37											
												12M Target Price													
												¥	90.37	¥	100.37	¥	110.37	¥	120.37	¥	130.37	¥	140.37	¥	150.37
FY26E EPS	11%	¥	5.85	15.4x	17.2x	18.9x	20.6x	22.3x	24.0x	25.7x															
	8%	¥	5.65	16.0x	17.8x	19.5x	21.3x	23.1x	24.8x	26.6x															
	4%	¥	5.45	16.6x	18.4x	20.2x	22.1x	23.9x	25.7x	27.6x															
	Base Est	¥	5.25	17.2x	19.1x	21.0x	22.9x	24.8x	26.7x	28.6x															
	-4%	¥	5.05	17.9x	19.9x	21.8x	23.8x	25.8x	27.8x	29.8x															
	-8%	¥	4.85	18.6x	20.7x	22.7x	24.8x	26.9x	28.9x	31.0x															
	-11%	¥	4.65	19.4x	21.6x	23.7x	25.9x	28.0x	30.2x	32.3x															

Appendix 14: Sensitivity Analysis – Bull Case

Sensitivity Analysis

BABA Valuation Sensitivity Analysis Based on Target Multiple

		Target Multiple: 42.3x										Target Price: \$		238.03			
		FY27E P/E Multiple															
		39.3x		40.3x		41.3x		42.3x		43.3x		44.3x		45.3x			
FY27E EPS	11%	¥	6.23	¥	244.72	¥	250.94	¥	257.17	¥	263.40	¥	269.63	¥	275.86	¥	282.09
	7%	¥	6.03	¥	236.86	¥	242.89	¥	248.92	¥	254.94	¥	260.97	¥	267.00	¥	273.03
	4%	¥	5.83	¥	229.00	¥	234.83	¥	240.66	¥	246.49	¥	252.31	¥	258.14	¥	263.97
	Base Est	¥	5.63	¥	221.14	¥	226.77	¥	232.40	¥	238.03	¥	243.66	¥	249.28	¥	254.91
	-4%	¥	5.43	¥	213.28	¥	218.71	¥	224.14	¥	229.57	¥	235.00	¥	240.43	¥	245.86
	-7%	¥	5.23	¥	205.43	¥	210.66	¥	215.88	¥	221.11	¥	226.34	¥	231.57	¥	236.80
	-11%	¥	5.03	¥	197.57	¥	202.60	¥	207.63	¥	212.65	¥	217.68	¥	222.71	¥	227.74

BABA Valuation Sensitivity Analysis Based on Target Price

SANTA FE											
Valuation Sensitivity Analysis Based on Target Price											
Target Price											
\$ 238.03											
12M Target Price											
¥ 208.03 ¥ 218.03 ¥ 228.03 ¥ 238.03 ¥ 248.03 ¥ 258.03 ¥ 268.03											
FY26E EPS	11%	¥	6.23	33.4x	35.0x	36.6x	38.2x	39.8x	41.4x	43.0x	
	7%	¥	6.03	34.5x	36.2x	37.8x	39.5x	41.1x	42.8x	44.5x	
	4%	¥	5.83	35.7x	37.4x	39.1x	40.8x	42.6x	44.3x	46.0x	
	Base Est	¥	5.63	37.0x	38.7x	40.5x	42.3x	44.1x	45.8x	47.6x	
	-4%	¥	5.43	38.3x	40.2x	42.0x	43.8x	45.7x	47.5x	49.4x	
	-7%	¥	5.23	39.8x	41.7x	43.6x	45.5x	47.4x	49.3x	51.3x	
	-11%	¥	5.03	41.4x	43.4x	45.3x	47.3x	49.3x	51.3x	53.3x	

Appendix 15: Revenue Breakdown per Segment

Revenue Breakdown and Analysis

RMB in millions, unless otherwise stated

	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Total Revenue	717,289	853,062	868,687	941,168	996,347	1,038,231	1,182,745	1,328,643	1,471,385	1,608,548	1,744,857	1,876,664	1,999,993	2,112,444	2,213,261
Taobao and Tmall Revenue	444,611	474,820	463,455	494,695	516,903	556,863	597,538	639,938	683,478	729,473	779,342	832,191	888,427	948,162	1,011,898
Customer Management	304,543	316,029	291,541	304,009	322,346	345,176	369,974	396,928	424,149	453,870	486,106	521,096	559,099	600,402	645,322
<i>y-o-y growth</i>		3.8%	(7.7%)	4.3%	6.0%	7.1%	7.2%	7.3%	6.9%	7.0%	7.1%	7.2%	7.3%	7.4%	7.5%
Direct Sales and Others	90,000	96,795	103,811	110,405	103,180	106,410	107,842	109,194	110,757	111,731	113,366	114,652	115,872	116,993	117,911
<i>y-o-y growth</i>		7.6%	7.2%	6.4%	(6.5%)	3.1%	1.3%	1.3%	1.4%	0.9%	1.5%	1.1%	1.1%	1.0%	0.8%
Quick Commerce	35,746	44,890	50,249	59,802	67,076	77,472	88,319	98,917	110,293	122,425	135,280	148,808	162,944	177,609	192,706
<i>y-o-y growth</i>		25.6%	11.9%	19.0%	12.2%	15.5%	14.0%	12.0%	11.5%	11.0%	10.5%	10.0%	9.5%	9.0%	8.5%
China Commerce Wholesale	14,322	17,106	17,854	20,479	24,301	27,804	31,403	34,899	38,278	41,447	44,590	47,635	50,512	53,158	55,960
<i>y-o-y growth</i>		19.4%	4.4%	14.7%	18.7%	14.4%	12.9%	11.1%	9.7%	8.3%	7.6%	6.8%	6.0%	5.2%	5.3%
Alibaba International Digital Commerce Group	48,851	62,185	70,506	102,598	132,300	150,941	187,352	224,815	264,534	304,589	342,841	376,932	404,552	423,716	433,047
International commerce retail	34,455	43,679	50,933	81,654	108,465	124,528	157,912	192,349	228,527	264,653	298,551	327,833	350,153	363,488	366,426
<i>y-o-y growth</i>		26.8%	16.6%	60.3%	32.8%	14.8%	26.8%	21.8%	18.8%	15.8%	12.8%	9.8%	6.8%	3.8%	0.8%
International commerce wholesale	14,396	18,506	19,573	20,944	23,835	26,413	29,440	32,466	36,007	39,936	44,291	49,098	54,399	60,228	66,621
<i>y-o-y growth</i>		28.5%	5.8%	7.0%	13.8%	10.8%	11.5%	10.3%	10.9%	10.9%	10.9%	10.9%	10.8%	10.7%	10.6%
Cloud Intelligence Group	60,558	102,016	103,497	106,374	118,028	157,966	199,312	239,174	273,854	298,501	322,381	344,948	365,645	383,927	399,284
<i>y-o-y growth</i>		68.5%	1.5%	2.8%	11.0%	33.8%	26.2%	20.0%	14.5%	9.0%	8.0%	7.0%	6.0%	5.0%	4.0%
All others	233,790	274,456	293,071	312,496	329,808	252,934	275,062	308,337	340,023	372,992	403,264	430,834	454,034	473,907	491,088
<i>y-o-y growth</i>		17.4%	6.8%	6.6%	5.5%	(23.3%)	8.7%	12.1%	10.3%	9.7%	8.1%	6.8%	5.4%	4.4%	3.6%
All others	165,346	189,543	197,115	192,331	206,269	252,934	275,062	308,337	340,023	372,992	403,264	430,834	454,034	473,907	491,088
<i>y-o-y growth</i>		14.6%	4.0%	(2.4%)	7.2%	22.6%	8.7%	12.1%	10.3%	9.7%	8.1%	6.8%	5.4%	4.4%	3.6%
Unallocated	–	1,556	866	1,297	1,924	2,403	2,403	2,403	2,403	2,403	2,403	2,403	2,403	2,403	2,403
<i>y-o-y growth</i>		N.a.	(44.3%)	49.8%	48.3%	24.9%	–	–	–	–	–	–	–	–	–
Inter-segment elimination	(70,521)	(61,971)	(62,708)	(76,292)	(102,616)	(82,877)	(78,922)	(86,025)	(92,907)	(99,410)	(105,375)	(110,643)	(115,069)	(119,672)	(124,459)
<i>y-o-y growth</i>		(12.1%)	1.2%	21.7%	34.5%	(19.2%)	(4.8%)	9.0%	8.0%	7.0%	6.0%	5.0%	4.0%	4.0%	4.0%

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Appendix 16: Income Statement Forecast

Income Statement Forecast - Other items

Other Income Statement Items

RMB in millions, unless otherwise stated

	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Cost of Goods Sold	(421,205)	(539,450)	(549,695)	(586,323)	(598,285)	(619,934)	(711,784)	(811,854)	(892,675)	(970,651)	(1,053,936)	(1,136,141)	(1,212,232)	(1,278,312)	(1,338,631)
% of Revenue	(58.7%)	(63.2%)	(63.3%)	(62.3%)	(60.0%)	(59.7%)	(60.2%)	(61.1%)	(60.7%)	(60.3%)	(60.4%)	(60.5%)	(60.6%)	(60.5%)	(60.5%)
					Bull	(59.6%)	(60.1%)	(61.0%)	(60.5%)	(60.1%)	(60.2%)	(60.3%)	(60.4%)	(60.3%)	(60.5%)
					Base	(59.7%)	(60.2%)	(61.1%)	(60.7%)	(60.3%)	(60.4%)	(60.5%)	(60.6%)	(60.5%)	(60.5%)
					Bear	(60.1%)	(60.5%)	(61.5%)	(61.0%)	(60.8%)	(60.8%)	(60.9%)	(60.9%)	(60.7%)	(60.7%)
Operating Expenses	(232,795)	(271,782)	(246,440)	(268,135)	(287,178)	(304,075)	(290,668)	(312,088)	(337,836)	(367,285)	(396,867)	(422,078)	(450,161)	(474,253)	(495,479)
SG&A	(136,743)	(151,721)	(145,679)	(157,126)	(188,260)	(267,121)	(261,459)	(284,503)	(307,879)	(332,924)	(357,147)	(380,645)	(406,344)	(428,786)	(449,133)
% of Revenue	(19.1%)	(17.8%)	(16.8%)	(16.7%)	(18.9%)	(25.7%)	(22.1%)	(21.4%)	(20.9%)	(20.7%)	(20.5%)	(20.3%)	(20.3%)	(20.3%)	(20.3%)
Sales and marketing expenses	(81,519)	(119,799)	(103,496)	(115,141)	(144,021)	(223,556)	(212,823)	(225,869)	(244,250)	(263,802)	(282,667)	(300,266)	(319,999)	(337,991)	(354,122)
% of Revenue	(11.4%)	(14.0%)	(11.9%)	(12.2%)	(14.5%)	(21.5%)	(18.0%)	(17.0%)	(16.6%)	(16.4%)	(16.2%)	(16.0%)	(16.0%)	(16.0%)	(16.0%)
					Bull	(23.5%)	(20.0%)	(19.0%)	(18.6%)	(18.4%)	(17.8%)	(17.2%)	(16.8%)	(16.4%)	(16.2%)
					Base	(21.5%)	(18.0%)	(17.0%)	(16.6%)	(16.4%)	(16.2%)	(16.0%)	(16.0%)	(16.0%)	(16.0%)
					Bear	(22.0%)	(18.5%)	(17.0%)	(17.6%)	(17.4%)	(16.7%)	(16.5%)	(16.5%)	(16.5%)	(16.5%)
General and administrative	(55,224)	(31,922)	(42,183)	(41,985)	(44,239)	(43,565)	(48,636)	(58,634)	(63,629)	(69,122)	(74,480)	(80,379)	(86,345)	(90,795)	(95,012)
% of Revenue	(7.7%)	(3.7%)	(4.9%)	(4.5%)	(4.4%)	(4.2%)	(4.1%)	(4.4%)	(4.3%)	(4.3%)	(4.3%)	(4.3%)	(4.3%)	(4.3%)	(4.3%)
					Bull	(4.2%)	(3.8%)	(4.1%)	(4.0%)	(4.0%)	(4.0%)	(4.0%)	(4.0%)	(4.0%)	(4.2%)
					Base	(4.2%)	(4.1%)	(4.4%)	(4.3%)	(4.3%)	(4.3%)	(4.3%)	(4.3%)	(4.3%)	(4.3%)
					Bear	(4.4%)	(4.3%)	(4.6%)	(4.5%)	(4.5%)	(4.5%)	(4.5%)	(4.5%)	(4.5%)	(4.5%)
Product development expenses	(57,236)	(55,465)	(56,744)	(52,256)	(57,151)	(68,374)	(71,989)	(81,030)	(88,460)	(98,185)	(107,789)	(114,399)	(121,952)	(128,804)	(135,329)
% of Revenue	(8.0%)	(6.5%)	(6.5%)	(5.6%)	(5.7%)	(6.6%)	(6.1%)	(6.1%)	(6.0%)	(6.1%)	(6.2%)	(6.1%)	(6.1%)	(6.1%)	(6.1%)
					Bull	(6.6%)	(6.1%)	(5.6%)	(5.5%)	(5.6%)	(5.7%)	(5.6%)	(5.6%)	(5.6%)	(5.6%)
					Base	(6.6%)	(6.1%)	(6.1%)	(6.0%)	(6.1%)	(6.2%)	(6.1%)	(6.1%)	(6.1%)	(6.1%)
					Bear	(6.8%)	(6.3%)	(6.3%)	(6.2%)	(6.3%)	(6.4%)	(6.3%)	(6.3%)	(6.3%)	(6.3%)
Impairment of goodwill	—	(25,141)	(2,714)	(10,521)	(6,171)	(8,020)	(9,107)	(9,546)	(11,767)	(11,840)	(13,251)	(14,204)	(15,082)	(16,080)	(16,678)
% of Revenue	—	(2.9%)	(0.3%)	(1.1%)	(0.6%)	(0.8%)	(0.8%)	(0.7%)	(0.8%)	(0.7%)	(0.8%)	(0.8%)	(0.8%)	(0.8%)	(0.8%)
					Bull	(0.6%)	(0.6%)	(0.5%)	(0.6%)	(0.5%)	(0.6%)	(0.6%)	(0.6%)	(0.6%)	(0.6%)
					Base	(0.8%)	(0.8%)	(0.7%)	(0.8%)	(0.7%)	(0.8%)	(0.8%)	(0.8%)	(0.8%)	(0.8%)
					Bear	(0.8%)	(0.8%)	(0.8%)	(0.8%)	(0.8%)	(0.8%)	(0.8%)	(0.8%)	(0.8%)	(0.8%)
Depreciation & Amortization	(38,816)	(39,455)	(41,303)	(48,232)	(35,596)	39,440	51,887	62,991	70,270	75,664	81,319	87,170	93,216	99,417	105,661
Depreciation	(26,389)	(27,808)	(27,799)	(26,640)	(29,260)	32,811	45,493	56,838	64,362	70,006	75,914	82,023	88,331	94,799	101,314
Amortization	(12,427)	(11,647)	(13,504)	(21,592)	(6,336)	6,630	6,393	6,153	5,907	5,658	5,405	5,147	4,885	4,618	4,348
Accretion of mezzanine equity	(270)	(290)	(274)	(268)	(639)	2,380	(73)	(184)	(185)	(186)	(160)	(166)	(194)	(208)	(224)
	(3.1%)	(3.0%)	(2.8%)	(2.5%)	(5.5%)	24.1%	(1.2%)	(3.0%)	(3.0%)	(3.0%)	(2.6%)	(2.6%)	(2.8%)	(2.8%)	(2.7%)
Interest Expense	(4,476)	(4,909)	(5,918)	(7,947)	(9,596)	(10,029)	(10,068)	(8,053)	(8,053)	(8,053)	(8,053)	(8,053)	(8,053)	(8,053)	(8,053)
Net loss attributable to noncontrolling interests	7,294	15,170	7,210	8,677	4,133	(385)	1,827	9,641	10,064	8,488	8,454	7,919	8,460	10,325	11,874
NI Attributable to Non-Controlling Interests % of Revenue	1.0%	1.8%	0.8%	0.9%	0.4%	(0.0%)	0.2%	0.7%	0.7%	0.5%	0.5%	0.4%	0.4%	0.5%	0.5%

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Appendix 17: Share Dilution Schedule

Share Dilution Schedule															
RMB in millions, unless otherwise stated															
	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Share-based compensation	50,120	23,971	30,831	18,546	15,577	16,612	18,924	21,258	23,542	25,737	27,918	30,027	32,000	33,799	35,412
% of Revenue	7.0%	2.8%	3.5%	2.0%	1.6%	1.6%	1.6%	1.6%	1.6%	1.6%	1.6%	1.6%	1.6%	1.6%	1.6%
Expected share price (USD)						147	153	174	195	216	237	257	276	294	311
y-o-y change							4.2%	13.9%	12.3%	10.7%	9.3%	8.5%	7.6%	6.6%	5.6%
Expected share price (RMB)						128	134	152	171	189	207	224	241	257	272
Shares issued under SBC						130	142	140	138	136	135	134	133	131	130
Share Repurchase amount (USD)	118	9,628	10,856	4,800	11,900	2,387	2,387	2,387	2,387	2,387	2,387	2,387	2,387	2,387	2,387
Share Repurchase amount (RMB)	(773)	(61,225)	(74,746)	(88,745)	(86,662)	(16,694)	(16,694)	(16,694)	(16,694)	(16,694)	(16,694)	(16,694)	(16,694)	(16,694)	(16,694)
Share Repurchases (ADS)	1	60	130	156	150	18	16	14	12	11	10	9	9	8	8
Basic	21,619	21,558	20,980	20,182	18,791	18,777	18,793	18,823	18,863	18,911	18,965	19,025	19,088	19,155	19,224
y-o-y change		(0.3%)	(2.7%)	(3.8%)	(6.9%)	(0.1%)	0.1%	0.2%	0.2%	0.3%	0.3%	0.3%	0.3%	0.3%	0.4%
Average vesting period						4.0	4.0	4.0	4.0	4.0	4.0	4.0	4.0	4.0	4.0
Dilution overhang						518.6	566.9	559.1	551.1	544.1	539.8	535.3	530.4	525.7	521.4
Diluted	21,982	21,787	21,114	20,359	19,318	19,295	19,360	19,382	19,415	19,455	19,505	19,560	19,619	19,680	19,745
y-o-y change		(0.9%)	(3.1%)	(3.6%)	(5.1%)	(0.1%)	0.3%	0.1%	0.2%	0.2%	0.3%	0.3%	0.3%	0.3%	0.3%

Appendix 18: Balance Sheet Forecast

Balance Sheet Forecast

Net Working Capital Schedule

RMB in millions, unless otherwise stated

	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Prepayments, Receivables, and Other Current Assets	124,708	145,995	137,072	143,536	202,175	178,206	202,487	227,480	255,868	286,601	302,253	325,679	348,018	368,768	386,368
<i>DRO</i>	63	62	58	56	74	63	62	62	63	65	63	63	64	64	64
Accounts Payable and Other Accrued Liabilities	260,929	271,460	275,950	297,883	332,537	333,347	371,096	426,215	472,749	518,225	558,069	599,733	641,477	677,513	709,594
<i>DPO</i>	226	184	183	185	203	196	190	192	193	195	193	193	193	193	193
Merchant Deposits	15,017	14,747	13,297	12,737	274	284	326	372	409	445	483	520	555	585	613
<i>% of COGS</i>	3.6%	2.7%	2.4%	2.2%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%

Other

RMB in millions, unless otherwise stated

	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Equity Securities and Other Investments (Total Current Assets)	9,807	8,673	4,892	59,949	53,780	45,257	45,835	46,420	47,013	47,613	48,221	48,836	49,460	50,091	50,731
Prepayments, Receivables and Other Assets (non current)	98,432	113,147	110,926	116,102	83,431	96,927	102,411	108,205	114,327	120,795	127,629	134,850	142,480	150,541	159,058
Investments in Equity Method Investees	200,189	219,642	207,380	203,131	210,169	206,862	209,965	213,114	216,311	219,556	222,849	226,192	229,585	233,029	236,524
<i>y-o-y growth</i>		9.7%	(5.6%)	(2.0%)	3.5%	(1.6%)	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%

Forecast drivers

<i>Historical growth rate Prepayments, Receivables and Other Assets</i>	5.7%
<i>3M Chinese treasury notes</i>	1.3%

Property and Equipment, net

RMB in millions, unless otherwise stated

	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Gross Property and Equipment, beg	155,381	220,994	265,562	290,599	315,634	331,765	483,729	646,988	765,700	833,997	905,958	980,855	1,057,787	1,137,634	1,218,541
(+) CapEx	(41,450)	(53,309)	(34,330)	(32,087)	(85,972)	(166,117)	(177,412)	(132,864)	(82,450)	(86,115)	(89,050)	(91,085)	(94,000)	(95,060)	(95,170)
<i>% of Sales</i>	5.8%	6.2%	4.0%	3.4%	8.6%	16.0%	15.0%	10.0%	5.6%	5.4%	5.1%	4.9%	4.7%	4.5%	4.3%
					Bull	19.0%	16.0%	11.0%	8.0%	7.5%	7.0%	6.5%	6.0%	5.5%	5.5%
					Base	16.0%	15.0%	10.0%	5.6%	5.4%	5.1%	4.9%	4.7%	4.5%	4.3%
					Bear	13.0%	12.5%	9.5%	5.0%	4.8%	4.5%	4.3%	4.0%	3.8%	3.5%
Gross Property and Equipment, intermediate	196,831	274,303	299,892	322,686	401,606	497,882	661,141	779,852	848,149	920,111	995,008	1,071,940	1,151,787	1,232,694	1,313,712
(-) Derecognition						14,153	14,153	14,153	14,153	14,153	14,153	14,153	14,153	14,153	14,153
Gross Property and Equipment, end	155,381	220,994	265,562	290,599	315,634	483,729	646,988	765,700	833,997	905,958	980,855	1,057,787	1,137,634	1,218,541	1,299,559
Variance (Estimated Derecognition)	(24,163)	8,741	9,293	7,052	69,841	14,153									
Impairments						14,153									
Average Gross Property and Equipment, end	188,188	243,278	278,081	303,117	323,700	407,747	565,359	706,344	799,848	869,977	943,407	1,019,321	1,097,711	1,178,088	1,259,050
Depreciation Expense	(25,550)	(25,470)	(24,654)	(23,344)	(24,515)	(32,811)	(45,493)	(56,838)	(64,362)	(70,006)	(75,914)	(82,023)	(88,331)	(94,799)	(101,314)
<i>Depreciation % of Average PPE</i>	13.6%	10.5%	8.9%	7.7%	7.6%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%
Accumulated Depreciation	(57,994)	(73,582)	(93,756)	(114,568)	(130,473)	(128,417)									
Property and Equipment, net, beg						203,348	336,654	468,572	544,598	562,686	578,795	591,930	600,992	606,661	606,922
(+) CapEx						166,117	177,412	132,864	82,450	86,115	89,050	91,085	94,000	95,060	95,170
(-) Depreciation						32,811	45,493	56,838	64,362	70,006	75,914	82,023	88,331	94,799	101,314
Property and Equipment, net, end						336,654	468,572	544,598	562,686	578,795	591,930	600,992	606,661	606,922	600,779

For educational use only – please refer to the disclaimer

Goodwill

RMB in millions, unless otherwise stated

	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Starting Balance	276,782	292,771	269,581	268,091	259,679	255,501	252,481	248,374	243,828	237,061	230,221	221,971	212,767	202,685	191,605
Transfers	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Additions	17,579	3,283	583	1,782	4,899	5,000	5,000	5,000	5,000	5,000	5,000	5,000	5,000	5,000	5,000
% revenue	2.5%	0.4%	0.1%	0.2%	0.5%										
Deconsolidation's	(455)	—	—	(114)	(2,957)	—	—	—	—	—	—	—	—	—	—
% revenue	(0.1%)	—	—	(0.0%)	(0.3%)										
Impairment	240	(25,141)	(2,714)	(10,521)	(6,171)	(8,020)	(9,107)	(9,546)	(11,767)	(11,840)	(13,251)	(14,204)	(15,082)	(16,080)	(16,678)
FX Adjustments	(1,375)	(1,332)	641	441	51	—	—	—	—	—	—	—	—	—	—
Ending Balance check	292,771	269,581	268,091	259,679	255,501	252,481	248,374	243,828	237,061	230,221	221,971	212,767	202,685	191,605	179,927

Intangibles Assets, net

RMB in millions, unless otherwise stated

	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Gross Value of Intangible Assets, beg	110,139	131,217	116,929	115,624	117,117	94,355	95,066	95,777	96,489	97,200	97,911	98,622	99,333	100,045	100,756
(+) Acquisitions	20,750	1,000	285	602	1,544	4,836	4,836	4,836	4,836	4,836	4,836	4,836	4,836	4,836	4,836
Gross Value of Intangible Assets, intermediate	130,889	132,217	117,214	116,226	118,661	99,191	99,902	100,614	101,325	102,036	102,747	103,458	104,170	104,881	105,592
(-) Derecognition						4,125	4,125	4,125	4,125	4,125	4,125	4,125	4,125	4,125	4,125
Gross Value of Intangible Assets, end	110,139	131,217	116,929	117,117	118,661	95,066	95,777	96,489	97,200	97,911	98,622	99,333	100,045	100,756	101,467
Variance (of Derecognitions)	(328)	15,288	1,590	(891)	24,306										
Impairment Attributable to Intangible Assets	1,928	745	3,944	12,089	634										
Dispositions	(2,256)	14,543	(2,354)	(12,980)	23,672	4,125									
Average Gross Intangible Assets, end	120,678	124,073	116,277	116,371	105,736	94,711	95,422	96,133	96,844	97,555	98,267	98,978	99,689	100,400	101,111
Amortization Expense	12,427	11,647	13,504	21,592	6,336	6,630	6,393	6,153	5,907	5,658	5,405	5,147	4,885	4,618	4,348
Amortization % of Average Intangible Assets	10.3%	9.4%	11.6%	18.6%	6.0%	7.0%	6.7%	6.4%	6.1%	5.8%	5.5%	5.2%	4.9%	4.6%	4.3%
Intangible Assets, net, beg						20,911	19,117	17,560	16,244	15,173	14,351	13,782	13,472	13,423	13,641
(+) Acquisitions						4,836	4,836	4,836	4,836	4,836	4,836	4,836	4,836	4,836	4,836
(-) Amortization						6,630	6,393	6,153	5,907	5,658	5,405	5,147	4,885	4,618	4,348
Intangible Assets, net, end						19,117	17,560	16,244	15,173	14,351	13,782	13,472	13,423	13,641	14,129
Estimated Aggregate Amortization Expenses															
2021		13,933	11,617	10,287	7,158	4,570	23,268								
2022			12,660	10,886	7,249	4,536	4,629	19,271							
2023				12,530	8,086	4,935	4,645	4,256	12,461						
2024					7,699	3,974	3,281	2,854	2,010	7,132					
2025						4,565	3,586	3,056	2,304	2,138	5,262				

Equity items

RMB in millions, unless otherwise stated

	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Mezzanine Equity	8,673	9,655	9,858	10,728	11,713	9,884	6,244	6,177	6,126	6,138	6,254	6,494	6,880	7,424	8,140
% of Non-controlling interest	6.3%	7.8%	8.0%	9.3%	17.1%	14.2%	9.1%	9.1%	9.1%	9.1%	9.1%	9.1%	9.1%	9.1%	9.1%
Additional Paid-In Capital	394,308	410,506	416,880	397,999	381,379	393,838	408,220	424,589	442,952	463,284	485,618	509,940	536,179	564,233	593,979
Share repurchase		(8,567)	(13,990)	(29,313)	(25,020)	-	-	-	-	-	-	-	-	-	-
% of Share Repurchases		14.0%	18.7%	33.0%	28.9%	31.0%	31.0%	31.0%	31.0%	31.0%	31.0%	31.0%	31.0%	31.0%	31.0%
Amortization of compensation cost		19,334	25,134	11,531	10,518	12,459	14,382	16,369	18,363	20,332	22,334	24,322	26,240	28,053	29,746
% of Share based compensation expense		80.7%	81.5%	62.2%	75.3%	75.0%	76.0%	77.0%	78.0%	79.0%	80.0%	81.0%	82.0%	83.0%	84.0%
Treasury Shares at Cost	-	(2,221)	(28,763)	(27,684)	(36,329)	(37,060)	(38,258)	(39,223)	(40,305)	(41,328)	(42,380)	(43,418)	(44,463)	(45,504)	(46,547)
		0	(26,542)	1,079	(8,645)	(731)	(1,198)	(965)	(1,081)	(1,023)	(1,052)	(1,038)	(1,045)	(1,041)	(1,043)
			35.5%	(1.2%)	10.0%	4.4%	7.2%	5.8%	6.5%	6.1%	6.3%	6.2%	6.3%	6.2%	6.2%
Statutory Reserves	7,347	9,839	12,977	14,733	15,936	17,375	20,441	23,449	27,024	31,414	36,170	41,148	46,487	52,296	58,404
Change in Statutory Reserves		2,492	3,138	1,756	1,203	1,439	3,066	3,008	3,575	4,390	4,756	4,978	5,338	5,809	6,108
% of Net Income		1.7%	5.1%	2.4%	1.5%	2.7%	2.9%	2.4%	2.4%	2.6%	2.6%	2.5%	2.5%	2.5%	2.5%
Noncontrolling Interests, beg	115,147	137,491	124,059	123,406	115,327	68,535	69,707	68,437	67,700	67,143	67,270	68,545	71,171	75,399	81,362
(-) CI Net Income	(7,294)	(15,170)	(7,210)	(8,677)	(4,133)	(2,981)	(5,812)	(5,626)	(5,736)	(5,278)	(4,309)	(3,079)	(1,532)	218	2,188
% of Net Income	(5.1%)	(11.0%)	(11.0%)	(12.2%)	(3.3%)	(7.9%)	(6.9%)	(5.9%)	(4.9%)	(3.9%)	(2.9%)	(1.9%)	(0.9%)	0.1%	1.1%
Amortization of compensation cost	3,983	4,670	5,462	5,862	3,278	4,153	4,542	4,889	5,179	5,405	5,584	5,705	5,760	5,746	5,666
% of Share based compensation expense	7.9%	19.5%	17.7%	31.6%	21.0%	25.0%	24.0%	23.0%	22.0%	21.0%	20.0%	19.0%	18.0%	17.0%	16.0%
Acquisitions/(Disposals) of NCI	28,389				(25,629)										
Noncontrolling Interests, intermediate	140,225	126,991	122,311	120,591	88,843										
Noncontrolling Interests, end	137,491	124,059	123,406	115,327	68,535	69,707	68,437	67,700	67,143	67,270	68,545	71,171	75,399	81,362	89,216
Variance	(2,734)	(2,932)	1,095	(5,264)	(20,308)										



Appendix 19: Comparable Company Analysis (CCA)

Comparable Company Analysis (CCA)																															
Operating Statistics																															
All figures in USD(\$ millions unless stated)																															
Company Name	Share Price (\$)	Diluted Shares (Mn)	Equity Value	Capitalization	Cash	Debt	Enterprise Value	2025A	2025E	2027E	Revenue	2025A	2025E	2027E	EBITDA	2025A	2025E	2027E	Net Income	2025A	2025E	2027E	EBITDA Margin	2025A	2025E	2027E	Equity	Levered Beta	Levered Beta - Blume Adjusted	Unlevered Beta	Weight
Alibaba Group Holding Limited	146.58	2,387	349,946	20,805	32,991	362,132	142,478	148,467	169,132	25,240	15,428	24,868	18,015	5,408	12,075	17.7%	10.4%	14.7%	139,162	0.58x	0.72x	0.67x	—								
Jd.Com, Inc.	28.70	1,594	45,741	14,844	8,776	39,673	185,497	195,794	208,471	3,991	5,966	8,321	4,075	5,237	6,769	2.2%	3.0%	4.0%	32,790	0.60x	0.73x	0.64x	0.5%								
Pdd Holdings Inc.	113.39	1,420	160,974	7,914	727	153,787	60,881	69,974	79,032	14,485	17,882	22,197	15,595	18,129	21,758	23.8%	25.6%	28.1%	42,924	0.23x	0.48x	0.44x	2.0%								
Meituan	13.19	6,112	80,613	9,704	8,427	79,335	52,651	59,961	68,156	316	5,140	7,943	(403)	3,681	6,267	0.6%	8.6%	11.7%	23,655	0.21x	0.47x	0.44x	1.1%								
Coupage, Inc.	23.59	1,827	43,091	5,879	1,533	38,745	34,910	41,032	46,070	1,591	2,409	3,292	368	1,024	1,669	4.6%	5.9%	7.1%	4,103	1.82x	1.21x	1.18x	0.5%								
Sea Limited	127.57	592	75,524	2,405	5,732	78,851	22,418	27,866	32,729	3,378	4,265	5,568	1,668	2,559	3,493	15.1%	15.3%	17.0%	8,372	1.81x	1.54x	1.45x	1.0%								
Mercadolibre, Inc.	2,014.26	51	102,117	2,635	5,715	105,197	28,578	36,649	44,596	4,074	5,437	7,170	2,102	3,048	4,212	14.3%	14.8%	16.1%	4,351	1.64x	1.42x	1.37x	1.4%								
Amazon.Com, Inc.	230.82	10,690	2,467,517	78,779	75,805	2,464,543	714,789	795,259	883,944	167,140	203,189	248,541	77,036	86,315	106,830	23.4%	25.5%	28.1%	285,970	1.33x	1.22x	1.19x	32.8%								
Tencent Holdings Limited	76.87	9,123	701,276	18,155	49,061	732,182	105,872	116,138	127,688	46,479	53,369	60,695	36,112	40,652	45,097	43.9%	46.0%	47.5%	133,376	0.48x	0.65x	0.62x	9.7%								
Baidu, Inc.	130.66	344	44,917	3,551	10,160	51,526	19,037	18,243	19,118	4,664	2,850	3,381	3,807	2,693	2,857	24.5%	15.6%	17.7%	37,698	0.63x	0.75x	0.64x	0.7%								
Alphabet Inc.	313.80	12,067	3,786,625	23,466	13,559	3,776,718	350,018	398,872	453,424	150,486	175,899	213,621	100,118	129,883	135,733	43.0%	44.1%	47.1%	325,084	1.11x	1.07x	1.07x	50.2%								
Valuation Statistics																															
All figures in USD(\$ millions unless stated)																															
Company Name	EV/Sales			EV/EBITDA			P/E																								
	2025A	2026E	2027E	2025A	2026E	2027E	2025A	2026E	2027E																						
Alibaba Group Holding Limited	2.54x	2.44x	2.14x	14.35x	23.47x	14.56x	19.43x	64.71x	28.98x																						
Jd.Com, Inc.	0.21x	0.20x	0.19x	9.94x	6.65x	4.77x	11.22x	8.73x	6.76x																						
Pdd Holdings Inc.	2.53x	2.20x	1.95x	10.62x	6.93x	5.02x	10.32x	8.88x	7.40x																						
Meituan	1.51x	1.32x	1.16x	NM	15.44x	9.99x	NM	21.90x	12.86x																						
Coupage, Inc.	1.11x	0.94x	0.84x	24.35x	16.09x	11.77x	NM	42.08x	25.81x																						
Sea Limited	3.52x	2.83x	2.41x	23.34x	18.49x	14.16x	45.27x	29.51x	21.62x																						
Mercadolibre, Inc.	3.68x	2.87x	2.36x	25.82x	19.35x	14.67x	48.58x	33.50x	24.25x																						
Amazon.Com, Inc.	3.45x	3.10x	2.79x	14.75x	12.13x	9.92x	32.03x	28.59x	23.10x																						
Tencent Holdings Limited	6.92x	6.30x	5.73x	15.75x	13.72x	12.06x	19.42x	17.25x	15.55x																						
Baidu, Inc.	2.71x	2.82x	2.70x	11.05x	18.08x	15.24x	11.80x	16.68x	15.72x																						
Alphabet Inc.	10.79x	9.47x	8.33x	25.10x	21.47x	17.68x	37.82x	29.15x	27.90x																						
Maximum	10.79x	9.47x	8.33x	25.82x	21.47x	17.68x	48.58x	42.08x	27.90x																						
75th Percentile	3.64x	3.04x	2.76x	24.35x	18.39x	14.54x	39.68x	29.42x	23.96x																						
Median	3.08x	2.83x	2.38x	15.75x	11.92x	11.92x	25.73x	25.24x	18.67x																						
25th Percentile	1.76x	1.54x	1.36x	11.05x	12.53x	9.93x	11.65x	16.82x	13.53x																						
Minimum	0.21x	0.20x	0.19x	9.94x	6.65x	4.77x	10.32x	8.73x	6.76x																						
Range of Implied EV or Equity Value																															
All figures in USD(\$ millions unless stated)																															
Multiple	Applicable Figure	Minimum	25th Percentile	Median	75th Percentile	Maximum																									
2027E EV/Sales	169,132	32,187	229,934	403,220	467,632	1,408,759																									
2026E EV/Sales	148,467	30,083	228,902	419,723	451,619	1,405,760																									
2025A EV/Sales	142,478	30,472	250,989	438,444	516,834	1,537,343																									
2027E EV/EBITDA	24,868	119,570	247,038	296,327	361,687	439,648																									
2026E EV/EBITDA	15,428	102,602	193,266	243,165	283,657	331,259																									
2025A EV/EBITDA	25,240	250,918	278,838	397,597	614,529	651,740																									
2027E P/E	12,075	81,595	163,434	225,476	289,310	336,877																									
2026E P/E	5,408	47,231	90,970	136,520	159,103	227,557																									
2025A P/E	18,015	186,952	209,947	463,425	714,873	875,174																									
Range of Implied Equity Value per Share																															
All figures in USD(\$ millions unless stated)																															
Multiple	Net Debt Adjustment (\$ Mn)	Minimum	25th Percentile	Median	75th Percentile	Maximum	Minimum Point	25th Percentile Point	Median Point	50th-75th Percentile Point	Maximum Point																				
2027E EV/Sales	12,186	8.38	91.21	163.79	190.77	584.97	8.38	82.83	72.58	26.98	584.97																				
2026E EV/Sales	12,186	7.50	90.77	170.70	184.06	583.72	7.50	90.77	79.93	13.36	583.72																				
2025A EV/Sales	12,186	7.66	100.03	178.54	212.13	638.83	7.66	100.03	78.52	33.59	638.83																				
2027E EV/EBITDA	12,186	44.56	98.37	119.02	146.39	179.05	44.56	98.37	20.65	27.38	179.05																				
2026E EV/EBITDA	12,186	37.87	75.85	96.75	113.71	133.65	37.87	75.85	20.90	16.96	133.65																				
2025A EV/EBITDA	12,186	100.00	111.69	161.44	252.30	267.89	100.00	111.69	49.74	90.87	267.89																				
2027E P/E	-	34.18	68.46	94.44	121.18	141.11	34.18	68.46	25.99	26.74	141.11																				
2026E P/E	-	19.78	38.10	57.18	66.64	66.64	19.78	38.10	19.08	9.46	66.64																				
2025A P/E	-	77.89	87.94	194.11	299.43	366.58	77.89	87.94	106.17	105.32	366.58																				
CCA Average		37.53	84.71	137.33	176.29	332.35																									



Alibaba Equity Value per Share - Mean Methodology

All figures in USD(\$) millions unless stated

Company	FY26A EV/Sales
Jd Com, Inc.	0.21x
Pdd Holdings Inc.	2.53x
Meituan	1.51x
Couping, Inc.	1.11x
Sea Limited	3.52x
Mercadolibre, Inc.	3.68x
Amazon Com, Inc.	3.45x
Tencent Holdings Limited	6.92x
Baidu, Inc.	2.71x
Alphabet Inc.	10.79x

Group Average 3.64x

BABA Revenue 142,478

Implied Enterprise Value 518,836

(+) Cash and Equivalents 20,805
(-) Total Debt 32,991

Equity Value 506,650

Shares Outstanding - Diluted (Mn) 2,387

Value/Share (\$) 212.22

Value/Share (RMB) 185.50

FY25A EPS (\$) 7.55
FY26E EPS (\$) 2.27
Implied FY25 P/E 28.12x
Implied FY26 P/E 93.62x

Current Price (\$) 146.58
Current Price (RMB) 128.13

Up/Downside 44.78%

Company	FY26A EV/EBITDA
Jd Com, Inc.	9.94x
Pdd Holdings Inc.	10.62x
Meituan	NM
Couping, Inc.	24.35x
Sea Limited	23.34x
Mercadolibre, Inc.	25.82x
Amazon Com, Inc.	14.75x
Tencent Holdings Limited	15.75x
Baidu, Inc.	11.05x
Alphabet Inc.	25.10x

Group Average 17.86x

BABA EBITDA 25,240

Implied Enterprise Value 450,713

(+) Cash and Equivalents 20,805
(-) Total Debt 32,991

Equity Value 438,527

Shares Outstanding - Diluted (Mn) 2,387

Value/Share (\$) 183.68

Value/Share (RMB) 160.56

FY25A EPS (\$) 7.55
FY26E EPS (\$) 2.27
Implied FY25 P/E 24.34x
Implied FY26 P/E 81.03x

Current Price (\$) 146.58
Current Price (RMB) 128.13

Up/Downside 25.31%

Sum Of The Parts

Revenue Split	
China E-commerce	51.88%
International E-commerce	13.28%
Cloud	13.80%
Others	35.10%
Unallocated	0.19%
Inter-segment elimination	-10.30%

Alibaba Base Case SOTP - EV / Sales Methodology (FY25A)	Revenue	Multiple	EV
China E-commerce	\$ 73,917	1.42x	\$ 104,634
International E-commerce	\$ 18,919	2.94x	\$ 55,603
Cloud	\$ 16,878	6.80x	\$ 114,940
Others	\$ 47,163	3.84x	\$ 171,744
Unallocated	\$ 275	1.00x	\$ 275
Inter-segment elimination	\$ (14,674)	1.00x	\$ (14,674)
Total Alibaba	\$ 142,478	3.64x	\$ 432,423

Implied BABA Enterprise Value	432,423
(+) Cash and Equivalents	20,805
(-) Total Debt	32,991
Equity Value	420,237
Diluted Shares	2,415
Value/Share	\$ 174.03
FY24A EPS	\$ 4.47
FY25A EPS	\$ 7.66
Implied FY24 P/E	38.91x
Implied FY25 P/E	22.70x
Current Price	\$ 146.58
Up/Downside	18.7%

Alibaba Base Case SOTP - EV / EBITDA Methodology (FY25A)	EBITDA	Multiple	EV
China E-commerce	\$ 13,094	10.28x	\$ 134,001
International E-commerce	\$ 3,351	22.09x	\$ 73,950
Cloud	\$ 2,990	17.30x	\$ 51,723
Others	\$ 8,355	17.86x	\$ 149,194
Unallocated	\$ 49	1.00x	\$ 49
Inter-segment elimination	\$ (2,599)	1.00x	\$ (2,599)
Total Alibaba	\$ 25,240	16.1x	\$ 406,916

Implied BABA Enterprise Value	406,916
(+) Cash and Equivalents	20,805
(-) Total Debt	32,991
Equity Value	394,730
Diluted Shares	2,415
Value/Share	\$ 163.47
FY24A EPS	\$ 4.47
FY25A EPS	\$ 7.66
Implied FY24 P/E	38.91x
Implied FY25 P/E	22.70x
Current Price	\$ 146.58
Up/Downside	11.6%

Alibaba Base Case SOTP - EV / Sales Methodology (FY26E)	Revenue	Multiple	EV
China E-commerce	\$ 79,704	1.24x	\$ 98,926
International E-commerce	\$ 21,585	2.44x	\$ 52,577
Cloud	\$ 14,940	6.20x	\$ 140,035
Others	\$ 36,170	3.21x	\$ 115,975
Unallocated	\$ 344	1.00x	\$ 344
Inter-segment elimination	\$ (11,851)	1.00x	\$ (11,851)
Total Alibaba	\$ 148,949	2.67x	\$ 396,903

Implied BABA Enterprise Value	396,003
(+) Cash and Equivalents	12,927
(-) Total Debt	40,208
Equity Value	368,662
Diluted Shares	2,412
Value/Share	\$ 152.81
FY24A EPS	\$ 0.56
FY25A EPS	\$ 0.96
Implied FY24 P/E	273.37x
Implied FY25 P/E	159.53x
Current Price	\$ 146.58
Up/Downside	4.3%

Company	Peers Comps	EV/Sales Multiple
China E-commerce	2025A	2026E
Jd Com, Inc.	0.21x	0.20x
PDD Holdings Inc.	2.53x	2.20x
Meituan	1.51x	1.32x
Group Average	1.42x	1.24x
International E-commerce		
Mercadolibre, Inc.	3.68x	2.87x
Amazon Com, Inc.	3.45x	3.10x
Couping, Inc.	1.11x	0.94x
Sea Limited	3.52x	2.83x
Group Average	2.94x	2.44x

Cloud		
Baidu, Inc.	2.71x	2.82x
Alphabet Inc.	10.79x	9.47x
Tencent Holdings Limited	6.92x	6.30x
Group Average	6.80x	6.20x

Others		
Jd Com, Inc.	0.21x	0.20x
PDD Holdings Inc.	2.53x	2.20x
Meituan	1.51x	1.32x
Couping, Inc.	1.11x	0.94x
Sea Limited	3.52x	2.83x
Mercadolibre, Inc.	3.68x	2.87x
Amazon Com, Inc.	3.45x	3.10x
Tencent Holdings Limited	6.92x	6.30x
Baidu, Inc.	2.71x	2.82x
Alphabet Inc.	10.79x	9.47x
Group Average	3.64x	3.21x

Company	Peers Comps	EV/EBITDA Multiple
China E-commerce	2025A	2026E
Jd Com, Inc.	9.94x	6.65x
PDD Holdings Inc.	10.62x	8.60x
Meituan	NM	15.44x
Group Average	10.28x	10.23x
International E-commerce		
Mercadolibre, Inc.	25.82x	19.35x
Amazon Com, Inc.	14.75x	12.13x
Couping, Inc.	24.35x	16.09x
Sea Limited	23.34x	18.49x
Group Average	22.06x	16.51x

Cloud		
Baidu, Inc.	11.05x	18.08x
Alphabet Inc.	25.10x	21.47x
Tencent Holdings Limited	15.75x	13.72x
Group Average	17.30x	17.76x

Peer Group Comparison

EV/Sales	2025A	2026E	2027E	Mean Group
BABA	2.54x	2.44x	2.14x	3.15x
JD	0.21x	0.20x	0.19x	3.15x
PDD	2.53x	2.20x	1.95x	3.15x
3690	1.51x	1.32x	1.16x	3.15x
CPNG	1.11x	0.94x	0.84x	3.15x
SE	3.52x	2.83x	2.41x	3.15x
MELI	3.68x	2.87x	2.36x	3.15x
AMZN	3.45x	3.10x	2.79x	3.15x
700	6.92x	6.30x	5.73x	3.15x
BIDU	2.71x	2.82x	2.70x	3.15x
GOOG	10.79x	9.47x	8.33x	3.15x

EV/EBITDA	2025A	2026E	2027E	Mean Group
BABA	14.35x	23.47x	14.56x	15.01x
JD	9.94x	6.65x	4.77x	15.01x
PDD	10.62x	8.60x	6.93x	15.01x
3690	NM	15.44x	9.99x	15.01x
CPNG	24.35x	16.09x	11.77x	15.01x
SE	23.34x	18.49x	14.10x	15.01x
MELI	25.82x	19.35x	14.67x	15.01x
AMZN	14.75x	12.13x	9.92x	15.01x
700	15.75x	13.72x	12.06x	15.01x
BIDU	11.05x	18.08x	15.24x	15.01x
GOOG	25.10x	21.47x	17.68x	15.01x

P/E	2025A	2026E	2027E	Mean Group
BABA	19.43x	64.71x	28.98x	24.09x
JD	11.22x	6.73x	6.76x	24.09x
PDD	10.32x	8.88x	7.40x	24.09x
3690	NM	21.90x	12.86x	24.09x
CPNG	NM	42.08x	25.81x	24.09x
SE	45.27x	29.51x	21.62x	24.09x
MELI	48.58x	33.50x	24.25x	24.09x
AMZN	32.03x	28.59x	23.10x	24.09x
700	19.42x	17.25x	15.55x	24.09x
BIDU	11.80x	16.68x	15.72x	24.09x
GOOG	37.82x	29.15x	27.90x	24.09x

EBITDA Margins	2025A	2026E	2027E	Mean Group
BABA	17.71%	10.39%	14.70%	20.21%
JD	2.15%	3.05%	3.99%	20.21%
PDD	23.79%	25.55%	28.09%	20.21%
3690	0.60%	8.57%	11.65%	20.21%
CPNG	4.56%	5.87%	7.15%	20.21%
SE	15.07%	15.31%	17.01%	20.21%
MELI	14.28%	14.84%	16.08%	20.21%
AMZN	23.38%	25.55%	28.12%	20.21%
700	43.90%	45.95%	47.53%	20.21%
BIDU	24.50%	15.62%	17.68%	20.21%
GOOG	42.99%	44.10%	47.11%	20.21%

Profit Margins	FY 2025	Mean Group
BABA	12.64%	13.54%
JD	2.20%	13.54%
PDD	25.61%	13.54%
3690	(0.77%)	13.54%
CPNG	1.00%	13.54%
SE	7.44%	13.54%
MELI	7.36%	13.54%
AMZN	10.78%	13.54%
700	34.11%	13.54%
BIDU	20.00%	13.54%
GOOG	28.60%	13.54%

D/E	FY2025	Median Group
BABA	23.71%	26.95%
JD	26.76%	26.95%
PDD	1.69%	26.95%
3690	35.62%	26.95%
CPNG	37.36%	26.95%
SE	68.46%	26.95%
MELI	131.35%	26.95%
AMZN	26.51%	26.95%
700	36.78%	26.95%
BIDU	26.95%	26.95%
GOOG	4.17%	26.95%

Appendix 20: Probability of Default (PD)

Probability of Default (PD)

10Y Probability of Default

All figures in USD(\$ millions unless stated

CNY/USD	0.152	0.157	0.146	0.138	0.138	0.140
	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Sep-25
	2021A	2022A	2023A	2024A	2025A	1H26A
Short-term debt	2,045	1,392	1,785	4,011	3,103	3,692
Long-term debt	20,657	20,867	21,701	19,609	28,630	33,926
Default Point (DPT)	12,374	11,826	12,636	13,816	17,419	20,655

Time horizon (years)	10
Risk-free rate	1.89%
DPT drift	12%
MV volatility	0.14

Distance to default (d2)	1.355111183
10Y PD	8.77%
Implied 1Y PD	0.91%

Base Mispricing	9,970,290,540
First Mispricing	336.39038
Second Mispricing	0.31873
Third Mispricing	0.25708
Final Mispricing	1.97947

Implied Yearly PD

Year	1	2	3	4	5	6	7	8	9	10
Implied PD	0.91%	0.91%	0.90%	0.89%	0.88%	0.87%	0.86%	0.86%	0.85%	0.84%
Implied survival probabilit	99.09%	99.09%	99.10%	99.11%	99.12%	99.13%	99.14%	99.14%	99.15%	99.16%

Appendix 21: Monte Carlo Valuation

Monte Carlo Valuation

Input

	Bear	Base	Bull	Random
Terminal growth	1.5%	2.0%	2.5%	1.9%
EBIT margin	8.8%	12.2%	15.5%	12.6%

Adjusted DCF Model

All figures given in RMB millions unless stated

	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Cash flow date	31/12/2024	31/12/2025	31/12/2026	31/12/2027	31/12/2028	31/12/2029	31/12/2030	31/12/2031	31/12/2032	31/12/2033	31/12/2034
Valuation date	31/12/2025										
Terminal growth	1.9%										
WACC	7.0%										
Terminal Multiple	19.7										
Total Revenue	996,347	1,038,231	1,182,748	1,328,643	1,471,385	1,608,548	1,744,857	1,876,664	1,999,993	2,112,444	2,213,261
joy growth %		4%	14%	12%	11%	9%	8%	8%	7%	6%	5%
EBIT	140,905	68,449	122,013	135,558	164,698	189,290	207,330	226,128	239,499	255,844	278,149
Operating Margin	14.1%	6.6%	10.3%	10.2%	11.2%	11.8%	11.9%	12.0%	12.0%	12.1%	12.6%
joy growth %		(51%)	78%	11%	21%	15%	10%	9%	6%	7%	9%
Tax Rate	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%
NOPAT	105,679	51,337	91,510	101,669	123,523	141,968	155,498	169,596	179,624	191,883	208,612
joy growth %		(51%)	78%	11%	21%	15%	10%	9%	6%	7%	9%
Add: Depreciation and amortisation	(35,596)	(39,440)	(51,887)	(62,991)	(70,270)	(75,664)	(81,319)	(87,170)	(93,216)	(99,417)	(105,661)
Less: Change in Net Working Capital (ΔNWC)	36,448	(24,789)	(13,510)	(30,171)	(18,182)	(14,779)	(24,230)	(18,276)	(19,439)	(15,317)	(14,510)
Less: Capital expenditures	(85,972)	(166,117)	(177,412)	(132,864)	(82,450)	(86,115)	(89,050)	(91,085)	(94,000)	(95,060)	(95,170)
FCFF	18,855	(50,550)	(20,505)	61,966	129,526	146,296	171,997	183,957	198,279	211,556	233,613
joy growth %		(368%)	(59%)	(402%)	109%	13%	18%	7%	8%	7%	10%
Discount factor	-	1.00	0.93	0.87	0.82	0.76	0.71	0.67	0.62	0.58	0.54
PV of FCFF	-	(50,550)	(19,158)	54,093	105,641	111,481	122,456	122,369	123,232	122,847	126,744

DCF Value per Share

PV of Terminal Value	2,542,570.18
PV of Discrete Period	819,155.02
Total Enterprise Value	3,361,725.20
Debt	267,839.00
Non-Controlling Interest	68,535.00
Cash & Cash Equivalents	145,487.00
Net Debt	190,887.00
Implied Equity Value	3,170,838.20
Basic Shares Outstanding	18,791.00
Diluted Shares Outstanding	19,318.00
Implied Equity Value per Share	164.14
Stock Price	128.10
Up/Downside	28.1%

1Y Price Target

All figures given in RMB millions unless stated

	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
FCFF	\$ 18,855	\$ (50,550)	\$ (20,505)	\$ 61,966	\$ 129,526	\$ 146,296	\$ 171,997	\$ 183,957	\$ 198,279	\$ 211,556	\$ 233,613	\$ 238,165
Discount	0.00	0.00	1.00	0.93	0.87	0.82	0.76	0.71	0.67	0.62	0.58	0.54
PV FCFF	\$ -	\$ -	\$ (20,501)	\$ 57,885	\$ 113,047	\$ 119,296	\$ 131,041	\$ 130,947	\$ 131,871	\$ 131,459	\$ 135,629	\$ 129,189

Valuation date

31/12/2026

DCF Value per Share

PV of Terminal Value	2,591,623.92
PV of Discrete Period	1,059,863.46
Total Enterprise Value	3,651,487.38
Debt	267,839.00
Non-Controlling Interest	69,706.90
Cash & Cash Equivalents	115,801.23
Net Debt	221,744.67
Implied Equity Value	3,429,742.71
Basic Shares Outstanding	18,776.65
Diluted Shares Outstanding	19,295.24
Implied Equity Value per Share	177.75
Stock Price	128.10
Up/Downside	38.8%

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